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What's News

Business & Finance

◆ **U.S. markets ended** a tumultuous quarter, with stocks at records after recovering from an April swoon and some strategists predicting more gains for broad indexes. On Monday, the S&P 500 and Nasdaq both rose 0.5% and the Dow gained 0.6%. **A1**

◆ **Business activity in the** Chicago area contracted again in June amid weaker production and employment and as prices climbed further. **A2**

◆ **Robinhood Markets** made a significant push into crypto, announcing new services designed to make its app a central hub for digital assets. **B1**

◆ **Zuckerberg announced** a new "Superintelligence" division within Meta Platforms, officially organizing an effort that has been the subject of an intense recruiting blitz. **B1**

◆ **Apple said it would** delay offering some planned new features to users in the EU because regulations are making it harder to bring them to market in the region. **B4**

◆ **Moderna's shares** rallied after the biotechnology company's messenger RNA flu vaccine candidate showed positive results in a late-stage trial. **B3**

◆ **U.K. antitrust officials** opened the first phase of a formal investigation into Boeing's deal to acquire Spirit AeroSystems. **B3**

◆ **Home Depot will buy** building-products distributor GMS for about \$4.3 billion, winning a bidding war with roofing-products distributor QXO. **B3**

◆ **Stanley Black & Decker** named Christopher Nelson to succeed Donald Allan Jr. as president and chief executive effective Oct. 1. **B3**

World-Wide

◆ **Russia is pressing its** manpower advantage at more places along the front in its war on Ukraine and has troops just 12 miles from Sumy, a regional capital in northern Ukraine. **A1**

◆ **Voting on amendments** and procedural motions to Trump's tax-and-spending bill dragged through Monday as GOP leaders worked to find a balance of policies that could pass the Senate and later the House. **A4**

◆ **The man charged** with killing four University of Idaho students in 2022 is expected to plead guilty in an agreement that would spare him the death penalty. **A3**

◆ **Trump removed** economic sanctions on Syria, seeking to bolster the fledgling government in Damascus as it considers an end to hostilities with Israel. **A6**

◆ **Trump signed** a memorandum to restore hard-line U.S. policy toward Cuba, reversing the Biden administration's efforts to ease some restrictions on the island. **A5**

◆ **The Trump administration** weighed cutting off funds to hospitals that it says provide gender-related treatments for children and teenagers, a move that would escalate official scrutiny of such programs. **A2**

◆ **The Trump administration** sued Los Angeles over its sanctuary-city policies in connection with the federal government's immigration-enforcement efforts. **A3**

◆ **The man accused of** attacking a Jewish group in Boulder, Colo., was charged with murder after a victim died of her injuries. **A5**

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West Bank Settlers Attack Village, Israeli Forces



BURNED OUT: A European Union delegation was shown the site where Israeli settlers attacked Palestinians in the West Bank last week. Settlers clashed with Israel's troops after the military took measures to prevent assaults on Palestinians. **A6**

Russia Presses Its Advantage In Troop Size as Front Expands

By IAN LOVETT
AND NIKITA NIKOLAIENKO

SUMY, Ukraine—Russian forces are just 12 miles from this northern Ukrainian regional capital, a new target for Moscow, as the Kremlin presses its advantage in troop size at a growing number of places along the front.

Having almost entirely ejected Ukrainian forces from

the Russian Kursk region this year, Russian forces have now poured over the border in the opposite direction toward Sumy.

With 50,000 troops in the area, they outnumber the Ukrainians roughly 3-to-1, according to soldiers fighting there.

"Their main strategy," Gen. Oleksandr Syrskiy, Ukraine's top military commander, said of the Russians, is to "wear us

down with their numbers."

The Russian advance toward Sumy comes as President Trump has begun voicing growing frustration with the Kremlin's unwillingness to broker a cease-fire.

Though meetings between Ukrainian and Russian officials have continued in Turkey throughout recent weeks, Moscow has stepped up its missile and drone attacks on Ukrainian

cities during that same period.

At nighttime on Sunday, Ukraine lost an F-16 jet fighter and its pilot during an aerial bombardment, the largest since the start of the war in terms of numbers of munitions launched.

Over the past year, the front line has grown by more than 100 miles, Syrskiy said, and stretches more than 750 miles

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INSIDE



DESIRE RIOS FOR WSJ

BUSINESS & FINANCE
Amazon will soon have as many robots as staff in its warehouses. **B1**



AP/GETTY IMAGES

U.S. NEWS
Trump administration says its investigation found Harvard violated students' rights. **A3**

Firm Offering Private Shares To the Little Guy Stumbles

Linqto faces investigations and a possible bankruptcy filing

By SUSAN PULLIAM AND CORRIE DRIEBUSCH

In January 2023, the chief executive of the private stock investment firm Linqto announced a "Spike Day," a one-day sprint to boost sales to its customers—small investors looking for a shot at buying shares of coveted private companies.

"Take no prisoners," the now-former CEO, William Sarris, wrote in an email to staff, reviewed by The Wall Street Journal. "This is guerrilla warfare."

Sarris was trying to unload shares of Ripple, a privately held crypto company, to Linqto's 11,000 users, at a price at least 60% higher than what Linqto paid. The Securities and Exchange Commission generally prohibits markups above 10% but Sarris pushed ahead, not disclosing the price hike to customers, and the company pocketed \$2 million, according to people close to the situation. An outside law firm later reviewed the transactions and warned that Linqto's ac-

tions may constitute securities fraud, according to a memo reviewed by the Journal.

Now it's looking even worse for Linqto and its customers. An internal investigation has turned up evidence that Linqto customers never owned the securities they thought they did and that the company was marketing to some investors who may not have been eligible to buy stakes in private companies in the first place, according to an internal memo. It's all ending badly, with the company barreling toward a possible restructuring through bankruptcy, according to the new management, and facing investigations of its practices by the SEC and Justice Department.

Linqto, which maintains about \$500 million on behalf of thousands of investors around the world, was one of the earliest firms to capitalize on small investors' growing eagerness to buy into highflying private companies. Its trading platform helped pio-

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Stocks Sit At Record Highs After Wild Quarter

S&P 500 has added more than 9% since Trump announced sweeping tariffs

By KRYSTAL HUR

A historic and tumultuous quarter ended with U.S. stocks at records and many investors betting the ride isn't over yet.

The April swoon that carried the S&P 500 to the brink of a bear market has been erased and then some. The broad index has now added more than 9% since President Trump announced sweeping tariffs that sparked havoc in markets.

Now, investors have more reasons to feel upbeat. Both the S&P 500 and Nasdaq Composite Index are hitting fresh all-time highs. Robust corporate earnings and solid economic data suggest that growth remains resilient. Inflation is trending near the Federal Reserve's 2% target. Banks that slashed their year-end targets for the S&P 500, such as JPMorgan Chase and Goldman Sachs, are raising them again.

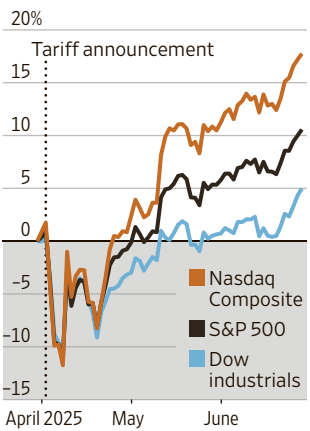
Stocks gained Monday, with the Dow Jones Industrial Average adding about 0.6%, or 275.50 points, after the U.S. resumed trade talks with Canada, which rescinded a digital-services tax that had led Trump to pause negotiations on Friday. The S&P 500 notched its best quarterly performance since 2023, and the Nasdaq saw its biggest quarterly jump since 2020.

"Markets can take some comfort in that we've, in a sense, weathered some of the storm," said Yung-Yu Ma, chief investment strategist at PNC Asset Management. "The worst is probably behind us."

That optimism has fueled fresh gains for some recent stalwarts. The artificial-intelligence trade has rebounded from a rocky start to the year, when the emergence of Chinese upstart DeepSeek's AI model erased billions of dollars of value from Nvidia and other tech giants.

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Index performance, second quarter



Source: FactSet

North Korean Hackers Infiltrated, Scammed Companies, U.S. Says

By ROBERT MCMILLAN

At first, Pemba Sherpa seemed like a great employee. Eager to work, he began as a \$35-an-hour coder who sharpened up an app for his boss, Marlon Williams. But a few years later, Williams fired him, thinking he was probably a crook.

On Monday, federal authorities accused him of being something even more nefarious. According to court filings and cyber investigators, the man claiming to be Sherpa was actually Kim Kwang Jin, a North Korean cybercriminal using a stolen identity. He was part of a group of men who traveled the world looking for ways to make money for their heavily sanctioned government. Their methods of choice

were drawing paychecks and stealing from their employers.

"This was not a simple scam; it was a long con," said Daniel Polk, a special agent with the Federal Bureau of Investigation.

In a federal indictment that was unsealed Monday, Jin and three accomplices—all North Koreans—were charged with five counts of wire fraud and money laundering. Also charged were Kang Tae Bok, Jong Pong Ju and Chang Nam Il.

The men remain at large, but FBI and Justice Department officials said on Monday they are looking for opportunities to arrest them. They also announced charges against people who allegedly helped the North Koreans and said they were conducting searches in 16 states at 29 "laptop farms," places that allegedly helped the North Ko-

reans log into their U.S. jobs. A request for comment to North Korea's United Nations mission in New York went unanswered on Monday.

Williams estimated he paid Sherpa and his associates close to \$400,000 in wages over 20 months. The workers also used their positions of trust to steal more than \$1 million in cryptocurrency, he said.

"I had no clue why it had happened," Williams said. "I really thought it was a disgruntled employee."

Over the past five years, North Korea has deployed several thousand illegal workers who have spanned out across the globe and earned hundreds of millions of dollars in paychecks from Western companies while causing further

Please turn to page A8

Cracker Barrel Fans Mourn Loss of That Old-Timey Feeling

Some diners are taking a dim view of chain's modern glow up; 'just heartbreak'

By JENNIFER WILLIAMS

Is Cracker Barrel still Cracker Barrel without all the butter churns and tchotchkes? Loyal diners aren't so sure.

The chain won the hearts of many Americans with its old-timey country charm. Diners wolfed down pancakes and Southern fried chicken surrounded by vintage advertising signs, old bottles and mechanics' tools—all meant to evoke the feeling of being in your grandmother's house.

Now it's decluttering the decor, and diners and employees are divided.

"I'm secretly wishing that maybe the changes don't come to our restaurant," said longtime diner Sharon Triana.

Eating at Cracker Barrel Old Country Store became a ritual for the Miami resident and her parents. Now, the twice-monthly pilgrimage to a location near Homestead, Fla., includes the 34-year-old's partner and their 10-year-old twins.

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Shaken up

U.S. NEWS

Hospital Funding at Risk Over Gender Care

By Liz Essley Whyte

WASHINGTON—The Trump administration is weighing cutting off funds to hospitals that it says provide gender-related treatments for children and teenagers, a move that would sharply escalate officials’ scrutiny of such programs.

The potential for increased federal scrutiny on gender-related healthcare comes after a 30-day deadline passed Saturday for nine children’s hospitals to respond to letters from Mehmet Oz, the Centers for Medicare and Medicaid Services administrator and celebrity physician known as Dr. Oz. The former heart surgeon and television host demanded data related to sex-reassignment surgeries, hormone therapy and puberty blockers.

“President Trump has been clear: America will protect kids from life-altering and experimental procedures,” Oz said. “CMS has warned hospitals and state Medicaid programs about these dangers—and is taking regulatory enforcement actions.”

Three hospitals—in Boston, Los Angeles and Seattle—told CMS they would respond to the

probe, but none have yet sent the agency data, a Department of Health and Human Services official said. Two other hospitals, in Colorado and Ohio, told The Wall Street Journal they are planning to respond.

Though Oz’s letter didn’t threaten specific actions against the hospitals, CMS officials said they believe they have authority to stop funds for gender treatments for children and teenagers through Medicaid and Marketplace insurance plans. The agency is reviewing its authority to kick hospitals out of Medicaid altogether if they don’t cease providing the surgeries, the CMS officials said.

Many children’s hospitals are financially dependent on Medicaid.

CMS sets conditions that hospitals must meet in order to participate in Medicare and Medicaid, including health and safety standards.

At least one of the hospitals that received a letter, Children’s Hospital of Los Angeles, is closing its program offering gender-related care to children and specifically cited the CMS inquiry in its announcement. The hospital said more

than 65% of its annual revenue comes from federal sources.

“These threats are no longer theoretical. The federal government has already cut off hundreds of millions of dollars from U.S. academic and research institutions,” hospital leaders wrote in a June 12 letter to staff that was viewed by the Journal. “The hospital has been left with no viable path forward.”

A spokesperson for Boston Children’s Hospital said it had an obligation under Massachusetts state law to provide access to gender-affirming care. “We uphold this responsibility with the utmost seriousness,” the spokesperson said.

The Oz outreach is part of the administration’s broader efforts to crack down on gender-related surgeries and treatments for minors. Attorney General Pam Bondi issued a memo in April saying the Justice Department would investigate doctors and hospitals

that perform the surgeries or that mislead families about drug treatments. The Supreme Court ruled in June that states could restrict the procedures for minors.

The nine hospitals that were sent letters from CMS include Children’s Hospital of Philadelphia, Seattle Children’s Hospital, Children’s Hospital Los Angeles, Boston Children’s Hospital, Children’s National Hospital, UCSF Benioff Children’s Hospital Oakland, Children’s Hospital Colorado, UPMC Children’s Hospital of Pittsburgh and Cincinnati Children’s Hospital Medical Center, according to the HHS official.

CMS targeted the nine hospitals because the agency believed them to be the vanguard for the gender treatments for children, the HHS official said.

Some hospitals re-examined their programs for transgender youth after a January executive order from the White House that took aim at what it called

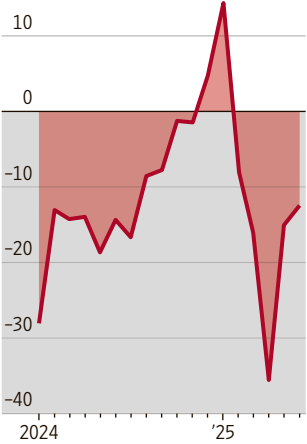
“surgical mutilation.”

One hospital that received a CMS letter, UPMC Children’s of Pittsburgh, said the hospital would no longer offer certain types of gender care, including puberty blockers. A spokesman didn’t specifically cite the CMS letter, but said: “As we continue to monitor executive-branch memos, directives and other guidance from the federal government, these actions have made it abundantly clear that our clinicians can no longer provide certain types of gender-affirming care without risk of criminal prosecution.”

A spokesperson for Cincinnati Children’s said that the hospital doesn’t provide sex-reassignment surgeries for minors and that the hospital “complies with Ohio law related to the provision of medical care and treatment for patients with gender-related conditions.”

A spokesperson for Colorado Children’s said the hospital has never offered gender-transition surgeries to patients under the age of 18. Children’s Hospital of Philadelphia, Seattle Children’s, Children’s National Hospital and UCSF Benioff Children’s Hospital Oakland didn’t respond to requests for comment.

Texas Manufacturing Outlook Survey’s index for general business activity



Source: Federal Reserve Bank of Dallas

Output In Texas Contracts For Fifth Month

By Ed Frankl

Texas manufacturing business conditions weakened again in June, albeit less sharply than in recent months, as high prices continued to hamper firms’ activity.

The Texas Manufacturing Outlook Survey’s index for general business activity, which gauged 80 business executives, climbed to minus 12.7 from minus 15.3 in May, the Federal Reserve Bank of Dallas said Monday.

Despite the uptick, it still marks a fifth straight month of contraction—when the share of firms reporting decreasing activity outweighs those reporting an increase.

Price pressures persisted into June, with the survey’s finished goods prices index rising to its highest reading in nearly three years. Wage growth, however, remained rather subdued, the Dallas Fed said.

The survey’s index of new orders stayed negative but edged up, though shipments fell. Production recorded a second month of near-flat output.

Labor-market measures suggested an increase in head counts but shorter workweeks, the survey said.

Nevertheless, expectations for manufacturing activity six months from now continued to be positive, according to the Dallas Fed.

Officials Identify Dead Suspect in Idaho Firefighter Ambush



GRIM RETURN: Law enforcement said Monday that Wess Roley, 20, was the sniper who started a blaze in a mountain park near Coeur d’Alene and then ambushed a group of firefighters, killing two of them and injuring a third. The wounded firefighter was in stable condition on Sunday night after surgery. The suspect was found dead with a firearm nearby late Sunday after a manhunt. Above, on Monday, firefighters entered the area where the attack occurred.

Stocks End Quarter on High Note

Continued from Page One

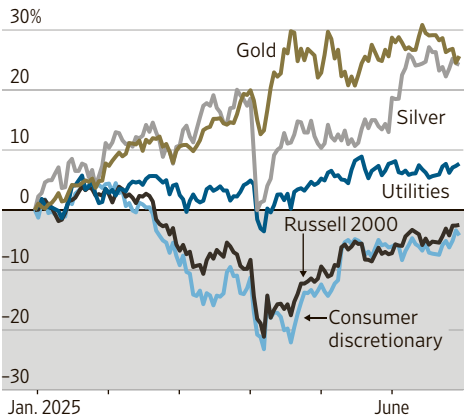
Nvidia shares have climbed 18% this year, Meta Platforms has gained 26% and Microsoft has added 18%. Shares of data-analytics firm Palantir Technologies and chip maker Broadcom are up 80% and 19%, respectively.

The price of bitcoin has climbed back above \$100,000, with Trump, a Republican, reaffirming his promise to make the U.S. the “crypto capital of the planet” and Congress seeking to advance legislation that could integrate crypto into the mainstream financial system. Coinbase led the recovery from the April lows, rising around 130%.

At the same time, some warn that it is just a matter of time before tariffs hurt economic growth, rekindle inflation and weigh on corporate earnings.

Such worries have the Fed pausing its interest-rate reduc-

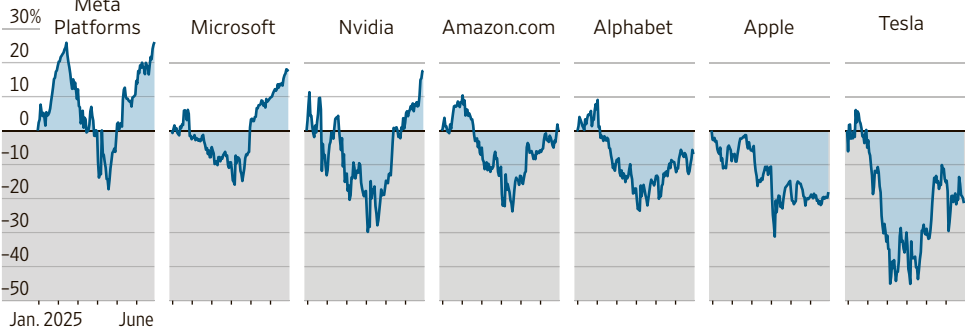
Asset performance, year to date



10-year U.S. Treasury yield, year to date



Share-price performance, year to date



Sources: FactSet (asset and share-price performance); Tradeweb FTSE closes (yield)

tions, while concerns about Trump’s tax bill and the massive U.S. deficit have weakened the dollar.

The yield on the benchmark 10-year Treasury note settled at 4.227% to close out the first half, below where it ended

last year at 4.577%, according to Tradeweb.

“The U.S. has remained strong—that doesn’t mean that the second half of the year will be easy,” said Saira Malik, chief investment officer at Nuveen. “Whether the impact of tariffs shows up in inflation data, we’ve not seen that yet. I think we will see it in the next two to three months.”

Investors’ worries have also manifested in a dizzying rally in haven assets including gold. Gold futures have posted a 25% gain in 2025, marking their best start to a year since 1979. A 24% gain in silver futures, meanwhile, marks their best first-half performance since 2016.

Shares of economically resilient companies such as utilities—which investors often buy when they are nervous about growth—have also outpaced the S&P 500’s year-to-date 5.5% gain. Meanwhile, stocks that tend to rise when the economy is booming, such as the consumer-discretionary sector and small-caps, are lagging behind.

“That’s just not traditional bull-market leadership,” said David Lundgren, chief market strategist and portfolio manager at Little Harbor Advisors. “This is not the time to pile into equities, because you’re kind of in a very broken, fragile, frayed environment.”

Adding to investors’ concerns, some of the “Magnificent Seven” tech heavyweights that have powered market gains in recent years have lost their luster. Shares of Tesla have tumbled about 21% this year, dragged down by weak sales in China and consumer backlash to Elon Musk’s role, and later, fallout, with the Trump administration. Shares of Apple and Alphabet have declined about 18% and 7%, respectively, with investors worrying the companies have fallen behind in the AI race.

Analysts polled by FactSet expect companies in the S&P 500 to report earnings growth of 9.4% this year, below the 14.3% they expected in January.

Still, analysts project earnings will rise 13.7% next year. Many remain hopeful that the economy can dodge the worst of the trade fight and that negotiations will produce deals mitigating the fallout.

And despite stocks looking pricey—the S&P 500 was recently trading at 22 times its expected earnings over the next 12 months, above its 10-year average of 18.7 times—many think indexes can still rise from here.

Chicago Business Activity Weakened In June

By Ed Frankl

Business activity in the Chicago area contracted again last month, amid weaker production and employment and as prices climbed further, according to a monthly survey published Monday.

The Chicago Business Barometer, compiled by MNI Indicators, edged down to 40.4 in June from 40.5 in May, weaker than expectations from economists polled by The Wall Street Journal that it would rise to 43.0.

The below-50 reading, the lowest since January, means activity has been contracting for 19 consecutive months.

The slight decrease was driven by a fall in supplier deliveries, production, employment and order backlogs, though that was almost fully offset by a rise in new orders, MNI said. A lower proportion of respondents reported fewer new orders compared with May, it noted.

However, the index for prices paid climbed to its highest level since May 2022, as 70% of respondents reported higher prices in June, up from 57% in May, the survey said.

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CORRECTIONS & AMPLIFICATIONS

United Natural Foods is based in Providence, R.I. A Markets & Finance article on Saturday about the food distributor incorrectly said it is based in Pittsburgh.

Readers can alert The Wall Street Journal to any errors in news articles by emailing wsjcontact@wsj.com or by calling 888-410-2667.

U.S. NEWS

U.S. Says Harvard Violated Students' Rights

By NATALIE ANDREWS AND DOUGLAS BELKIN

The Trump administration informed Harvard University that its investigation found it had violated federal civil-rights law over its treatment of Jewish and Israeli students, putting the federal funding of the nation's oldest university further at risk.

The investigation is the latest in the battle between the White House and Harvard. The Trump administration has sought to make the wealthiest U.S. university exhibit A in its fight against liberal institutions.

In a letter sent to Harvard President Alan Garber on Monday and viewed by The Wall Street Journal, attorneys for the administration said the investigation found that Harvard knew Jewish and Israeli students felt threatened on its campus and acted with deliberate indifference.

"Failure to institute adequate changes immediately will result in the loss of all federal financial resources and continue to affect Harvard's relationship with the federal government," the letter states. "Harvard may of course continue to operate free of federal privileges, and perhaps such an opportunity will spur a commitment to excellence that will help Harvard thrive once again."

A Harvard spokesman said the school has taken substantive steps to address antisemitism in its community. The school has "strengthened policies, disciplined those who violate them, encouraged civil discourse, and promoted open, respectful dialogue," the spokesman said. "Harvard is far from indifferent on this issue and strongly disagrees with the government's findings."

A formal "notice of violation" of civil-rights law generally is a step that can come before either a lawsuit from the Justice Department or a voluntary resolution with the school. Under past presidential administrations, civil-rights investigations at universities usually ended with voluntary resolution agreements.

In May, the Trump administration issued Columbia University a similar notice that a government investigation had found the school in violation of civil-rights law for allegedly failing to protect Jewish students from harassment. Columbia is also negotiating with the administration over its federal funding and autonomy.

The letter to Harvard said the university failed to act for two years while Jewish and Israeli students were assaulted and spit on. As a result, many concealed their identities for fear of being harassed. It also states that images of antisemitic tropes were widely circulated on campus, including one that "showed a dollar sign inside a Star of David," and that the campus was vandalized with antisemitic symbols, including one with "an Israeli flag with a swastika in place of the Star of David."

Harvard in late April released its own internal reports on campus antisemitism and anti-Muslim bias that portrayed a divided campus where students on both sides of the Middle East conflict felt unsafe in the months after the Hamas attacks on Israel on Oct. 7, 2023. The university laid out changes it has made or was working to implement.

Earlier this year, the administration gave Harvard a list of demands, including requirements that Harvard allow federal-government oversight of admissions, hiring and the ideology of students and staff. The school rejected the proposal. The administration then said it would freeze more than \$2 billion in grants and contracts.

Trump has also tried to block Harvard's ability to enroll international students and threatened its tax-exempt status. Harvard has sued the administration, saying the government has violated its First Amendment and due-process rights.

Kohberger to Plead Guilty in Killings

Family of a victim says pact allows accused to avoid the death penalty

By JOSEPH PISANI AND ALYSSA LUKPAT

Bryan Kohberger, the man charged with killing four University of Idaho students in 2022, is expected to plead guilty as part of an agreement with prosecutors that would allow him to avoid the death penalty, according to one of the victims' families.

Kohberger, 30 years old, was set to go on trial in August for the fatal stabbings of the students in an off-campus residence in the small college town of Moscow, Idaho.

The family of one of the victims, Kaylee Goncalves, said they were frustrated with prosecutors and criticized them for sending an email about the deal with a letter attached instead of calling them directly.

"That's how Latah County's

Prosecutor's Office treats murder victims' families," the family wrote in a statement sent by their lawyer Shanon Gray. "Adding insult to injury, they're rushing the plea, giving families just one day to coordinate and appear at the courthouse."

Authorities arrested Kohberger, a graduate student at Washington State University, at his parents' house in Pennsylvania after a weekslong search for a suspect.

Kohberger was extradited to Idaho, where he was charged with state felony charges of four counts of first-degree murder for the deaths of Xana Kernodle, 20 years old, Ethan Chapin, 20, Madison Mogen, 21, and Goncalves, 21.

He was also charged with one count of felony burglary. He initially pleaded not guilty in 2023.

It was unclear whether the agreement with prosecutors would change the charges.

Prosecutors didn't respond to requests for comment. Neither did Kohberger's lawyer.



Clockwise, the victims Kaylee Goncalves, Xana Kernodle, Madison Mogen and Ethan Chapin. The students were stabbed to death in 2022 at an off-campus residence of an Idaho college.

Deportations Chill Revival in Rust Belt Cities

By KONRAD PUTZIER

CINCINNATI—The first immigrants to arrive in this hill-top neighborhood perched above the Ohio River were Germans who opened taverns, Catholic churches and schools.

More than 150 years later, immigrants from Guatemala are remaking East Price Hill, replacing empty storefronts on Warsaw Avenue with barbershops, taquerias and supermercados.

"We wouldn't have a local economy if not for them holding it up," said Ashley Feist, commercial-real-estate director at Price Hill Will, a local nonprofit.

The public clash over the Trump administration's sweeping deportations has centered on the economic and social fallout in big cities such as Los Angeles and Chicago. Yet deportations are also hitting smaller cities and neighborhoods across the Rust Belt, where economists say recent immigration has helped boost economies and offset long-running population declines.

In the past decade, immigrants, largely from Latin America, have moved into depressed urban neighborhoods in cities across the U.S., drawn by low rents and proximity to jobs. In recent weeks, cities including St. Louis, Pittsburgh and Buffalo, N.Y., were hit by immigration raids.

In Cincinnati, federal agents on May 31 arrested four people in the neighborhood, Homeland Security Assistant Secretary Tricia McLaughlin said. She said all four were in the U.S. illegally, including two who had public-intoxication and driving under the influence charges on their records. At least two people were arrested outside the Kroger supermarket on Warsaw Avenue, eyewitnesses said.

The arrests cast a shadow over the local economy. Restaurant tables emptied. Kitchen workers stayed home. Fruit vendors disappeared from the streets. The number of shoppers at stores shrank, and those who still went didn't linger for long.

Federico Ventura, whose Guatemalan immigrant family



Above, a restaurant owner in East Price Hill, where foot traffic has dried up. Federico Ventura, below left, stood in the small grocery store that his parents opened in the early 2000s. Below right, a flier in East Price Hill called for keeping ICE out of communities.



runs a small grocery store in East Price Hill, said shoppers were slow to return. "They think any truck with tinted windows is ICE," he said.

When Ventura's parents opened the store in the early 2000s, the neighborhood had few Latino residents, and its population was shrinking.

The foreclosure crisis that began in 2006 hit particularly hard. Many of the neighborhood's stately homes fell into disrepair, and some were torn down, leaving the area pockmarked with empty lots. The remaining residents com-

plained about rising crime.

Over the past decade, Latin American immigrants, many from Guatemala, helped temper East Price Hill's economic decline. They came because of cheap housing, the neighborhood's location near downtown Cincinnati and because some Guatemalans already lived in the area.

Between 2010 and 2020, East Price Hill added close to 2,000 Hispanic residents, which helped keep the population nearly steady at around 15,000, according to Census Bureau figures. That influx has

accelerated since 2020, locals say. As older shops and restaurants closed, immigrants opened new ones, keeping Warsaw Avenue lively. The newcomers also filled crumbling apartment complexes, propping up the local real-estate market.

Tensions have flared. The newcomers drove down apartment vacancies, contributing to rising rents. Barbara Rich, who works at an East Price Hill hardware store, said she feels like some immigrants haven't become enmeshed enough in the community, including learning English. When locals

staged a protest against ICE arrests in early June, people driving by in a car stuck their middle fingers at the protesters, said Walter Vasquez, a neighborhood resident and missionary for a local religious organization.

Elsewhere, Pittsburgh's Hispanic population roughly doubled between 2010 and 2023, while the number grew 75% in the Ohio capital of Columbus, according to census estimates. Cincinnati's increase was 92%.

"The types of changes that have taken place in Price Hill have taken place in at least hundreds of neighborhoods in dozens of cities," said A.K. Sandoval-Strausz, a professor of history at Pennsylvania State University.

Many of these places are now sites of immigration raids. Authorities also arrested and deported a recent high-school graduate from Honduras in a different part of Cincinnati in June.

The East Price Hill arrests rattled a neighborhood where many newcomers are in the U.S. illegally but have managed to work. Immigration agents grabbed one man from Guatemala as he stopped at the supermarket on the way to a birthday party, said Vasquez, the neighborhood resident, who witnessed the arrest.

Locals are worried because immigration agents often use unmarked cars, making them hard to spot. "They might show up in a Prius," he said.

A neighborhood fruit vendor, an immigrant from Guatemala, said she used to sell 10 to 12 fruit cups a day. After the arrests that fell to one to three.

At the Valle Verde restaurant, business declined around 50% after the arrests, and servers make a fraction of what they used to in tips, said the owner, another Guatemalan immigrant.

Shaundale Green, who cuts hair at an East Price Hill barbershop, said business had been good, pointing at the sign listing prices of \$30 to \$40 for a cut. But fear was keeping many clients home, eating into his income. "They ain't going out any more," Green said.

Los Angeles Is Sued Over Its 'Sanctuary' Policies

By VICTORIA ALBERT

The Trump administration has sued Los Angeles over its so-called sanctuary-city policies, ramping up tensions between the city and the federal government's immigration-enforcement efforts.

In a lawsuit filed Monday in U.S. District Court for the Central District of California, the administration said a city ordinance severely limiting cooperation with federal immigration officials violates the Constitution's supremacy clause and has made it challenging to carry out enforcement actions there.

"Los Angeles has sought to do nothing short of prohibit [Immigration and Customs

Enforcement] from operating within city limits, directly contrary to federal immigration law," the suit said. It names the city, Democratic Mayor Karen Bass and the city council among the defendants.

Bass's office didn't respond to a request for comment.

A spokesperson for L.A. City Attorney Hyde Feldstein Soto said that the ordinance fully complies with federal law and constitutional principles. "We will defend our ordinance and continue to defend policies that reflect our longstanding values as a welcoming community for all residents," the spokesperson said.

The lawsuit is part of an effort to crack down on cities

and states with sanctuary policies, which have become an obstacle to President Trump's goal of carrying out the largest deportation campaign in U.S. history. Trump also has threatened to withhold federal funding from places that limit cooperation with immigration authorities.

The government said the "inevitable outcome" of Los Angeles's law was direct confrontation with federal immigration authorities, blaming the mayor and city council for the days of protests in downtown Los Angeles earlier in June.

Bass has blamed Trump for exacerbating the protests by sending in the National Guard. She has been critical of en-

forcement actions in the city.

At issue in Monday's lawsuit is an ordinance passed last year by the city council in the wake of Trump's election. The ordinance prohibits almost all use of city resources to arrest and detain residents for the purposes of immigration enforcement.

It also prevents officials from responding to administrative warrants and other requests for detention from immigration officials.

The law doesn't prohibit compliance with valid warrants for criminal offenses.

In an "urgency clause" appended to the end of the ordinance, the council said the new law was necessary to protect Angelenos from the in-

coming administration.

"The policies set forth in this ordinance are rooted in a commitment to the principle that all of Los Angeles is safer when our City personnel maintain a relationship of trust, respect, and cooperation with City residents," the ordinance said.

Los Angeles City Council member Hugo Soto-Martinez said Monday that Trump is trying to force cities to help him carry out his agenda.

"This baseless lawsuit only gets one thing right—we refuse to stand by and let Donald Trump deport innocent families," he said. "We're going to do everything within our power to keep families together."

U.S. NEWS

Senators Press Ahead With Spending Bill

Marathon of votes highlights the tricky balancing act among Republican factions

WASHINGTON—Senate Republicans trudged through a marathon session Monday, aiming to pass the party's "big, beautiful bill" and move the legislation one step further toward President Trump's desk ahead of lawmakers' self-imposed July 4 deadline.

By *Richard Rubin, Lindsay Wise and Olivia Beavers*

Voting on amendments and procedural motions started midmorning and dragged through the day as Republican leaders worked to find a balance of policies that could pass both the Senate and later the House. Trump spoke with congressional leaders by phone, and the White House said it was confident that the bill was on track even as its fate and final content remained uncertain. Various GOP factions seek to push the bill in their favored direction on charged political issues such as changes to Medicaid, food assistance programs and tax cuts. Centrists are fighting to limit cuts to benefit programs and potentially reel back changes to clean-energy tax credits. Fiscal conservatives argue that this bill is a prime opportunity to address the nation's rising debt, and they are pushing for

deeper spending cuts. "It's been a long debate. I know people are weary," Senate Majority Leader John Thune (R., S.D.) said on the Senate floor early in the session Monday. About an hour before midnight, Thune said: "This is a collaborative process. We're collaborating." Republicans can lose only three votes in the Senate and still pass the bill, and Sens. Rand Paul (R., Ky.) and Thom Tillis (R., N.C.) are firm "no" votes. That means GOP leaders have to placate both wings of their party simultaneously, and changes that satisfy moderates could cost conservative votes—and vice versa.

"You've got a pretty broad spectrum in our caucus, and that takes a lot of patience," said Sen. John Hoeven (R., N.D.), who said late Monday that Medicaid, energy and provisions benefiting Alaska were still being worked on. GOP leaders are using a process called budget reconciliation, which allows the Senate to pass the bill with a simple majority rather than the typical 60-vote threshold. Broadly, the bill is an attempt to squeeze as many of Trump's priorities into one piece of legislation. It extends expiring tax cuts permanently and adds new tax cuts for tipped workers, overtime pay and factory construction. It would lower Medicaid spending by adding work requirements and forcing more frequent eligibility checks. The bill directs hundreds of bil-

Bid to Ban State AI Laws Hits Snag

Efforts by some Republicans to ban state laws that would regulate artificial intelligence as part of the party's "big, beautiful bill" hit a fresh snag Monday, when Sen. Marsha Blackburn (R., Tenn.) pulled her support for the attempts. The outcome could dictate who sets guardrails for AI moving forward.

The Senate has been weighing AI moratorium language passed by the House earlier in the megabill process. House Republicans proposed a 10-year moratorium on state AI regulations, a move supported by tech companies and White House officials who worry that a patchwork of rules across the country would stifle innovation.

Many lawmakers felt the initial House language was too broad and would prevent states from legislating in other areas such as child online safety.

It wasn't clear that Sen-

ate Republicans would get the votes to include the moratorium in their version of President Trump's megabill. But an effort led by Sen. Ted Cruz (R., Texas) got a boost Sunday when Blackburn's office indicated she supported draft language that cut the 10-year period down to five years. It would have let states make their own laws for child online safety or protecting a person's name, image and likeness.

Late Monday, Blackburn withdrew her support. "This provision could allow big tech to continue to exploit kids, creators and conservatives," she said.

Uncertainty about how AI will be regulated is hanging over the tech sector and the entire economy. Over 1,000 AI bills have been proposed at the state level, with many lawmakers struggling to keep up with the rapidly evolving technology.

—Amrith Ramkumar

lions of dollars toward border security and national defense. Republicans see the bill as necessary to prevent a damaging tax increase, while Democrats highlight the contrast between continued tax cuts for top households and reductions to social safety-net programs.

Departing GOP House Member Seen as a Pivotal Vote

By OLIVIA BEAVERS

WASHINGTON—Republican Rep. Don Bacon has made up his mind: the centrist Nebraska lawmaker is leaving Congress after this term. But he still has a big decision to make on President Trump's agenda, after years of scraps with the president and the MAGA movement. His announcement that he won't run for re-election comes as the party has just days to pass the president's tax and spending bill ahead of a self-imposed July 4 deadline. Bacon, who is considered a pivotal vote, says he is waiting to see what passes out of the Senate before he decides what to do. "I'm not a 'yes' necessarily," said Bacon in an interview about his decision to leave Congress. He argues that the Senate's initial text on the Republican bill was worse than the version he helped pass out of the House. The Senate is hoping to quickly approve it and send it back to the House, where the GOP has a thin 220-212 majority. "It'll come down to: Does the bad outweigh the good, or the good outweigh the bad by the time it's done?" He said he had concerns about Medicaid cuts and the rollback of clean-energy tax credits. Bacon, 61 years old, has found success running in the middle, winning re-election in one of the most competitive seats in the country since he



Rep. Don Bacon, standing in red tie, casting a vote during a House speaker fight in 2023

flipped Nebraska's second congressional district in 2016. He is also one of the most bipartisan members of Congress, according to the Lugar Center's bipartisan index. After he leaves the Hill, Bacon wants to work to restore more traditional Republican views to the GOP, and is getting more involved with a group called Legacy Republicans, which advocates for can-

didates who embrace views espoused by Ronald Reagan. "I think there's a lot of Republicans who feel like me: We're divided and we're becoming increasingly more protectionist and isolationist, and Republicans learned in the 1930s that doesn't work," he said. "I don't know that our party's going the wrong way, but we're surely divided." Bacon said he wasn't leav-

ing Congress because of fears about re-election, heading into a cycle where Democrats are hoping to claw back the House. Election watchers say control of the House is up for grabs, with Bacon's seat again among the most vulnerable. Instead, Bacon said, his main reason is his desire to be with his family, including his eight grandchildren. After almost 10 years of traveling to

D.C. for work and campaigning, he said he is ready to be home. "A lot of people think maybe I'm not running because it is an off year and historically it is harder on the party in power. But I feel like I'm in as good a position politically as I've ever been," Bacon said. "It also requires having a lot of gas in the tank," he said, adding: "After this last November, I just felt like my gas was empty." Bacon, who served nearly 30 years in the Air Force and retired at the rank of brigadier general, cited dreams of one day being a cabinet official such as defense secretary or director of national intelligence—but not in this administration. "I don't think Trump would ever want me—I disagree with him probably too much," he said. Bacon won re-election last year despite voters in his district backing Democratic presidential nominee Kamala Harris over Trump, fending off his challenger by less than 2 percentage points. He represents just one of three GOP-held seats that Harris won. His biggest margin was in 2020, winning by just under 5 points when Trump lost to Joe Biden. Bacon says the most heated political moment for him was during the intraparty fight following the ouster of former Speaker Kevin McCarthy in 2023, in which Bacon joined about two dozen other Repub-

licans in blocking Rep. Jim Jordan (R., Ohio) from the speakership. Conservative grassroots activists mobilized to attack him and allies. There are times Bacon agrees with Trump, such as on his authorization of attacks on Iran. And there are times when he doesn't agree with Trump, particularly on Ukraine. He voted to certify Biden's electoral win in 2020, and he backed the Biden infrastructure law. In May 2022, Trump went after Bacon at a rally in Nebraska just one week before the GOP primary, calling Bacon "bad news." He also praised, but didn't ultimately endorse, Bacon's challenger. In 2024, Bacon got Trump's backing in the general election. Bacon said he decided to announce his plans so that House GOP leadership can recruit the right candidate. He informed House Speaker Mike Johnson (R., La.) and other GOP leaders on Friday. Bacon says there are two good GOP candidates—friends of his—who are looking to run: Brinker Harding, a city councilor from Omaha, and Brett Lindstrom, a state senator. Harding declined to comment on whether he plans to run but said he would make an announcement on Tuesday. Chris Chapplear, a former chairman of the Nebraska Federation of Young Republicans, is considering launching a bid, according to people familiar with his plans.

Where Things Stand on the Most Contentious Proposals

By JASMINE LI

WASHINGTON—Republicans looking to get their sprawling tax and spending bill to President Trump's desk by Friday need to quickly resolve a series of longstanding fights over some of their most contentious proposals. Republicans have a 53-47 majority in the Senate—and two GOP senators, Thom Tillis of North Carolina and Rand Paul of Kentucky, are already firmly opposed. The House is also narrowly split. Here are some of the most fiercely debated provisions in the megabill, and the changes some Republicans seek:

SALT

The Senate proposal would raise the state-and-local tax, or SALT, deduction cap to \$40,000, up from \$10,000 under current law. The maximum deduction would increase by

1% every year through 2029, then revert to \$10,000 in 2030. The SALT changes would take effect starting with the current tax year. The maximum deduction would begin phasing down once income passes \$500,000. The income threshold would increase by 1% every year through 2029. Raising the SALT cap would cost roughly \$179 billion more through 2029 compared with an earlier Sen-Paul proposal to extend the current cap with some workarounds, according to the congressional Joint Committee on Taxation. Many Republicans are against raising the SALT cap, seeing it as expensive and mostly benefiting high-tax blue states. Sen. Mike Lee (R., Utah) wants to permanently extend the \$10,000 SALT cap, but that could mean risking votes in the House. A group of blue-state House Republicans who fought for the higher SALT cap

threatened to sink the bill if it didn't meet their demands. **Medicaid** The Senate proposal would reduce more than \$1 trillion in spending on healthcare programs—mostly Medicaid—over the next decade, according to the Congressional Budget Office. The bill includes new work requirements of 80 hours a month for adults, with some exceptions including for caregivers of children under 14. Several Senate Republicans have raised the alarm about limiting "provider taxes" charged to hospitals that then enable states to attract matching federal funds. It has been dubbed a scam by some fiscal conservatives, creating a split in the Republican conference. Starting in 2028, the maximum provider tax rate would gradually decline to 3.5% from 6% in states that expanded

Medicaid under the 2010 Affordable Care Act. For the 10 states that didn't expand Medicaid, provider taxes would be frozen in place. The bill would also create a \$25 billion stabilization fund for rural hospitals to help offset the impacts. Sen. Susan Collins (R., Maine) is seeking to boost the rural hospitals fund to \$50 billion, and pay for that by restoring the pre-2018 income tax rate for individuals earning more than \$25 million or couples making more than \$50 million to 39.6%, up from the current 37%. Sen. Rick Scott (R., Fla.) proposed reducing the 9-to-1 Federal Medical Assistance Percentage match for some new enrollees in Medicaid expansion states, starting in 2031. He has the support of Senate GOP leadership and the White House. But Scott's amendment could be a hard sell for senators from states with trigger laws that would

automatically scale back or end Medicaid expansion if the federal matching rate drops below a certain percentage. **Deficits** The bill would add nearly \$3.3 trillion to deficits compared with current law and letting tax cuts expire as scheduled, according to the CBO. But Republicans are using an unprecedented maneuver that claims extending expiring tax cuts have no effect on the federal budget. That assumption rebrands the bill's effect from a \$3.3 trillion deficit increase into a \$508 billion deficit decrease, CBO estimates show. This enables Republicans to comply with budget reconciliation rules that prohibit increasing deficits beyond the 10-year budget window. Several Republican senators including Paul and Ron Johnson, of Wisconsin, have loudly

complained about the deficit impact. **Energy** The Senate proposed phasing out tax credits for clean-energy projects and adding a new tax for some. It would also end tax credits for buying electric vehicles starting Sept. 30. Some Republican senators say this puts jobs at risk. Under the latest Senate version, wind and solar projects would only qualify for tax incentives if they go online by Dec. 31, 2027, and hydrogen projects only qualify if construction begins by Jan. 1, 2028. Industry players were surprised late Saturday by the addition of an excise tax for wind and solar projects completed after 2027 that use certain foreign components. Some said it would be challenging to disentangle their supply chains from China.

U.S. NEWS

Trump Moves to Restore Tough Cuba Policies

By VERA BERGENGRUEN

President Trump on Monday signed a presidential memorandum to restore hard-line U.S. policy toward Cuba, reversing the Biden administration’s efforts to ease some restrictions on the Communist-run island. The memorandum reinforces the Trump administration’s stance that Cuba is a U.S. national security concern, reimposes a statutory ban on tourism, and doubles down on the decades-old economic embargo. It also builds on Trump’s move to keep Cuba’s designation as a state sponsor of terror, which the Biden ad-

ministration moved to lift as part of a Vatican-brokered deal to free political prisoners. The new directive will again prohibit most U.S. travel to Cuba, ordering the Treasury Department to audit travel records and assemble an inspector general report to the president. Some rare allowances, such as educational trips and humanitarian or religious visits, will now require a U.S. host organization as well as a chaperone, and travelers will be required to keep receipts for five years. Cuba is mired in its deepest economic crisis since the 1990s, plagued by 18-hour blackouts and acute food and

fuel shortages. Trump’s memorandum directs the State Department to publish a new blacklist of all entities tied to the Cuban military, intelligence or security services. It also expands the list of “prohibited officials” to include provincial lawmakers, union bosses, editors of state media outlets and local sector chiefs of the Committees for the Defense of the Revolution, a neighborhood surveillance group. This significantly broadens the group of Cubans who are barred from doing business with Americans and receiving remittances or visas. It also directs Secretary of

State Marco Rubio to set up a new task force of relevant agencies, including the Office of Cuba Broadcasting and outside groups, to look into ways to expand internet access on the island “so that the Cuban people can enjoy the free and unregulated flow of information.” That same office, which is home to Radio Marti, a U.S.-sponsored broadcaster created to undermine the Cuban regime, was closed this year amid more cuts to the U.S. Agency for Global Media. After its employees were put on administrative leave and its services suspended, it resumed broadcasting with a smaller staff.



The Trump administration views the Communist-run island of Cuba as a national-security concern for the U.S.

U.S. WATCH

ARTS & CULTURE

13th Amendment Copy Sets Record

Billionaire Ken Griffin just bought two of the most significant documents ever signed by President Abraham Lincoln, adding to his trove of Americana. Griffin reset the record for any document signed by Lincoln when he paid Sotheby’s \$13.7 million on Thursday for a rare, handwritten copy of the 13th Amendment. The president signed the single sheet of vellum in 1865 ending slavery nationwide, and it is one of only four surviving copies to remain in private hands. The collector also won a rare copy of the Emancipation Proclamation for \$4.4 million in Sotheby’s rare books sale in New York. Griffin said the coming anniversary of the country was on his mind when he decided to bid for the latest documents at Sotheby’s; he plans to lend them to institutions next year as well.

—Kelly Crow

COLORADO

Injured Boulder Attack Victim Dies

The man accused of attacking a Jewish group in Boulder, Colo., with incendiary devices has been charged with murder after one of the victims died from her injuries. Prosecutors upgraded attempted murder charges against Mohamed Sabry Soliman, 45, following the death of 82-year-old Karen Diamond, who suffered severe injuries in the June 1 attack. “This horrific attack has now claimed the life of an innocent person who was beloved by her family and friends,” Boulder District Attorney Michael Dougherty said. Soliman disguised himself as a gardener to get close to a group peacefully demonstrating in support of hostages held in Gaza, before allegedly hurling two lighted Molotov cocktails at them. Prosecutors have identified 29 victims, 13 of whom suffered physical injuries during the attack.

—Jack Morphet

NEW YORK STATE

Cornell Targeted Over DEI Practices

A conservative think tank with deep ties to the Trump administration has targeted Cornell University with a civil-rights complaint, alleging the school used DEI practices that the group says are discriminatory in its faculty hiring and student scholarships. The complaint alleges Cornell placed “an illegal identity-based ideology above equal opportunity and merit” that discriminated against job candidates. The Cornell complaint was brought by the America First Policy Institute, a research group that was chaired by Linda McMahon before she became President Trump’s education secretary. Secretary of Agriculture Brooke Rollins is a former chief executive of the organization. U.S. Attorney General Pam Bondi also held a post there. A Cornell spokesperson said the school’s hiring policies focus on merit and prohibit discrimination. “The university will promptly review any complaints about past hiring practices and take appropriate action if our antidiscriminatory hiring policies were not followed,” the spokesperson said.

—Douglas Belkin

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¹ Estimates provided by S&P Global

WORLD NEWS

West Bank Settlers Attack Israeli Forces

Incident highlights the lack of law and order in parts of the occupied territory

By DOV LIEBER

Israelis from West Bank settlements have attacked Israel's troops and vandalized military sites in the occupied territory in recent days, after the country's military took measures to combat assaults on Palestinians.

On Sunday night, a demonstration outside a military installation in the West Bank turned violent, with some Israeli civilians attacking security forces, including with pepper spray, the Israeli military said. They also damaged military vehicles and set fire to an electronic installation the army said was used to maintain security.

Video from the scene showed demonstrators holding signs calling a local military commander "a traitor."

This followed an incident on Friday where Israeli troops enforcing a closed military zone outside a recently attacked Palestinian village were ambushed by dozens of Israeli civilians who hurled stones and physically assaulted them, including the battalion commander, the military said. During the altercation, a teenager among the group attacking the Israeli troops was injured.



Relatives in Kafr Malik, West Bank, mourn over the body of one of the three Palestinians killed during an attack by Israeli settlers.

The incidents highlight the lack of law and order that has pervaded the West Bank in recent years, as Israelis associated with settlements have frequently attacked Palestinians, often without consequences, and sometimes clashed with Israeli security forces.

The Israeli attackers on Sunday spray-painted "re-

venge" on the military site, something they often scrawl when committing attacks against Palestinians.

Israel's government includes far-right lawmakers and ministers who often express sympathy for Israelis who attack Palestinians, but the recent attacks on Israeli security forces received broad condemnation, in-

cluding from the far right. "Attacking the security forces, security facilities, and Israeli soldiers who are our brothers, our protectors, is a red line, and must be dealt with the utmost severity," Itamar Ben-Gvir, Israel's far-right minister for national security, wrote on X.

The recent attacks on Palestinian villages went uncon-

demned by senior Israeli figures. These include an attack Wednesday night by dozens of Israeli civilians in the village of Kafr Malik in the southern West Bank near Ramallah, said Israeli, Palestinian and United Nations officials.

The Israeli attackers set fire to property in the village, Israeli and Palestinian authori-

ties said. When an altercation broke out, the army intervened and opened fire on Palestinians who threw stones and shot at troops, the military said.

Three Palestinians were killed during the incident, the U.N. said. Israel's military said it detained five Israeli suspects.

Palestinians and rights groups have long complained that Israelis have been able to carry out attacks on Palestinians and that they haven't had protection from the Israeli military, whose soldiers are sometimes present during the attacks. Many areas of the West Bank are off-limits to Palestinian security forces, and Israel's military is charged with protecting civilians there.

Israeli military officials say they try to prevent attacks against Palestinians but are constrained by a lack of resources.

Israel captured the West Bank from Jordan in the 1967 Mideast war. Palestinians and most of the world say the territory is occupied by Israel and that Israeli settlements there are illegal. Israel considers the West Bank to be disputed territory and most of the settlements to be legal.

Watch a Video



Scan this code for video on settlers attacking Israeli forces in the West Bank.

Shootings in Gaza Prompt Reorganization of Aid Sites

By ANAT PELED

Israel's military said it would reorganize how it operates around newly established aid-distribution sites, after incidents in which troops fired toward desperate crowds they said posed a threat to soldiers—leaving hundreds of Palestinians dead, local health officials say.

On Monday, Israeli forces killed 11 people who were seeking food near the Gaza Humanitarian Foundation site in Khan Younis, witnesses, hospitals, and Gaza's Health

Ministry told the Associated Press. Separately, at least 30 people were killed and dozens wounded at a seaside cafe, the health ministry said.

The military said it added fencing, signs, barriers and checkpoints to better identify access routes to the sites, "minimizing friction with the population." The previous setup put Palestinians in danger when they walked through combat zones to get food.

The Israeli-backed aid program was launched in late May, after a blockade on Gaza that

lasted more than two months. The new system, run by GHF, replaced one operated by traditional humanitarian groups at hundreds of locations.

In the GHF system, Palestinians are funneled toward a handful of centers in southern and central Gaza, to keep aid deliveries from being looted and turned into a source of funding by Hamas. The militants deny intercepting the aid.

International aid groups have refused to cooperate with the plan, saying it goes against their neutrality principle.



Palestinians are treated for wounds received after visiting an aid center, Nasser Hospital said.

U.S. Removes Syria Sanctions as Israel Looks to Expand Treaties

President Trump removed economic sanctions on Syria, seeking to bolster the fledgling government in Damascus

By Anat Peled, Summer Said and Dov Lieber

as it considers an end to hostilities with Israel.

Trump signed an executive order Monday to formally dismantle much of the decades-old U.S. sanctions program on Syria, unwinding sweeping economic and financial restrictions. The order preserves targeted sanctions on ousted Syrian leader Bashar al-Assad, his inner circle and designated terrorist groups.

Israel is looking to expand regional peace treaties to include Syria and Lebanon, its foreign minister said Monday, after re-

cent comments by Trump and Israeli Prime Minister Benjamin Netanyahu suggesting Israel could normalize relations with more Arab or Muslim countries in the wake of its war with Iran.

This comes as Israel and Syria have been holding discussions for months about ending hostilities, people briefed on the negotiations said. There are no direct talks between Lebanon and Israel, and a deal is less likely, they said.

Netanyahu's senior confidant, Ron Dermer, is in Washington, to discuss a deal that would create formal relations between Syria and Israel among other issues, people briefed on the trip said. Syria and Israel have fought three major wars against each other.

Trump suggested on Sunday that other countries could

join the Abraham Accords—a 2020 set of agreements struck during his first term that normalized relations between Israel and some Arab countries. Netanyahu has said the war with Iran opened up opportunities for Israel to normalize relations with other nations.

An expansion of treaties with Arab or Muslim countries could further shift the balance of power in the Middle East away from Iran and in Israel's favor.

The opportunity to improve relations comes after the fall of Assad, who was aligned with Iran. Israel has attacked and weakened Iran and its regional allies since the Hamas-led Oct. 7, 2023, deadly assault on Israel. Syrian President Ahmed al-Sharaa has taken a hard line against Iran, driving Iranian forces from the coun-

try and banning Iranian citizens from entering Syria.

But any agreement would contend with a more-than-50-year dispute over the Golan Heights, which both countries claim as theirs, and challenges facing Sharaa, who is still consolidating his grasp on power.

"Israel is interested in expanding the Abraham Accords," said Gideon Sa'ar, Israel's foreign minister, at a Monday news conference. "We have an interest in adding countries, such as Syria and Lebanon, our neighbors, to the circle of peace and normalization—while safeguarding Israel's essential and security interests."

He also laid down an Israeli red line: Maintaining Israeli sovereignty over the Golan Heights, part of which Israel annexed in 1981, and a move

the U.S. recognized in 2019 under Trump. Much of the world considers it occupied territory. Israel occupied further territory in Syria beyond a former United Nations-controlled demilitarized zone between the two countries after Assad's fall in December.

Any deal with Israel would come with risks for Sharaa, who took over in Damascus only about six months ago in a country where most people view Israel as an occupying power. Sharaa enjoys support from many Syrians for his role in pushing Assad from power, but faces skepticism over his government's treatment of minorities and the slow pace of reconstruction and overhauls.

He faces challenges to his rule, including from elements loyal to the old regime. He

also must finish implementing a pact signed in March designed to integrate Kurdish militias into the military.

If a deal were struck with Syria and Lebanon, it would mean Israel would be at peace with all its Arab bordering nations, even as its conflict with the Palestinians remains unsolved. It has peace deals with Jordan and Egypt. Israel has fought major wars against all four countries.

It has been the longstanding position of Arab countries that there would be no normalization with Israel until there was a solution to the Israeli-Palestinian conflict.

Syrian officials didn't respond to requests for comment. Dermer's office confirmed he is in the U.S. but didn't expand on the meetings.

Iran's Risky Calculation: To Build, or Not to Build, a Nuclear Bomb

By JARED MALSIN AND LAURENCE NORMAN

The debate about whether U.S. strikes obliterated Iran's nuclear program or only delayed its progress toward being able to build a nuclear weapon by a few months skips over a key component in the equation: Iran's political calculation.

If Iran were to make the decision to build a nuclear weapon, it would be betting that it can complete the job and establish deterrence before the U.S. and Israel intervene—through military action, economic pressure or diplomacy—to stop it.

A longer timeline increases the risk of being spotted or struck again, which could dissuade Iran from taking such a gamble. A delay of a few months could translate into a lot longer

than it sounds if it keeps Tehran from moving ahead.

"If they start their breakout effort, and it takes them three months, that's a lot of time to respond. It gives you time to detect it. It gives you time to mount a response," said Michael Singh, managing director at the Washington Institute for Near East Policy and a former senior official at the National Security Council.

Before the war with Israel, the general assumption was it would take Iran a few months to make a crude weapon as powerful as the bomb dropped on Hiroshima and deliverable by truck or ship, and one to three years to make a warhead that could be fit atop a missile.

Some analysts are concerned the attacks by Israel and the U.S. might have convinced hard-liners in Tehran

that the only way to preserve the regime is to make a run at developing nuclear weapons.

"If Iran decides to weaponize, it will take more time than it would have otherwise,"

said Alan Eyre, a former State Department official and member of the U.S. negotiating team under the Obama administration that worked on the 2015 nuclear deal with Iran. "But, paradoxically, we might have strengthened their resolve to seek a nuclear weapon now."

"They're going to be figuring out how to reconstitute some sort of defensive strategy, or at least create a new

one," he said.

Nuclear experts and U.S. officials say Iran could have stashed away enough centrifuges and material to race for a bomb. Rafael Grossi, head of the International Atomic Energy Agency, has said Iran has the industrial and technological wherewithal to resume enriching uranium in a few months.

His agency is responsible for inspecting Iran's nuclear sites but hasn't been able to visit the sites since the Israeli strikes on Iran began June 13.

Iran's options now include trying to reconstitute a covert nuclear program and produce a

bomb as fast as possible. A second option would be to agree to a diplomatic path that limits its ability to build a weapon by ending its enrichment of uranium, which the Trump administration has pushed.

Iran also could try to split the difference: Engage in nuclear diplomacy while quietly advancing its nuclear program. That would mean working in secret at sites hidden from international inspectors, which would make the task more cumbersome.

Trump and his administration say the U.S. airstrikes destroyed the facilities at Fordow, Natanz and Isfahan. If so, Iran would need new, hidden enrichment sites, as well as facilities to turn enriched uranium into metal for a bomb core, and manage a covert program that can get nuclear scientists to

the site without being spotted.

The fate of the fissile material stockpile and how many centrifuges Iran still has remain unclear. Some might have been moved from Iran's nuclear sites before the U.S. attack.

The IAEA's inspectors lost the ability to track Iran's manufacturing of centrifuges because of restrictions Iran imposed in response to Trump's withdrawal from a 2015 deal.

Experts believe Iran has yet to seriously work on miniaturizing a nuclear weapon and integrating it onto a missile, which could take one to three years.

"This process of actually making a warhead is not just a physical process. It also comes down to the engineering," the Washington Institute's Singh said. "There's a little bit more art, rather than just science, to that part of it,"

WORLD NEWS



Infantrymen from the Chimera group of the Timur brigade prepare for maneuvers in the Sumy region of northern Ukraine.

Russia Pressures Ukraine

Continued from Page One
in an arc from the northeast to the south.
The Russians have been probing in different spots across the line, and then pushing hard when they find one that gives, as they did in Sumy in May.
That leaves Ukrainian commanders playing whack-a-mole, sending in elite units to help plug gaps.
Ukraine in June sent elite commando units from its military-intelligence directorate, known as HUR, to help stabilize the situation.
Since then, the Russian advances in Sumy have been largely stopped, and Ukraine

has clawed back some territory.
“Now we’re looking for ways to conduct our own assaults and push the enemy back,” said Timur, commander of the Timur Special Forces Unit, an elite unit of HUR that has been fighting in the region for several weeks.
It isn’t an easy task for Ukrainian forces, which are outnumbered nearly everywhere across the front.
“Their numbers are a big problem for us, though not enough to overrun us,” said Kappa, commander of the Chimera unit of the Timur Special Forces Unit. “The enemy is losing 300 to 400 people per day across the region. But they can deal with that level of casualties...They keep bringing in reserves.”
Soldiers in the area said that holding Sumy is coming at a greater human cost than necessary.
During the half-year that Ukraine held territory in Russia’s Kursk region, soldiers



no overhead cover from drones.
The soldiers are digging their own positions under drone fire in some cases.
They also complained that areas that the Russians are now advancing across weren’t mined.
“It’s like they prepared for tank columns, not a battlefield where dozens of drones strike daily,” said one infantry commander named Kyrlyo, who fought in Kursk and is now fighting in Sumy. “Every single day a position isn’t ready is a day someone might not come back.”
Asked about fortifications last week, Defense Minister Rustem Umerov said the defensive lines in Sumy were being improved in threatened areas.
“Fortification is not just about concrete and trenches—it is an adaptive engineering system that takes the enemy’s tactics into account and always serves one purpose: protecting our warriors.”

WORLD WATCH

INDIA
At Least 12 Killed In Explosion, Fire
An explosion and fire at a Sigachi Industries pharmaceutical factory in the southern state of Telangana killed at least 12 people, authorities said Monday. Nearly three dozen injured workers were admitted to hospitals, according to state’s fire services, which said debris was being removed to find out if any more workers were trapped.
India is home to some of the world’s top pharmaceutical companies, playing a pivotal role in the global supply of generic medicines and vaccines.
—Associated Press

UNITED KINGDOM
Man, 92, Guilty Of 1967 Murder
In what is thought to be the United Kingdom’s longest-running cold case ever to be solved, a 92-year-old man was convicted Monday of the rape and murder of a woman in southwestern England in June of 1967. A jury at Bristol crown court found Ryland Headley, then aged 34, guilty of attacking 75-year-old Louisa Dunne.
When the case was re-examined in 2023, DNA from Dunne’s skirt linked Headley to the murder scene. He was arrested last November.
—Associated Press

PAKISTAN
Heavy Rains Bring Deadly Flash Floods
Nearly a week of heavy monsoon rains and flash floods across Pakistan has killed at least 46 people and injured dozens, officials said Monday. Irfan Virk, a Pakistan Meteorological Department deputy director, said forecasters can’t rule out a repeat of 2022, when rains inundated a third of the country, killing 1,737 people and causing widespread destruction.
The deaths from the past week include 13 tourists from a family of 17 who were swept away Friday.
—Associated Press

KENYA
Vendor Shot By Police Dies
Boniface Kariuki, shot at close range by a police officer during a June 17 protest, has died, his family said Monday. An Associated Press photographer captured the moment when Kariuki—who appeared to be a bystander during a protest over the death in custody of blogger Albert Ojwang—was shot in the head.
Two police officers have been arrested over the shooting of Kariuki. Six people, including three police officers, have been charged with the death of Ojwang.
—Associated Press



MEAT THE FLOWER: An *Amorphophallus titanum*, known for being the largest flower in the world and having a scent like rotting flesh, is currently putting out a rare bloom in Berlin.

AGING GROWS EXPERIENCE, NOT MEMORY LOSS.

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FROM PAGE ONE

N. Koreans Accused Of Scam

Continued from Page One
damage through theft and extortion. Their primary goal is to raise money. But because the workers also download intellectual property while working their jobs, their work makes for a strange blend of both spy and scammer, the FBI said.

In recent years, they have scored jobs at technology companies, a “top-5 national television network and media company,” an “iconic American car manufacturer,” and “one of the most recognizable media and entertainment companies in the world,” among other places, according to court filings.

Williams first heard from Sherpa in August 2020, during the height of the pandemic. Sherpa reached out on a Telegram discussion list. He was looking for work.

“Hi everyone. Hope all of you are doing well and staying safe,” he wrote. “This is Pemba, a senior full-stack engineer with over 7 years of professional experience.”

Sherpa’s message was ignored, but he was persistent. He began sending direct messages to Williams. A month later, Williams needed a software developer. He thought of Pemba and dropped him a line. Sherpa did good work, quickly rewriting and improving the user interface for a crypto project. By October, when Williams was looking for a developer to help him with his next big idea, he hired him.

Williams was a longtime crypto enthusiast. By 2020, he had spotted a way to cut down on a kind of fraud that was becoming a big problem in the crypto world. It occurs when unscrupulous software developers cook up interesting-sounding projects and then take seed investment money to get them off the ground. But instead of delivering code, the scammers take the money and run.

Williams started a company, known today as Starter Labs, that would use smart contracts



Starter Labs founder Marlon Williams, second right, made the man he knew as Pemba Sherpa CTO of his company in 2021.

to ensure software developers wouldn’t get their investment money until they shipped code. To date, the project has been entrusted with more than \$45 million in investments.

In online chats, Sherpa opened up a little about his personal life. He was a graduate of the University of Sharjah in the United Arab Emirates. He was in his late 30s, with a girlfriend. “His dad was from Nepal; his mom was Korean; he was raised in Korea, but then moved to Dubai,”

Williams said.

At first, Sherpa didn’t know much about the arcane world of cryptocurrency smart contracts, so Williams did the coding himself, using a programming language called Solidity.

But then one day in March 2021, Sherpa said he was stepping up his game. “Hey,” he told Williams, surprising him. “I spent the past month or so learning Solidity and I think I’m really good at it now.”

By the summer of 2021, Wil-

liams made Sherpa chief technology officer of his 12-person company. Now Sherpa was management, and he started to bring in coders of his own.

Starting last year, anonymous researchers started posting information about Sherpa and other alleged North Korean IT workers, tracing them to Laos. The indictment alleges that the four men worked together and has been generating at least \$10 million a year for North Korea, the blockchain analytics company TRM Labs said.

As CTO, Sherpa was able to insert himself into Starter Labs’ money flow. When investors contributed funds to projects, Sherpa would have access to them, Williams said. By the fall of 2021, he had transferred more than \$500,000 of funds from his wallet without incident. “I trusted him more and more,” he said. “In my mind, we had become friends.”

In October 2021, Williams began to lose trust in Sherpa after \$30,000 went missing from a project. But because Sherpa’s wallet was linked to so many projects, he couldn’t

cut him loose. In March, Sherpa withdrew hundreds of thousands of dollars and “started trying to launder the money,” Williams said. “Not too long after that, he deleted all of our chats,” Williams said. Then he deleted his LinkedIn profile and disappeared.

Williams reported the scam to the FBI. He hired a private investigator in Dubai to try to find information on Sherpa, whose attitude had turned “extremely defensive,” after the \$30,000 went missing. “I really thought it was a disgruntled employee kind of thing.

Nearly three years after the hack, the FBI reached out to Williams with an update. “We may not be able to recover any funds here, but we do know who did this and it’s a group,” they said, according to Williams. “They said it was North Korean IT workers.”

These days Williams isn’t a fan of the cryptocurrency community’s culture of anonymity. “I would never ever work with another developer that I do not know,” he said. “I have to see your wife, your family, your kids. We have to have lunch together.”

The Fall of A Firm for Little Guy

Continued from Page One
neer a private stock trading avenue for the little guy, with fewer rules and less regulation than the public market.

Its “guerrilla” tactics harked back to the days of boiler-room trading, featuring blast emails and posts on social media hyping up stocks and playing on customers’ fear of missing out—or “FOMO”—on new investments, most of them sought-after tech companies like Elon Musk’s SpaceX and the artificial intelligence company Anthropic.

“Throw everything we have at this one targeted date...influencers, marketing, ads, social, calls and smoke signals,” Sarris wrote to managers about Ripple. When one employee pushed back on promotional emails, citing worries by the company’s lawyers about mentioning specific companies, he replied: “Forget what legal says.”

More than a dozen other platforms selling shares in private companies have opened to retail investors in recent years, including Start-Engine, Hiive and Forge.

High demand

During the pandemic, low interest rates and stimulus checks fueled individuals’ desire to buy up private companies. The number of so-called unicorns—private companies valued at \$1 billion or more—has shot up to around 1,275, from 90 a decade ago, according to CB Insights.

Now, the SEC and the Justice Department are looking into whether Lingto failed to adequately disclose its pricing practices and whether Sarris sold shares customers thought they owned without telling them, according to a person familiar with the situation. Sarris left his CEO post in March.

That same month, Lingto acknowledged that an internal investigation had turned up “serious securities law violations,” at the company. “Much of what we discovered about the prior business practices at Lingto is disturbing,” said Dan Siciliano, Lingto’s new chief executive officer. “These practices aren’t small one-off, compliance or common regulatory missteps.”

When contacted in early June about this story, a lawyer for Sarris said at that time he had no comment.

In March, Sarris signed a memo alleging that new management overstated the severity of Lingto’s violations of federal securities laws in a bid to seize control of the firm. A subcommittee of Lingto’s board found the allegations “groundless.”

All of Lingto’s investors have been locked out of the holdings they believed they owned because of the investigations, including those who invested in the Ripple “spike” sale and more recently in Circle, a crypto company that went public to much fanfare in June and whose stock is now trading at around six times its IPO price.

The SEC permits “accred-



ited” investors, or those with a net worth of more than \$1 million or annual salary of more than \$200,000, to buy and sell private shares, under the theory that these people should be sophisticated enough to navigate the potential hazards. There were 24.3 million U.S. households who qualified in 2022, compared with 1.5 million households in 1983, after income thresholds were first established, according to SEC estimates.

John Deaton, a Massachusetts lawyer who attended board meetings as a customer representative, says he invested \$495,000 of his net worth in private companies through Lingto.

Deaton was a believer in Lingto’s business model: “The big investment firms have all these barriers of entry for real people,” he says, but if Lingto marked up prices on shares and misled its clients, “then all they did was take advantage of unsophisticated investors,” he says.

Moody’s Ratings warned recently that the push to sell private investments to retail investors could stress the financial system.

At the same time, lawmakers are being lobbied by big private-equity players and retail brokerages to make it easier for small investors to get into the market. Last year Republicans on the Senate Banking Committee introduced a bill to allow any investor capable of passing an exam to buy private securities.

Investor-protection advocates have pushed back, saying changing the rule would water down necessary safeguards for investors while enriching Wall Street.

‘Wizard of Oz’

Lingto’s the San Jose offices are now mostly empty cubicles, with the trading platform shut down.

Sarris, 74, majored in applied mathematics and talks often about his memory for trivia, including the stats for every baseball player, no matter the year.

He and his wife, Vicki, founded Lingto in 2010 and cycled through a series of ideas about what business it should pursue before landing on the private trading platform for retail investors.

The company said it would



John Deaton, top, invested \$495,000 through Lingto, while Thomas Lennon, bottom, says he was able to invest \$10,000 in private shares of Ripple even though he wasn’t accredited.

make private equity investing easy, and “democratize” the rarefied private markets. Greg Kidd, a neighbor at a San Francisco co-working space who became one of the first investors in Lingto, had connections at Ripple, and he helped Sarris get access to pre-IPO shares of the crypto company to sell on Lingto.

Other pre-IPO companies, including the payment company Stripe and Fanatics, a sports-merchandising company, followed.

Sarris gained the nickname “Wizard of Oz” because he pulled levers controlling the firm’s sales and strategy, often without telling anyone around him and without warning. He sometimes expressed disregard for Lingto’s lawyers, saying in one email: “If I think legal should be overridden, I will tell you.”

At town halls for the company, he laid out an ambitious vision, saying Lingto would become a major player for selling private shares and the next multibillion-dollar company in the financial-services industry, one attendee recalled.

Lingto rose in popularity as it advertised low investment

minimums. Customers could buy stakes in their favorite private companies for as little as \$1,000—compared with \$10,000 or even \$100,000 on other platforms with higher minimums.

The company even allowed some people who weren’t accredited investors to participate in the deals.

Among them was Thomas Lennon, 33, who in September 2024 invested \$10,000 in Ripple—the minimum amount for a promotion offering investment “slots” to 35 who weren’t accredited, he said.

“That’s a lot of money for me,” said Lennon, who says he was excited to have a chance to buy the crypto company. “This was my first time dealing with private equity,” he said, but says “it was a chance I was willing to take because I wanted access to Ripple shares.”

With minimal checks about income and assets, customers like Lennon could start buying into private companies. Loyal users were encouraged to recruit their friends in order to earn “Lingto bucks,” credits they could use in their accounts.

Sarris and his team whipped up demand by blasting out emails and alerts suggesting that a hot private stock was in short supply—even when Lingto had access to plenty of more shares. Hours or days later, the company would follow up with emails announcing a sudden, supposedly new availability, emails show.

The ultimate goal was to push the price of private stocks as high as possible, according to internal emails that were reviewed by the Journal. In 2022, for instance, Sarris urged a manager to increase the price of software company PolySign to \$3.25 per share from \$3 to boost Lingto’s revenue by \$600,000. “We can turn it into a Unicorn via our platform,” Sarris said in an email.

Lingto didn’t just profit from selling shares of private companies to users. Sometimes the deals went the other direction.

Ripple buyback

At the end of 2023, Lingto learned that Ripple, which remains private, was preparing to buy back shares from customers at roughly \$61 each. Lingto reached out to customers, who were in the black on their Ripple investments, and convinced them to sell 144,000 shares of Ripple back to the company at an average of \$55 per share, according to people close to the situation. It then sold them all to the crypto company at the higher offering price, booking more than \$8 million in revenue.

The SEC and Justice Department are investigating whether Sarris improperly sold an additional 16,000 shares of Ripple without the permission of customers, according to people familiar with the situation.

Lingto sought to ramp up its business by creating special purpose vehicles, or SPVs, to hold the shares. SPVs put investors one step away from actual ownership of shares because they own units of the SPVs, rather than the stock itself. The SPVs allowed hundreds of new investors to buy into the SPVs without officially being registered as shareholders by the underlying company. It was a way around SEC requirements that limit the number of investors private businesses can have without going public. It also allows smaller investors to buy pieces of very expensive private companies.

Pushing boundaries

Lingto created more than 500 of these vehicles, and the plan was to put customers’ investments in these funds.

But it isn’t clear if the shares were ever formally put into the SPVs, according to company documents and current employees, throwing into doubt the identity of the actual owners of the shares.

In its rush to sign up more users, Lingto also pushed other boundaries, buying email lists that contained prospective customers from sanctioned nations such as Iran and North Korea. They signed up roughly 100 customers who said they were from those countries, according to people close to the situation.

The customers didn’t end up buying shares through the

platform, these people say, but businesses are prohibited from even recruiting from blacklisted countries.

By early 2024, Lingto’s business was thriving and it boasted nearly 750,000 registered users on its platform. By the time it shut down there were well-heeled customers, including about 80 customers who invested \$500,000 or more and about 20 who invested more than \$1 million.

In April of 2024, the company announced a \$700 million merger with a publicly traded special-purpose acquisition company, or SPAC, a deal that would have netted Sarris and other executives millions of dollars in stock.

Damning memo

Ahead of the deal, Lingto hired an external law firm to conduct a review of its business practices. The law firm came back with a damning 18-page memo—written a few months after the Ripple “Spike Day”—warning the company that it was potentially violating multiple federal laws, including antifraud provisions of U.S. securities laws. The external lawyers advised Lingto to “immediately cease” charging markups for shares.

In September 2024, Lingto abandoned the SPAC merger. A short time later, the SEC informed the company it was starting an investigation into its business.

Lingto’s own lawyers were also sending warning signals. In an eight-page memo, they worried that its tactics were potentially illegal and outlined roughly a dozen recommended changes, including no longer allowing its customers to “self certify” that they were accredited and avoiding any possible exposure to “severe civil or even criminal penalties,” according to the memo.

SEC cooperation

In January 2025, Lingto brought in new managers, led by Dan Siciliano, the founder of a smaller startup that offered employees of private tech companies a way to sell their shares. Siciliano, who was hired as an eventual successor to Sarris, brought in another law firm, Sullivan and Cromwell. People familiar with the matter said Lingto began cooperating with the SEC investigation at that point. The DOJ launched its own probe in early 2025, according to a person close to the situation.

The new CEO, Siciliano, is bracing for a fight with customers but said in an interview he believes “there is a path that preserves their value.”

These days Lingto customers—once giddy about private market investments—are anxious about whether they will get access to their investments, or even get their money back. A group of customers, many supportive of prior management, recently launched a grassroots campaign to try to “free” Lingto.

If Lingto files for bankruptcy reorganization in the coming days, as people close to the situation say is expected, its customers will likely be transformed into unsecured creditors who will have to wait in line to get paid.



Hamptons Fitness Scene Gives Fashion a Workout

Scoring a mat at one of the East End’s trendy and expensive classes has become a status symbol

By RORY SATRAN

It’s 9:30 am, and I’m sweating in the back row of the Formula x Meredith, one of the Hamptons’ most popular workout classes. In front of me are CEOs, influencers and stay-at-home moms who have paid \$55 to jiggle with ankle weights in a room heated over 85 degrees. I clock four pairs of Hoka sneakers, five pairs of On running sneakers, six Splits59 spandex sets, seven Cartier Love bracelets, five yellow-gold Cartier Juste un Clou bracelets and more diamond tennis bracelets than I can count. Most of instructor Meredith Shumway’s classes are sold out until Labor Day.

In the ultra-commodified Hamptons, scoring a mat at one of the trendiest workouts is yet another status symbol.

“It’s like owning a really nice bag,” says Caroline Rose Kenlon, 27, who works in finance in New York and blogs about fitness.

Kenlon keeps a running spreadsheet of Hamptons workout-class prices, which are often jacked up from their city counterparts. Most hover around \$50 for one class but can go up to \$75 for a Tracy Anderson class, or well into the hundreds for small-group and private classes.

Shumway, an alum of elite fitness programs Tracy Anderson and Physique 57, is a goddess to her followers in the feverish Hamptons workout scene, which has exploded in recent years. Seasonal pop-ups from cultish New York and Los Angeles studios like dance-focused Forward Space, the elite Forma Pi-



Clockwise from top: A Tremble fitness class, part of the cutthroat Hamptons workout scene; the Barn leases space to luxury workout studios and instructors of the popular dance class Forward Space.



lates and celebrity-favorite Torch’d by Isaac Boots descend on the East End of Long Island from June to September, joining several year-round offerings.

In a region where weekenders routinely scarf down \$97 lobster salads and \$10 tomatoes, those prices aren’t quelling demand. Some classes open their spots one week in advance, others at the beginning of the season. Wait lists of over 20 people are common. Many instructors I spoke to describe a gold rush of sorts, with summer 2024 and early summer 2025 bringing in record enrollment.

“These spaces are very cut-throat,” says Kristin Malta, 39, the founder of food-sensitivity testing brand the Foundry. She lives in Southampton and often does two classes in a row of the most competitive ones, booking the following week’s workout while still dripping with sweat to ensure her spot.

For the die-hards like Malta, the options are only growing. Wave Wellness offers workout classes and treatments like “CryoSlimming” and “Crystal Therapy” in Sag Harbor and at a new Southampton location. Fuze House in Montauk opened this year, offer-

ing infrared-heated classes. A “Nordic Strong” pop-up in Sag Harbor claims to “mimic the vibrant energy of the Northern Lights.” The chic and sleek year-round gym Post House, home of “Savage Body,” Walter Savage’s incredibly popular circuit-training class, opened in Sag Harbor in 2024. At one particularly sweaty intersection in Bridgehampton, Shumway’s studio is in shouting distance from a branch of Equinox that offers \$75 day passes and the Barn, which includes impossible-to-get-into classes from SoulCycle, Forward Space, Forma and the

shockingly difficult Tremble class on a large reformer machine.

The history of the Barn tells the tale of the Hamptons’ evolution from farmland to sold-out billionaire playground. Brooke Burnside’s mother, Susan Burnside, bought the large, ramshackle wooden structure on Butter Lane 39 years ago. In the early 1980s, the Burnside began leasing space to old-school exercise class Lotte Berk, and then to Physique 57 in 2006. In 2007, SoulCycle came in, and it’s since grown to become a major fitness destination.

The Barn’s parking lot, which is mobbed with tricked-out vintage Land Rovers and Teslas, is a cross-section of the current South Fork hierarchy. Young men in Grateful Dead T-shirts and collectible sneakers direct traffic, with overflow heading to the Hayground School nearby and the street.

“Who else has a potato barn with high-end fashion and luxury cars?” says Burnside.

At Hamptons workout classes, most of which sell merchandise, the outfits are as important as the weights. “We take fitness fashion seriously out here in the Hamptons,” says Malta, who likes Alo Yoga as well as Vitality, a brightly colored brand sold at the Tremble space in Southampton.

Arielle Charnas, the fashion influencer and Something Navy co-founder, wore a pair of \$168 pink Free City sweatpants to the Formula x Meredith class I attended.

One-piece leotards are popular at Tracy Anderson; at Forward Space, women like sports bras with baggy pants; at Post House, sets and a \$125 Post House sweatshirt rule. Big tube socks pulled way up are having a moment. I’ve spotted Amber Waves trucker hats and Celine baseball hats—even during workouts. After class, people change from their workout shoes into furry Prada sandals and throw their water bottles into raffia Chanel totes. Jewelry is everywhere, especially yellow-gold bracelet and necklace stacks with blingy pieces from Cartier, David Yurman, Ileana Makri and Van Cleef & Arpels.

At the Barn, there’s an entire jewelry boutique, La Enovesé Designs, which offers items like a golden necklace reading “RIDE” for SoulCycle devotees, and bedazzled “shroom” pendants. There are also caps that read “neck worth > net worth” and “rent on my wrist.”

“My friends met us at the Barn just to go shopping,” says Ally Shapiro, a content creator and co-founder of Jill Zarin Home with her mother, original Real Housewife of New York Jill Zarin. She bought a quarter-zip sweatshirt.

The fashion, the cars, the music—it all adds up to an atmosphere that rivals the area’s nightclubs, just with more matcha than mescal.

“People want to be seen there,” says Stacey Golden, who runs the Out East Fitness social-media accounts. Even when they work out with rollers in their hair, or plastic-surgery bandages still on, which she says she’s witnessed in classes.

Though some attendees have taken to filming social-media content during class, Shapiro thinks it’s most respectful to keep your phone in your bag. After class, all bets are off. “If you don’t take a selfie there, it didn’t happen.”

By SAM SCHUBE

ON ZOHRAH MAMDANI’S 2006 yearbook page from Bank Street, a private K-through-8 school on Manhattan’s Upper West Side, the eighth-grader included a quote attributed to Mark Twain: “Clothes make the man. Naked people have little or no influence on society.”

Nearly two decades later, the 33-year-old member of the Democratic Socialists of America is the presumptive democratic nominee for New York City mayor. He did it in part by paying careful attention to what he wore—almost always a dark suit with a white shirt and a slim patterned tie knotted tightly at the neck. The overall effect was sober professionalism, not radical chic. “Zohran’s an activist, right? But we don’t think of activists as people who can be politicians,” said Thom Bettridge, editor in chief of the fashion magazine i-D. “The suit is kind of what makes him a politician.”

Through the spring, a suited-up Mamdani seemed omnipresent in New York. In social-media videos, ads broadcast during Knicks games and out pressing the flesh in person, Mamdani sported a carefully groomed beard and tidy haircut, and stuck to his suits and ties—decidedly not wearing the ballcap-and-band tee get-up popular with his fellow DSA members.

But Mamdani’s suits aren’t the blousy, boxy styles favored by most politicians. Instead, they’re cut slimmer, befitting both his youth and

Mamdani Displays His Strongest Suit



Through the spring, a suited-up Mamdani seemed omnipresent in N.Y.

antiestablishment message. The vibe accords with the image Mamdani established on social media during his campaign: that of the friendly neighborhood radical, your cool former co-worker who hits the bar after raising taxes on billionaires. Call it skinny-tie socialism.

To close observers, Mamdani’s taste in tailoring speaks volumes.

Derek Guy, the popular menswear commentator, said one of Mamdani’s suits, a textured brown number with patch pockets, was J.Crew’s popular Ludlow model. A wire photo of Mamdani with his jacket open revealed a label from Suitsupply, a brand popular with style-minded but budget-conscious young men. A few of the ties he wore during his cam-

paign also matched options previously sold by J.Crew.

Their slim-but-not-too-skinny width called to mind the preppy styles made famous by the Kennedys—an association, however subtle, designed to reassure voters scared off by Mamdani’s lefty leanings. Their lengths, though, had more in common with President Trump’s runaway neckwear than anything from Camelot. “He ties them really long,” Guy noted. (Neither the Mamdani campaign nor J.Crew responded to requests for comment.)

Mamdani’s approach to suiting, Guy explained, isn’t exactly bleeding-edge: The candidate’s preferred brands bear the slim silhouette of a slightly bygone era. “He dresses like a guy that would have been interested in clothes in, like, 2012,” Guy said. Back then, a slim-cut suit was a novelty—a radical shift from the baggy versions that defined the ‘80s and ‘90s. Today, it’s the baseline for young professionals in need of something nice to wear to work. It also might get you laughed at by your zoomer colleagues. “He’s probably read at least one GQ magazine,” Guy said. “And it probably was in 2012.”

Even if his personal style is stuck in the recent past, Mamdani isn’t a cookie-cutter dresser. Guy highlighted another of Mamdani’s suits, a darker number, as more likely a

custom job—the stitching along the lapels, to his eye, was done by hand. And a few of Mamdani’s other stylistic touches—black boots, even in the summer; silver rings on his right hand; a hipster Casio watch—peg him as style-conscious, if not someone who spends hours trawling eBay for vintage accessories.

“Someone who puts no thought into their dress would not have stumbled into a J.Crew Ludlow suit, would not have bought side-zip boots,” Guy said. “But he also doesn’t seem like he’s a guy who’s particularly obsessed about clothes.”

For some industry observers, not trying too hard to look fashionable is a positive. “I don’t want my politicians of any age trying to express themselves or their policies through clothing,” said Chris Black, a consultant and podcast host in New York. Mamdani, Black said, “dresses like a person in their early 30s who actually goes to work every day. It’s totally safe, appropriate and fits pretty well.”

Still, even that is enough to separate Mamdani from his rivals. “I think he dresses better than many politicians his age,” Guy said, and far differently from his challengers for the Democratic nomination, in their shiny suits and bright-colored ties. “Cuomo is very polished—he just looks like a politician.”

He ‘dresses like a person in their early 30s who actually goes to work every day.’

CLOCKWISE FROM TOP: TREMBLE STUDIOS; THE BARN; FORWARD SPACE

KWIE STRUENS/SHUTTERSTOCK

PERSONAL JOURNAL.

Tracing AI’s Insatiable Appetite for Energy

Our columnist attempts to track your AI prompt’s journey from your laptop to a GPU cluster—and access its impact



PERSONAL TECHNOLOGY
JOANNA STERN

There they were. Golden boxes, louder than a toddler on a red-eye, hotter than a campfire in a heat wave, pricier than a private Caribbean island.

Yes, real, working **Nvidia** GPUs.

I was under strict “look, don’t touch” orders—as if I’d, what, lick the mesh metal enclosure. Just standing there, I could hear and feel the electricity being devoured.

We’ve all heard about AI’s insatiable energy appetite. By 2028, data centers like this one I visited in Ashburn, Va., could consume up to 12% of all U.S. electricity, according to a report from the Energy Department and Lawrence Berkeley National Lab.

And yes, we’re the problem, it’s us. Every time we ask AI to write an email, draw an anime-style George Washington or generate a video of a cat doing a back flip, we’re triggering another roar in those massive halls of GPUs.

What I wanted to know was, how *much* power do my AI tasks actually use? The equivalent of charging a phone? A laptop? Cooking a steak on an electric grill? Powering my house?

After digging into the research, visiting a data center, bugging just about every major AI company and, yes, firing up that grill, I got some answers. But not enough. Tech companies need to tell us more about the energy they’re using on our behalf.

The process

Let’s start with a recent, popular example: “a video of a cat diving off an Olympic diving board.” The moment you hit enter, that prompt gets routed to a massive data center.

When it arrives, it kicks off inference, where pretrained AI models interpret and respond to your request. In most cases, rows of powerful Nvidia graphics processing units get to work turning your weird idea into a weirder reality. Rival chips from companies like Amazon, Google or Groq are also starting to be used for inference. The model training itself happens earlier, with Nvidia chips.

The facility where I saw that “SuperPod” of Nvidia H100 GPUs was run by Equinix, one of the world’s largest operators of data centers that provide cloud infrastructure—and now, AI.

Chris Kimm, Equinix senior vice president of customer success, said that while AI training



Joanna Stern got a rare look at a ‘SuperPod’ of Nvidia DGX H100 GPUs at an Equinix data center. Rows of cages stretch across the data center.



can happen just about anywhere, inference is best done geographically closer to users to deliver the best speed and efficiency.

The energy

Figuring out how much energy your individual AI prompts use would be a lot easier if the major AI companies actually shared the darn info. Google, Microsoft and Meta declined. Google and Meta pointed me to their sustainability reports.

OpenAI shared *something*. Chief Executive Sam Altman said that the average ChatGPT query uses about 0.34 watt-hours of energy. OpenAI wouldn’t break out details on text, image or video energy usage.

Researchers have stepped in to fill the gap. Sasha Luccioni, the AI and climate lead at open-source AI platform Hugging Face, has run tests to estimate the energy required to generate different

types of content. She also maintains an AI Energy Score leaderboard. Since the top AI players use their own proprietary models, she relies on open-source alternatives.

The energy required to generate content varies widely depending on the model and GPU setup. Compare Luccioni’s findings with

charging a typical smartphone, which uses around 10 watt-hours of energy:

- **Text:** A lightweight, single-GPU Llama model from Meta used about 0.17 watt-hours, while a larger Llama model running across multiple GPUs used 1.7 watt-hours.
- **Images:** Generating a single 1024 x 1024 image with one GPU also used 1.7 watt-hours.
- **Video:** This is the most intensive. Even making 6-second, standard-definition videos used anywhere between 20 and 110 watt-hours.

I wanted to better understand the stakes—literally. So I grabbed an electric grill from Home Depot, a power meter and my video producer, David Hall. About 10 minutes and 220 watt-hours later, we had a thin, medium-well steak. Translation: The energy it took to cook a decent dinner was about the same as generating two AI

videos, at the high end.

Remember the short AI film I made using Google Veo and Runway a few weeks ago? We generated about *a thousand* 8-second, 720p clips for our film. Going by these estimates, we might have used roughly 110,000 watt-hours. That’s nearly 500 steaks!

But, as I said, Luccioni doesn’t have the power-consumption data for the commercial AI tools, and her numbers aren’t a perfect match: On the one hand, our video was higher quality than the 6-second, 480p clips in Luccioni’s research. On the other hand, the popular video models are likely optimized for greater efficiency, experts say.

“Until we get access to these models,” Luccioni said, “all we can do is estimate.”

Her tests also use Nvidia’s last-generation Hopper chips. Nvidia has seen a jump in energy efficiency with its latest Blackwell Ultra chips, according to Josh Parker, the company’s head of sustainability. “We’re using 1/30th of the energy for the same inference workloads that we were just a year ago,” Parker said.

That said, plenty are still using those older chips. The pod I saw at Equinix’s facility? It cost over \$9 million in just Nvidia hardware alone. You don’t just toss that in the dumpster when new ones come out.

And I’ve only covered electricity. These hot GPUs also require a lot of water to stay cool, but that’s a whole other story.

The impact

Data-center providers and tech companies I spoke to all said the same thing: Demand for these GPU-filled buildings keeps multiplying. Just driving through Ashburn, I saw five massive data centers going up.

The companies also stressed the improving efficiency of models and chips, *and* their efforts to shift to cleaner, more renewable energy sources.

No matter how efficient things get, more of us are using AI. We could all buy more efficient air conditioners, but if the planet keeps getting hotter, we’re going to crank the AC more—and burn more energy.

Luccioni hopes we at least consider energy use when we use these tools, maybe think twice about generating a dozen cat videos. And it’s on the companies to start sharing real numbers, so

The average ChatGPT query uses about 0.34 watt-hours of energy.

that we can make informed choices.

Back to Virginia, and those screaming GPUs. Turns out, they weren’t generating Olympic kitty videos. They were owned by Bristol Myers Squibb—and they were searching for new cures to diseases.

Not *all* AI prompts are what you’d call a waste of energy.



Watch a Video

Scan this code for a video of WSJ’s Joanna Stern visiting a data center in Virginia.

DAVID HALL/WSJ (2)

Restaurant’s Makeover Riles Its Fans

Continued from Page One

After devouring down-home cooking, they shop for candy, toys and other goodies in the retail store attached to the restaurant. But the biggest draw is the rustic atmosphere.

- “It’s kind of unique for us to go to a Cracker Barrel, since it kind of feels like we’re not in Miami for a little bit,” said Triana, who owns an online plant shop. Her dad recognizes farming tools hung around the dining area. Her children ask questions about the framed photographs on the wall.
- “It has always felt like being in someone’s home,” Triana said. “But opening the walls, lighter colors and atmosphere, it feels like something colder.”
- The extent of the glow-ups, part of a broader update of the brand, varies. Some restaurants are getting a light face-lift—maybe just a fresh coat of paint—while others are getting a full makeover, for a brighter, more modern look. Forty of the chain’s roughly 660 locations have been spruced up in some way as of early May. The company hasn’t publicly shared how it decided which restaurants get which treatment.
- The most pressing question for some diners and employees—after when the changes might spread to



their location—is where they can scoop up the antiques being taken down. Many fans have hypothesized that the old decor is heading to a sprawling warehouse on Cracker Barrel’s home campus in Lebanon, Tenn., which houses tens of thousands of authentic Americana.

Cracker Barrel said much of the decor is being reused, and what isn’t, is being sold to a third party. It didn’t offer more detail.

For some loyalists, the nostalgia they feel for the chain is about more than just the slice of Americana it offers.

Rachel Love has been going to a Cracker Barrel in Smyrna, Tenn., for most of her life. The food has been a draw, sure, but the real lure is memories of breakfasts and dinners with her grandmother and parents. When it recently closed for several days and trailers were stationed in the parking lot, worry crept in.

Love convinced herself that a light spruce up was under way, even as white paint coated the outside of the restaurant. “I thought, well maybe it’s primer,” said the 38-year-old government analyst.



She learned the hard truth Easter Sunday. The outside was still white. So was much of the inside. Fewer antiques hung on the walls. Booths replaced some of the wooden tables. Some of the rocking chairs that have long flanked Cracker Barrel’s storefronts were unseated by Adirondacks.

“It was just heartbreak,” said Love, who chronicled her grief in a series of TikToks. “My 14-year-old son was devastated.”

Negative reactions to the face-lifts

are a gift, said Cracker Barrel CEO Julie Felss Masino. “It’s because people have an emotional connection with the brand,” she told The Wall Street Journal Global Food Forum in June. The chain is working to honor that fandom even as it makes changes, Felss Masino said, adding that its updates are based on discussions with diners and workers.

“People’s immediate reaction to things is like, ‘Oh this isn’t the way it was,’” but they tend to come around, she said.

At the remodeled location in Smyrna, Tenn., much of the interior is white and fewer antiques hang on the walls.

For at least one employee, the transformation can’t come soon enough.

D.T., who asked to go by her initials to protect her job, works at a location in central North Carolina that has yet to be remodeled. But she’s seen the new look in a video sent around to employees. “I honestly was blown away,” she said.

Menus are easier to read with brighter lighting, she said. The flow between retail stores and restaurants benefits from the more open floor plan. Plus, simple decor makes it easier to keep things clean.

D.T. expects the blowback will pass.

“Any restaurant that likes to base itself on a specific time period, it’s going to have to go through that sort of identity crisis,” she said. “But I think it might be overblown. It’s not like Cracker Barrel is trying to roll in with TVs.”

Julie Bidtah is already on board. Though the 50-year-old Durango, Colo., resident is no Cracker Barrel regular, the restaurant has been a convenient road trip pit stop over the past four decades. In her view, the old look was, well, old.

“It is a little bit cluttered,” the healthcare professional said. “It is a little bit dark. And it is a little bit dusty.”

Still, the chain shouldn’t go too far, she warned: “Your name is Cracker Barrel, so you’re kind of stuck with the whole nostalgia thing.”

FROM LEFT: PAUL WEAVER/ZUMA PRESS; RACHEL LOVE

ARTS IN REVIEW

By Edward Rothstein

Washington

Inscribed on the grand neo-classical façade of the Folger Shakespeare Library is the famed tribute to the playwright by his contemporary, Ben Jonson: “Thou art a monument, without a tombe, / And art alive still, while thy booke doth live, / And we have wits to read, and praise to give.” Since 1932, this research library has been a monument to that monument. Its world-class collection of Shakespeare materials amassed by Henry Folger (1857-1930), chairman of Standard Oil of New York, and his wife, Emily (1858-1936), form the core of the library’s still-growing holdings, accompanied by an Elizabethan-inspired theater, exhibitions, and a publication program that includes widely used teaching editions of the plays.

Last year, the Folger reopened after an \$80 million expansion that was really a transformation, adding for the first time a permanent exhibition along with new galleries for temporary shows (now featuring “How to Be a Power Player: Tudor Edition”—a playful survey of “social climbing” as a “competitive sport” in the age of Queen Elizabeth I). Particularly, though, it also presents us with a Shakespeare who doesn’t seem worth much attention.

This doesn’t mean there aren’t things worth attending to here. The new permanent exhibition, “Shakespeare: Then and There, Here and Now,” for example, displays the world’s largest collection of First Folios in one gallery. Dimly lighted behind a glass wall are 82 examples of this first collection of Shakespeare’s plays, printed in 1623, seven years after his death. Touchscreens guide us, exploring markings and scars left by four centuries of readers. The “Power Player” exhibition, too, is charming and suggestive.

But what of Shakespeare’s achievement? Aye, there’s the rub. These explorations of the Folios and Tudor power plays deal with secondary matters—the collection, the era’s sociology—and neither illuminates Shakespeare’s accomplishments. And while the permanent exhibition also includes a working model of a 17th-century printing press (along with an interactive



EXHIBITION REVIEW

Dismantling the Master

The Folger Shakespeare Library leaves the playwright oddly diminished

simulation), it reveals nothing about the artistic or dramatic powers of the works printed. Another gallery primarily presents centuries of performance memorabilia.

One ambition of the new Folger, it seems, is to topple Shakespeare from his monumental status. Rather than mount stairs to a grand temple-like portal, visitors now descend on ADA-compliant ramps leading through small gardens to lower-level side-entrances. The entire grand Tudoresque Great Hall is now a Starbuckian (or Falstaffian?) coffee shop.

This is not just a symbolic leveling. The opening gallery of the permanent exhibition—the Folger’s main introduction to Shakespeare’s work—seems written by a middle-school teacher for a middle-school student, both burdened by grudges. “Who was Shakespeare?” reads the opening panel. “A hero? An icon? The name on a book you never wanted to open?” Why would you

not want to open it? Is it off-putting because of its aura of elite achievement? Don’t worry, only faint praise is found here. Shakespeare, the panel continues, was “a writer, an actor, and a businessperson.” His reception has made him seem overly grand, or worse. And though his words “outlived him”—and two books on display show him avidly quoted as early as 1600—there is nothing too special about those words: “Sometimes they connected people, sometimes they divided people.” We are urged to “talk back to Shakespeare.”

That is what the Folger does, first implying guilt by association: “While Shakespeare was writing his plays,” reads one label, “England was colonizing this land that we are currently standing on.” Does it matter that this is scarcely shown to be relevant, since England’s colonization efforts were little more than a glint in Queen Elizabeth’s eye during the first part of the

playwright’s career and even at his death in 1616 were still fairly insignificant? It is just preparation for our era’s most lurid curse: “For far too long,” we are told, “Shakespeare was seen as both the property of white culture and evidence of its supremacy.” We are shown examples of racism in the treatment of black actors (because of segregation, for example, John Gielgud could have lunch with Earle Hyman—the black star of Howard University’s 1951 “Hamlet”—only in Washington’s bus station). But no evidence is offered of Shakespeare as poster-boy for white supremacy or why any such misuse should be treated as his defining feature.

But that is the dominant theme. A centrally displayed bust shows Hyman (1926-2017) as Othello, a character he initially shunned (the label explains) as “a Black general falling for a white person’s deception.” A commissioned installation by the black artist Fred Wilson

The library in Washington, which has the world’s largest collection of First Folios.

plays with symbolism: Through an Italianate black mirror, we see the reflection of an alabaster Queen Elizabeth I in George Gower’s 1579 portrait. Yet throughout, no insight is provided into Shakespeare’s racial metaphors and nothing shows how Shakespeare’s plays might transcend formulaic racial readings.

Is there any chance that the Folger’s new director since October, Farah Karim-Cooper, might give this exhibition, which she inherited, a warmer, more detailed approach, as is (partly) the case in her 2023 book, “The Great White Bard: How to Love Shakespeare While Talking About Race”? Perhaps. But in that volume Ms. Karim-Cooper is also determined that Shakespeare should never be hailed again as a “native genius”—an emblem of “English exceptionalism” and its implicit “whiteness.”

Whiteness, though, is hardly the point of Shakespeare’s genius or his reputation. So distinctive were Shakespeare’s powers that his writings, along with the contemporaneous King James Bible, shaped the English language. Almost a century and a half later Samuel Johnson, compiling his landmark dictionary, used more than 17,000 Shakespeare quotes, about 15% of all his citations. The U.S. was heir to that language along with the Enlightenment ideas it helped articulate. Emily Folger called Shakespeare “one of the wells from which we Americans draw our national thought, our faith and our hope.” That is why the Folger was built neighboring the U.S. Capitol, the Supreme Court and the Library of Congress. In its Great Hall, the coat of arms of Elizabeth is at one end, and the shield and eagle of the U.S. at the other; Shakespeare is their connection.

This seems to embarrass the new Folger, but that only means that Shakespeare was even greater than Ben Jonson affirmed in the Folger’s engraved encomium. His art is alive still, despite the fact that here there is scant praise to give, and few signs of wits to read.

Mr. Rothstein is the Journal’s Critic at Large.

ARTS CALENDAR

HAPPENINGS FOR THE WEEK OF JULY 1

By WSJ Arts in Review Staff

Film

“Jurassic World Rebirth” (July 2)

Set five years after the events of 2022’s “Jurassic World Dominion,” the new movie stars Scarlett Johansson, Mahershala Ali and Jonathan Bailey as the leaders of an expedition to acquire life-saving DNA from an isolated environment occupied by dinosaurs.

“Kill the Jockey” (July 2)

In this crime comedy from Argentine director Luis Ortega, a once-renowned jockey, Remo Manfredini (Nahuel Pérez Biscayart), finds himself addicted to drugs, unable to satisfy his preg-

Art

“Crossings” (Rijksmuseum, Amsterdam, July 4-Oct. 12)

Tying past to present, this show juxtaposes 19th-century British colonial photography from the Indian subcontinent with pictures taken by French-Sri Lankan artist Vasantha Yoganathan in many of the same locales, showing how place and perspective shift not just through time but through the eyes of specific photographers.

“MOCA Focus: Takako Yamaguchi” (The Museum of Contemporary Art, Los Angeles, through Jan. 4, 2026)

The third installment of the museum’s “Focus” series,

president (Mr. Cena)—as they become targets of a foreign adversary, and allies by necessity.

“The Old Guard 2” (Netflix, July 2)

In the sequel to 2020’s film, Andy (Charlize Theron) and her band of immortal mercenaries face off against Quynh (Veronica Van), who has spent 500 years repeatedly drowning. Uma Thurman and Henry Golding join the cast.

Theater

“Heathers the Musical” (New World Stages, New York, through Sept. 28)

Based on the classic ’80s film starring Winona Ryder and Christian Slater, the musical follows Veronica Sawyer (Lorna Courtney) as she navigates the difficult—even deadly—social scene of West-erberg High. Following a tour in the U.K. directed by Andy Fickman, the production returns to the stage where it made its off-Broadway debut.

Music

Kesha, “—” (July 4)

Released through the singer’s own label, Kesha Records—and pronounced “period”—this is her first album since leaving RCA Records and Kemosabe Records in 2023 following a legal battle with her former producer, Dr. Luke. The LP includes singles “Joyride,” “Delusional,” “Yippee-Ki-Yay” and “Boy Crazy.”

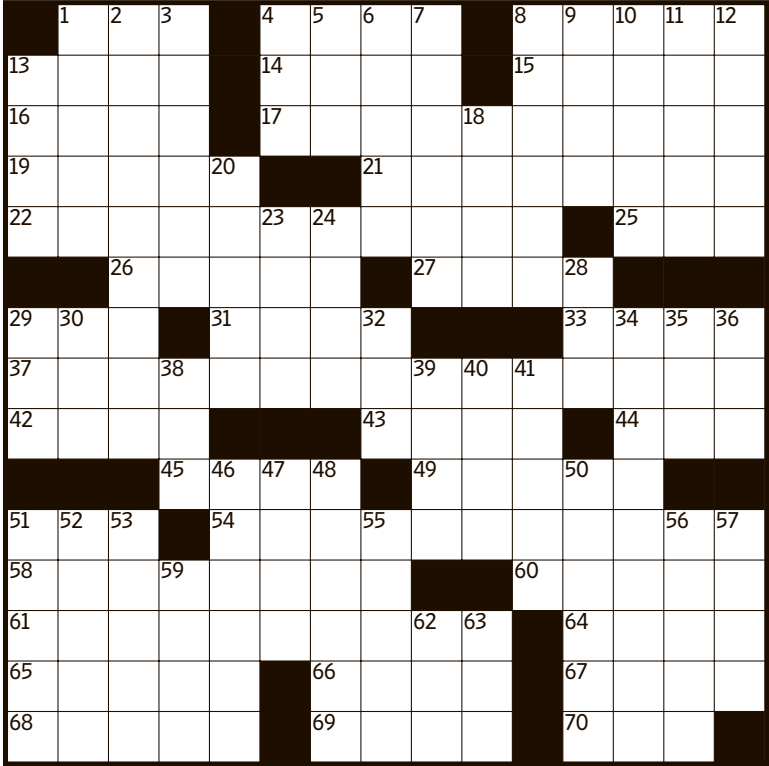
Last Call

“Solid Gold” (Brooklyn Museum, New York, through July 6)

Highlighting all that glitters—from Christian Dior ensembles to gold-grounded paintings to grillz by Gabby Elan—this show of over 500 objects explores the allure of and lasting fascination with the rich material.

For additional Arts Calendar listings visit [wsj.com](#). Write to [brian.kelly@wsj.com](#) and [catherine.goodman@wsj.com](#).

The WSJ Daily Crossword | Edited by Mike Shenk



- 28 Domain of Mars
- 29 One of the 26-Across
- 30 Swabbing tool
- 32 Cloak-and-dagger sort
- 34 Newscast starter
- 35 “Kinda”
- 36 Org. that has you down pat?
- 38 Beer barrel
- 39 Remainder
- 40 Solemn promise
- 41 Man with a best man
- 46 Post position?
- 47 Dwindling sea of Asia

UNDER CONSTRUCTION | By Grace Warrington & Greg Warrington

Across

- 1 Pen brand since 1950
- 4 Stunning serves
- 8 Galaxy Tab rivals
- 13 ___ mater
- 14 Huff and puff
- 15 Tripled trio
- 16 Oscar-winning composer Zimmer
- 17 Kenan Thompson on “America’s Got Talent,” for example?
- 19 Spicy marinade
- 21 Island in an Alaskan chain
- 22 Junior varsity football player?
- 25 Clock setting in NYC
- 26 Farmer’s flock

Down

- 27 Bias
- 29 Australian bird
- 31 Designer Saint Laurent
- 33 Dismounted, as from a thoroughbred
- 37 Unfinished projects, like 17-, 22-, 54- and 61-Across, maybe
- 42 Alternative to a saber or foil
- 43 Alum datum
- 44 “So there you are!”
- 45 Equipment
- 49 Got to one’s feet
- 51 Greek’s X
- 54 Eohippuses?
- 58 Chile’s capital
- 60 San ___ (Bay Area city)
- 61 Edison’s first bulb?

- 64 Writer/director Ephron
- 65 Texas landmark
- 66 Really bright
- 67 Hold tightly
- 68 Like sequels and prequels, vis-à-vis the original
- 69 “Peer ___”
- 70 Needle feature

- 9 Petulant expression
- 10 MacDowell of “Sex, Lies, and Videotape”
- 11 “The Dance Class” painter
- 12 Arterial insert
- 13 Melville’s obsessed captain
- 18 Onion’s kin
- 20 Follows orders
- 23 Strauss of denim fame
- 24 Tournament type

- 48 Furious
- 50 Carrot color
- 51 Channel that began in 1979 by showing a speech by Al Gore
- 52 Ethiopia’s Selassie
- 53 Acquired relative
- 55 Codger
- 56 Spooky
- 57 Ivory or Coast
- 59 Many a reference book
- 62 Sweetheart
- 63 Explosive initials

Previous Puzzle’s Solution



► Solve this puzzle online and discuss it at [WSJ.com/Puzzles](#).



David Iacono, Manuel Garcia-Rulfo, Scarlett Johansson, Mahershala Ali and Jonathan Bailey in director Gareth Edwards’s ‘Jurassic World Rebirth.’

nant girlfriend, and hunted by the mob. After a riding accident leaves Remo hospitalized, he disguises himself as a woman to escape trouble.

Opera

“The Rake’s Progress” (Blank Performing Arts Center, Indianola, Iowa, July 5-18)

Des Moines Metro Opera presents Chas Rader-Shieber’s new production of Stravinsky’s opera, based on William Hogarth’s series of paintings, about an Englishman who abandons his upstanding ways for the pursuit of pleasure to devastating effect.

which presents an artist’s first L.A. museum show, highlights the work of the Japanese-born artist who moved to the U.S. in the early ’70s and blends Eastern and Western influences—from traditional Nihonga to Mexican murals to Art Nouveau—in paintings that incorporate abstract symbols and natural imagery.

TV

“Heads of State” (Prime Video, July 2)

John Cena, Idris Elba and Priyanka Chopra star in this action comedy following public rivals—the U.K. prime minister (Mr. Elba) and U.S.

UNIVERSAL STUDIOS

OPINION

Trump Seeks to Remake the World



GLOBAL VIEW
By Walter Russell Mead

Five months into the most consequential foreign-policy presidency since Richard Nixon left the White House, Donald Trump’s approach to the world is taking on a definitive shape.

First and foremost, restraint isn’t part of Mr. Trump’s political method. He seeks to accumulate as much executive power as possible at home; he wants the same thing internationally. Far from limiting America’s world role, Mr. Trump intends to place the country at the center of international affairs. What Alice Longworth said of her father, Theodore Roosevelt, is true of Mr. Trump, at least as far as his approach to international and domestic politics. He wants to be the corpse at every funeral, the bride at every wedding, and the baby at every christening.

That doesn’t mean he is a neoconservative or a liberal internationalist. The 47th president loathes crusades for democracy, despises multinational institutions, and treats international courts with the contempt he believes they deserve. While he genuinely hates war, Mr. Trump believes in pressing America’s economic, technological and military advantages as far as he can in pursuit of an expansive vision of the national interest.

His presidency is about the concentration of power for maximalist goals. His trade policy, whatever economists may say about it, has concentrated unprecedented power in his hands at home and abroad. At home, he can affect the profitability of almost every company in the U.S. by setting tariffs.

Mr. Trump’s opponents criticize him for blowing up the multilateral trading system. In their view, that system better safeguarded American economic interests than a chaotic and fluid system resting more on bilateral and political

He wants as much executive power as possible and the U.S. the top global player.

agreements. We shall see whether Mr. Trump’s gamble that he can get better deals bilaterally than the U.S. got through the multilateral system pays off. But what isn’t in doubt is that his goal is to maximize rather than to restrain American economic power.

Mr. Trump’s Europe policy shows every quality except restraint. From laying claim to Greenland and repeatedly interfering in European elections to ripping up the trade relationship and threatening to walk away from the North Atlantic Treaty Organization, everything this administra-

tion has done has been intended to increase American power in Brussels and beyond. NATO Secretary General Mark Rutte has been condemned for comparing Mr. Trump to “daddy,” who sometimes has to get tough. But America’s president is Europe’s daddy now—and he has gotten the Old World to jump through more hoops than any of his predecessors in the past 50 years.

In the Middle East, Mr. Trump has similarly flouted the restrainers’ advice and engaged in a free-wheeling and far-reaching policy aimed at reasserting American hegemony while avoiding long-term military engagements. From bombing Iran and threatening the life of its supreme leader to proposing the mass removal of Palestinians from Gaza and threatening Israel with a dramatic suspension of aid, the president has been a hyper-activist in the region.

That Secretary of State Marco Rubio was celebrating the signing of a peace deal between the Democratic Republic of Congo and Rwanda last week highlights the immense ambition that drives Trumpian foreign policy. The world is a stage, and Mr. Trump intends to stand in its limelight.

The Congo-Rwanda agreement, which may or may not succeed on the ground, illustrates a hallmark of Trumpian diplomacy: an unconventional and amplified reliance on American economic power to

achieve international goals. Whether it is the mining deal with Ukraine, the critical minerals agreement in central Africa, or the spate of artificial-intelligence deals with the Gulf countries, President Trump and his diplomats seek to unite American security and economic interests.

Landing disabling blows against Iran, the weakest of the major revisionist powers, both strengthens the American global position and telegraphs warnings to Moscow and Beijing. So does forcing Europe to rearm. It remains to be seen whether and how Mr. Trump will deploy his preferred elements of American power to assert his primacy over Vladimir Putin and Xi Jinping.

China and Russia are the two great powers that most want America’s might and its ambitious president restrained. Both these revisionist powers see how Mr. Trump has asserted American dominance in Europe and strengthened the U.S. role in the Middle East. China and Russia perceive Trumpian ambition as a threat and will look to derail any project that would diminish their global clout.

The outcomes of this competition are impossible to predict, but one thing is clear. Donald Trump is no shrinking violet, and as long as he sits in the Oval Office, the U.S. is unlikely to retreat from the world.

William McGurn is away.

BOOKSHELF | By Gerard Helferich

A Bear of an Expedition

The Beast in the Clouds

By Nathalia Holt
One Signal, 288 pages, \$29.99

Growing up in New York City, Theodore Roosevelt chose politics, he never lost his love of the outdoors, as seen in his record as a conservationist, rancher, hunter and explorer. Roosevelt’s two oldest sons, Theodore Jr. (Ted) and Kermit, shared their father’s passion, and in 1928 the brothers mounted a monthslong expedition to Tibet and China to collect animal specimens for Chicago’s Field Museum of Natural History.

In “The Beast in the Clouds,” Nathalia Holt recounts that journey. Both Ted and Kermit were veterans of World War I. By the time they left for Asia, Ted, 41, was a successful investment banker who had held several political offices, including assistant secretary of the Navy. In 1924 he was the Republican nominee for New York governor. Unlike his father, he was not elected.

After the war, Kermit, two years Ted’s junior, founded the Roosevelt Steamship Co. Of the two brothers, he was the more experienced outdoorsman, having accompanied their father on his African safari (1909-1910) and his harrowing journey to Brazil to chart the River of Doubt (1913-14). “I

seek my father in the wild places,” Kermit wrote, and for both brothers hunting was a way to relive the happy days of their youth.

In 1925 Ted and Kermit had led an expedition through the Himalayas, collecting more than 2,000 zoological specimens for the Field Museum. Three years later, they organized their second trek, searching especially for the giant panda, about which little was known. Although they were again sponsored by the Field Museum, the Roosevelts were clearly drawn by the thrill of the hunt more than any contribution to science.

The small party, aided by local hunters, guides and porters, wended along the mountainous border between China and Tibet toward the pandas’ presumed home. Ms. Holt, the author of several other works on history and science, draws on the participants’ writings (especially the Roosevelts’ 1929 book, “Trailing the Giant Panda”) to capture the tedium and trials of life on the trail, including faulty maps, unfamiliar dialects, blizzards, monsoons, altitude sickness, bandits, a smallpox epidemic and disruptive skirmishes between the forces in the Chinese Civil War.

Even after the party located the pandas’ range, in southern China, the creatures proved elusive, as the approaching monsoon season threatened to curtail the expedition. On the last possible day of hunting, they spotted panda prints in the snow. After following the trail for 2½ hours, Kermit found himself within 30 feet of the animal but held his shot until Ted could take his position and share the glory.

The panda’s skeleton and skin were the premier trophies among the thousands that the Roosevelts brought back to America. But Ms. Holt exaggerates the significance

Theodore Roosevelt’s two eldest sons shared their father’s passion for the outdoors and traveled to Asia in search of the giant panda.

of the expedition when she writes: “Here, finally, was proof of the bear whose existence had long been doubted.” As she earlier observes, a panda skin had arrived in Paris in 1869, a good likeness of the animal had been printed in a book around the same time and a panda pelt had been donated to the American Museum of Natural History in 1919. Although the Roosevelts were the first Westerners to shoot a giant panda, its reality was already well documented.

Ms. Holt also exaggerates the effect of the journey on the Roosevelts. “A dark shadow had fallen across their lives the moment the two brothers had simultaneously pulled their triggers,” she writes. “Tibet and China had fundamentally changed Ted and Kermit, and there could be no going back to the way things were.” Ms. Holt cites no source for this conclusion, and the Roosevelts’ own account in “Trailing the Giant Panda” describes them “rejoicing” at their “great good fortune” in the successful hunt.

Although Kermit suffered from depression and alcoholism, these problems predated his time in Asia. After his return from China he served as president of the Audubon Society, vice president of the New York Zoological Society and an officer in the British and American armies in World War II. While stationed in Alaska, in 1943, he died by suicide at age 53.

Ted had great difficulties living in the shadow of his celebrated father and namesake. In later years, Ted gave up politics but turned to other fields in which the elder Roosevelt had excelled, first as a publisher and author, then as an Army officer in World War II. Ms. Holt suggests that he had an epiphany in China: “It was as if Ted had finally caught up to his father on that trail in the bamboo forest, and in so doing, freed himself from the weight of expectations.” Or maybe not. At Ted’s insistence, he became the oldest man and only general to land with the first wave of Allied troops at Normandy in June 1944. He died a month later from a heart attack, in France, at age 56.

The pandas also suffered, as the Roosevelts’ story inspired other hunters to seek them out. The first living specimen, a (short-lived) cub, was brought to the U.S. in 1936, triggering a surge of so-called pandamania. In succeeding decades, faced with overhunting and devastating habitat loss, the wild population crashed. Then, in the 1960s, the Chinese government began establishing panda reserves (currently totaling 67), and their numbers rebounded, though deforestation, accelerated by rising temperatures, continues to pose a threat.

In 2016 the International Union for the Conservation of Nature upgraded the animal’s status from “endangered” to “vulnerable.” Even so, there are thought to be fewer than 2,000 individuals in the wild. Today it would be unthinkable to shoot a panda in the name of science.

Mr. Helferich’s most recent book is the historical novel “Hot Time,” published under the pen name W.H. Flint.

By Matthew Hennessey

Let Zohran Mamdani’s victory in last week’s Democratic mayoral primary in New York serve as your periodic reminder that capitalism is in dire need of able defenders. Socialism has more cheerleaders than it deserves, considering its record of consistent failure. Markets need champions too. This is always true, especially now.

If you thought soft-headed notions about inequality and making the rich pay their “fair share” would die out as dinosaurs like Bernie Sanders faded from the scene, you should know by now how wrong you were. The 83-year-old Vermont senator isn’t fading. He’s still jetting around the country barking about oligarchs and exploitation. In Rep. Alexandria Ocasio-Cortez and Mr. Mamdani, he has talented and energetic heirs. They will be around for decades.

Believers in free markets and free people need to strap in. The adversary is formidable—young, good-looking, social-media savvy. It’s going to be a long, exhausting fight.

In this twilight struggle the truth has an advantage: Socialism is incompatible with human nature. People are driven to build, to invest, to strive and be productive, to pursue their own families’ well-being above all. Socialism subverts these impulses. It re-

quires coercion to achieve anything resembling success. It’s an intellectual lab leak. Misery follows wherever it’s tried.

Yet each generation somehow produces naïfs who are certain that collectivism is the true longing of the human heart. They know they can make it work this time. The young voters who supported Mr. Mamdani were primed by their expensive educations to buy his line that capitalism is rigged in favor of the rich. All they’ve ever been told—by teachers, professors, TV and TikTok—is that markets are inhumane. Capitalism is rapacious and bad for the climate. They may never have heard a single word to the contrary.

This is a failure of education, yes. Basic economics is rarely taught in high school or required in college. But it’s equally a failure of public relations. Who is making a sustained and coherent public case for American-style capitalism? The field is wide open. We need new Milton Friedmans and Thomas Sowell.

The product itself isn’t the problem. Free markets have made life better, healthier and more prosperous in demonstrable ways for billions of people. Anticapitalists on both left and right struggle to make a serious case that things are worse now than they were 100 or 150 years ago. Take a moment to imagine life without washing

machines or chemotherapy.

Competitive markets foster innovation and allocate resources with remarkable efficiency. They work. Even when markets come up short or create externalities like pollution, the incredible wealth they generate can be used to fill the gaps. When socialism fails, as it inevitably does, the only option is brutality. This always gets glossed over on MSNBC and CNN. I’d like to hear Mr. Mamdani explain how he plans to keep New Yorkers captive when his experiment goes south.

Markets are more than efficient, which would be argument enough in a head-to-head competition with socialism. They’re also moral.

Socialism is on the march. If you believe in free markets, it’s time to speak up.

Markets enable willing and mutually beneficial exchange among free people. They abominate coercion. They encourage a belief that tomorrow will be better than today. No one would bother investing absent an expectation that it will pay off. Capitalism is synonymous with confidence in the future.

No, the problem isn’t capitalism. The problem is com-

placency. Capitalists take too much for granted. They assume the product is so good it will sell itself. Mr. Mamdani’s victory shows otherwise.

The world is full of capitalists who don’t realize that’s what they are. The owner-operator of a corner deli is no less a capitalist than Jeff Bezos. Most capitalists go about their business quietly. By serving customers’ needs, they do more for society’s overall well-being than any charity. They should be celebrated, not vilified.

Politicians vying to lead cities built on business ought to understand and respect market forces. Capital is mobile and goes where it’s treated well. There are no walls around Wall Street. Margaret Thatcher correctly diagnosed socialism’s inherent defect: Eventually you run out of other people’s money. Mr. Mamdani seems committed to teaching 8.2 million New Yorkers this lesson the hard way.

My appeal isn’t to tech gurus and investment bankers. It’s to all the everyday capitalists in New York and beyond, the striving small-business owners and sole proprietors who are building something of value where nothing existed before. If you believe in free markets, speak up.

Mr. Hennessey is the Journal’s deputy editorial features editor.

An Elegy for Sportsmanship

By Joseph Epstein

Those among us who have been following sports for a long while may have noticed that something central has disappeared. It’s called sportsmanship: honorable conduct on the court or field, consideration for one’s opponents, fairness. Among the virtues of the athletic life was that, along with the inculcation of discipline and the promise of good health, it taught character through sportsmanship. No longer.

I suspect it began in professional football, with the sack dance, that triumphant strut by a defensive player who had tackled the opposing team’s quarterback behind the line of scrimmage. The touchdown dance soon followed. Meanwhile hometown fans, sometimes known as the 12th player, scream when the visiting team has the ball so that their quarterback’s signal calling can’t be heard.

Nowadays in basketball games home-team fans clash thunder sticks, wave pic-

tures and posters, and yell in the hope of distracting visiting players at the free-throw line. Whenever I witness this on television, I recall something that happened many decades ago at my own Senn High School in Chicago. When the home fans booed an opposing team, Senn coach Cap Leighton strode to the scorer’s table and picked up the microphone. He demanded that the booing cease immediately. It did.

In baseball today when players hit a home run, most cavort around the bases, arms aloft, some kissing their hands toward heaven. When opposing pitchers attempt to hold runners at first by tossing the ball to the first baseman, they are booed. Walk-off hits concluding games call for much spilling of Gatorade. More managers and players than ever before are thrown out of games for disputing umpire calls.

In tennis, when a player makes a winning shot, more often than not he congratulates himself with a raised

fist, sometimes with a request for cheers from the audience. When a player wins a grand slam tournament, he is likely to fall on his back before heading up the net to shake hands. Often at the conclusion of a close and important match, both winner and loser weep on the sidelines, towels over their heads.

Showboating on the field demeans the player and the game.

About hockey, there is no need to speak beyond quoting the old line “I went to a fight and a hockey game broke out.” Even golf, once thought a gentleman’s game, is being invaded by boisterous fans, fist-pumping players, and other small but distracting acts of triumphalism. I recently saw a tournament-winning golfer do a chest bump with his caddy.

What’s the problem? Why shouldn’t players be allowed to exult in their victories

afield? Why shouldn’t fans be permitted to contribute to their teams’ triumphs by doing what they can to distract the other team?

The problem, I believe, is that these various acts remove the concept of good winners and losers that had long before been at the center of all sports. Sports once had a certain elegance that derived from athletes making the physically difficult look easy. This same elegance extended to their behavior while playing. A splendid athlete had a demeanor to match his physical prowess—or at least he was supposed to cultivate such a demeanor; both in victory and defeat.

Now instead he does a sack dance, or flexes a bicep, or with fists pointed downward screams out at his own astonishing prowess. Not to put too fine a point on it, he brags, and bragging, on or off the field, is always in bad taste.

Mr. Epstein is author, most recently, of “Never Say You’ve Had a Lucky Life.”

OPINION

REVIEW & OUTLOOK

The Great Budget Baseline Con

The Senate on Monday began its “vote-arama” on amendments to the tax bill, and it was scheduled to go deep in the night.

But before we see the final product, it’s worth rehearsing one more time one of the greatest distortions of this budget debate—to wit, that the Senate bill is a fiscal blow-out because it will increase the federal deficit by \$3.3 trillion over 10 years.

That’s the official Congressional Budget Office “score” of the bill, but it’s only true if you assume that Congress was going to tolerate a \$4.5 trillion tax increase. That would be the result if the 2017 tax reform expired at the end of this year, as most of the individual tax provisions are scheduled to do.

Congress was never going to allow that. Even Democrats support extending most of the 2017 individual cuts except the lower 37% top marginal rate. Senate Republicans correctly argue that the bill’s cost should be measured against a more realistic baseline, which assumes that existing tax rates and policy continue.

In any rational world, changes in the law would be scored against current policy. But in Washington they are scored against CBO’s current-law “baseline,” which assumes that the 2017 tax cuts will expire. Voila, \$3.3 trillion in new deficits over 10 years.

Based on current policy, however, CBO estimates that the Senate bill would save \$500 billion over 10 years. Spending reductions would offset increased costs from President Trump’s new tax carve-outs for overtime, tips, and auto-loan interest, as well as the increase in the state-and-local tax deduction to \$40,000. The higher SALT cap reduces revenue by \$140 billion over 10 years. All of those changes are bad tax policy, but they don’t add up to \$3.3 trillion.

But get this. Under CBO’s current-law baseline, the SALT deduction cap disappears at the

The tax cuts don’t add \$3.3 trillion to deficits under current tax policy.

end of this year, so the new \$40,000 cap has the effect of *reducing* the deficit by \$944 billion over 10 years. Only under Beltway accounting can a bigger tax subsidy reduce the deficit.

By the way, even Barack Obama’s advisers argued that Congress in 2012 should use a current policy baseline to extend most of the George W. Bush tax rates that were set to expire at the end of that year. “The relevant point of comparison isn’t current law, it is ‘current policy,’” wrote Jeff Zients, the Obama Office of Management and Budget director.

The larger SALT cap and tax breaks for special interests create distortions in the code and will do nothing for economic growth. Republicans also made them temporary to reduce their cost on paper, knowing that they will invariably be extended. Democrats have played similar budget tricks with “temporary” spending increases.

CBO’s baseline forecast is also misleading because it builds in annual spending increases. This lets Democrats claim that reforms that slow spending growth such as Medicaid work requirements are a spending “cut.” CBO projects that Medicaid spending will increase by about 4.5% annually over the next decade. The Senate bill slows the growth to about 2% a year. This isn’t a real cut.

The Senate bill, for all its faults, is the first serious attempt at entitlement reform in nearly two decades. The Senate bill will slow spending growth in Medicaid, food stamps and student loans. It will also roll back subsidies that have become entitlements for the renewable-energy industries. Yet Democrats oppose all of these changes that really would reduce the deficit in future years.

There is much in the GOP bill that deserves criticism, but the \$3.3 trillion deficit critique is phony—like Beltway accounting.

Trump Floats a Mass Deportation ‘Pass’

If you’re confused about the Trump Administration’s mass deportation policy, join the club. First it was the full Stephen Miller, deporting every illegal in the land. Then there was going to be a reprieve for the agriculture and hospitality industries, then it was back to the full Miller. On Sunday the President said he now wants a “temporary pass” for some businesses.

“I don’t back away,” Mr. Trump said on Fox News Sunday Morning Futures. “What I do have, I cherish our farmers. And when we go into a farm and we take away people that have been working there for 15 and 20 years, who were good, who possibly came in incorrectly. And what we’re going to do is we’re going to do something for farmers where we can let the farmer sort of be in charge. The farmer knows he’s not going to hire a murderer.”

He’s right about that. Employers need good workers, and it’s crazy policy for the U.S. government to raid businesses in order to drag away someone who arrived here illegally but has been a reliable employee for years.

“But you know, when you go into a farm and you set somebody working with them for nine

He says he wants a reprieve from migrant raids for farmers.

years doing this kind of work, which is hard work to do and a lot of people aren’t going to do it, and you end up destroying a farmer because you took all the people away—it’s a problem,” Mr. Trump added. “You know, I’m on both sides of the thing. I’m the strongest immigration guy that there’s ever been, but I’m also the strongest farmer guy

that there’s ever been, and that includes also hotels and, you know, places where people work, a certain group of people work.”

Mr. Trump says the White House is working on “some kind of a temporary pass, where people pay taxes, where the farmer can have a little control as opposed to you walk in and take everybody away.”

Glad to hear it, though we’d add that these employers and workers already pay Social Security and other taxes. The details will matter. But the President’s instinct is right on moral and economic grounds.

Mr. Miller’s mass deportation is building resentment as the raids proliferate. They will hurt small businesses already struggling to find workers. Focus on the criminals, and leave everyone else alone to provide for their families.

Justice Kagan Won 70% of the Time

Here’s a figure that might surprise: Justice Elena Kagan, the Supreme Court’s leading liberal, was in the majority of 70% of this term’s non-unanimous outcomes. To compare, Justices Clarence Thomas and Samuel Alito, stout conservatives, were each at 62%, tied with Justice Sonia Sotomayor. They were a tick above Justice Neil Gorsuch’s 61%.

That’s according to the end-of-term statistics compiled by the website SCOTUSblog. Also notable: 42% of rulings this year were unanimous, which is down slightly from the past two years, but it isn’t far from the average of the past two decades. Another 24% of cases produced lopsided decisions, 8-1 and 7-2 (or else 7-1 with a recusal).

Only 9% of cases overall, six total, resulted in ideologically split 6-3 outcomes, with the liberal Justices dissenting as a bloc. That compares with 6% of cases, or four, that had 6-3 decisions except with Justices Thomas, Alito and Gorsuch in the minority.

All of this belies the arguments on the left that the High Court is marching in lockstep toward the right, that it is somehow doing politics instead of law. The ideological 6-3 cases get attention, but in part that’s simply because they are hotly disputed, and conflict is catnip for journalists and readers. When eight or even nine Justices see eye to eye on settling a legal controversy, that attracts less notice, but it’s part of the Court’s record, too.

This term the Justices were unanimous that a state can’t deny religious nonprofits a tax exemption merely because they don’t proselytize

or restrict their assistance based on faith (*Catholic Charities Bureau v. Wisconsin*). Justice Sotomayor wrote the opinion overturning a 4-3 decision by Wisconsin’s liberal state Supreme Court.

They were unanimous that plaintiffs in “reverse discrimination” suits have to meet the same legal burden as everybody else, meaning they don’t

need to prove anything extra (*Ames v. Ohio Department of Youth Services*). Justice Ketanji Brown Jackson did the textualist work of saying that the 1964 Civil Rights Act applies to all Americans equally.

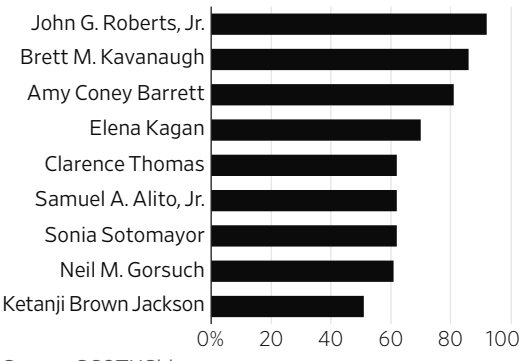
They were unanimous on reining in lower-court judges who have sought to micromanage environmental reviews by agencies doing federal permitting (*Seven County Infrastructure Coalition v. Eagle County*).

They were unanimous that American victims of terrorism aren’t barred by the Constitution from suing the Palestine Liberation Organization in U.S. courts (*Fuld v. PLO*).

They were apparently unanimous in upholding the law passed by Congress that says TikTok must cut ties with Chinese control or be banned from U.S. app stores (*TikTok v. Garland*). The opinion in that case was unsigned, but there were no dissents.

The point of such statistics isn’t to obfuscate that this is a conservative Court, the best in living memory. That’s true. Yet two-thirds of cases this term weren’t closely divided, and the originalist Justices all have jurisprudential idiosyncrasies, resulting in 6-3 and 5-4 cases with scrambled lineups that confound partisan politics. That’s what doing the law looks like.

Frequency in the Majority, Non-Unanimous Cases, 2024-25 Term



Source: SCOTUSblog

LETTERS TO THE EDITOR

What the Right Gets Wrong About Birth Rates

Matthew Hennessey is correct that Congress alone can’t boost the birth rate (“You Can’t Legislate Fertility,” op-ed, June 24). This isn’t a libertarian aphorism. It’s the fairest reading of the global evidence. Enthusiasts of baby bonuses point to isolated examples of success—say, in Quebec or France—but none of these cases boasts anything like an above-replacement birth rate. Effect sizes are minimal, mostly temporary and dwarfed by whatever else is leading young people to see having kids as less important than personal and professional goals. The only high-income country that has managed such a feat is Israel thanks to a larger percentage of religious families.

This is a good clue that differences in birth rates big enough to matter come from what people want. When people value kids more than other things, they have kids. To believe that the real story lies somewhere else—in the tax code, the China shock, immigration or middle-class wages—is nonsensical. The richest and freest people in the world can obviously afford to have kids.

The big shift to below-replacement

births in the U.S. happened long before any of the aforementioned phenomenon. In 1957 Americans figured that 3.6 kids per family was an ideal number. By 1978 it had fallen to 2.6. That decline occurred when the country was by all accounts very family-friendly. The CDC reports that the fertility rate has generally been below replacement since 1971.

Conservatives pushing money for family growth are like Democrats pushing money for public schools. Our grandparents and great-grandparents had more kids with less money. The problem is our values: We don’t prioritize kids more than the other things in our lives.

To solve this we have to tell the stories of our children and talk about their immense worth. The left has been doing antinatal moral suasion for decades. If the right wants to move the needle, it has to make the substantive case for kids. When tax-and-spend pronatalism comes up empty-handed, the right will lament aiming at conservative ends with progressive means.

PROF. CATHERINE RUTH PAKALUK
Catholic University of America
Washington

The Senate Balks at a Big, Beautiful Land Sale

Lyman Stone rightly notes that a public-land sale would have been a boon for families (Letters, June 26). The exclusion of these sales from the One Big Beautiful Bill Act was a missed opportunity. To succeed next time, proponents must improve their messaging and construct a broader coalition to counter persistent myths.

These sales, as envisioned by Sen. Mike Lee, wouldn’t endanger protected lands or recreation areas. They would target small parcels near urban centers. We’ve found that to generate up to a million new homes, it would require only about 150 square miles in Nevada, Arizona, New Mexico, Oregon and California, less than 0.05% of total Bureau of Land Management holdings. Visual maps, like those produced by AEI’s Housing Center, demonstrate that these lands are adjacent to cities and wouldn’t impinge on land for the public to enjoy. This transparency must be central to future efforts.

Far from benefiting only the wealthy, these lands could enable starter homes for working families.

Revenue-sharing models could incentivize local jurisdictions to approve smaller lots and faster construction, and help fund necessary infrastructure. Congress should require timely development, stipulating that if homes aren’t built within two to five years, the land would revert to federal ownership. Such a provision would discourage speculation and ensure swift delivery of housing.

While local reforms—such as allowing smaller lot sizes in new residential subdivisions, enabling single-family to town-home conversions in expensive neighborhoods, and adding mixed-use zoning in underutilized commercial corridors—remain the most effective solutions, carefully targeted federal land sales represent one of the best tools Washington can offer. They are far more promising than costly, ineffective programs like the low-income housing tax credit or expanded demand-side subsidies favored by many Democrats.

TOBIAS PETER AND ED PINTO
American Enterprise Institute
Washington

How Prisons Can Help Prevent Drug Overdoses

I have had the privilege of witnessing Sheriff Karl Leonard of Chesterfield County, Va., Sheriff Stacey Kincaid of Fairfax County, Va., and others create innovative programs that provide medications for opioid use disorder (MOUD) during incarceration (“Community Battles Overdoses With Everything It Has,” U.S. News, June 16).

Across the country, advocates are working in unlikely partnerships to ensure access to effective addiction treatment in their state and county facilities. This cause brings together law-enforcement organizations, public-health groups and people with firsthand experience of drug use around a common goal: to save lives from drug overdose.

This national movement is effecting real change. As of August 2024, 11 states have approved Medicaid section 1115 waivers to use Medicaid funds for

re-entry services, including MOUD treatment, and 13 more have pending waivers. In other parts of the country, lawsuits have resulted in treatment access in county and state prisons.

This intervention saves lives. The incarcerated are far more likely to die from an overdose after release, but jail- and prison-based MOUD programs cut that risk by 80%. Still, only 12% of jails and prisons in the U.S. offer MOUD to anyone who requests it.

The road ahead for advocates is clear. Even as overdose deaths decrease, the fight to deliver effective addiction treatment in jails and prisons continues. Expanding access to MOUD in jails and prisons isn’t only a moral imperative; it’s a proven public-health solution.

LIBBY JONES
Washington

Ms. Jones is associate vice president of Global Health Advocacy Incubator’s overdose-prevention initiative.

Let’s Not Go Wobbly on Iran

I applaud Operation Midnight Hammer, which could give President Trump a prominent place in the Jewish pantheon of heroes if not a Nobel Peace prize (“After the ‘Cease-Fire,’ Tests for Iran,” Review & Outlook, June 25). Yet if the president believes he can turn a hungry beast into a vegetarian, he is being uncharacteristically naive. It’s unlikely that an economic incentive or military pressure will convince Iran’s leaders to abandon the Islamic Republic’s *raison d’etre*: destroying the Jewish state and Western civilization.

Repeating rounds of negotiations, with the inevitable lies and deceptions, and expecting different results is the definition of insanity. “Public commitments” and International Atomic Energy Agency access have proved unreliable. Declarations of recognizing Israel would be equally disingenuous. Mr. Trump may, for political reasons, be unable to say it out loud, but he must recognize that the only permanent solution to a nuclear Iran is supporting moderate Iranians in replacing the jihadist theocracy with a more temperate, pro-Western government. The cease-fire may be in effect, but this isn’t over yet.

STANLEY SPATZ
Hollywood, Fla.

Grocery Runs With Mamdani

Zohran Mamdani may be the next mayor of New York by doubling down on the socialist promises of free stuff and taxing the rich, none of which has ever worked (“The People’s Republic of New York City,” Review & Outlook, June 26). Yet one proposal—making shopping cheaper with government-run grocery stores—may succeed. I have been in Cuban-government grocery stores, and you do save money. Unfortunately it’s because the shelves are empty.

DAVID ARNOLD
Punta Gorda, Fla.

Pepper ... And Salt

THE WALL STREET JOURNAL



“One day you’ll have to choose, do you want me as your psychiatrist or your personal trainer?”

Letters intended for publication should be emailed to wsj.letters@wsj.com. Please include your city, state and telephone number. All letters are subject to editing, and unpublished letters cannot be acknowledged.

OPINION

What Would Hayek Think of AI?

By Gary Saul Morson
And Julio M. Ottino

It keeps happening—some shiny new idea or technology promises to solve all our problems. Give power to experts to arrange affairs “scientifically,” and poverty, oppression, disease, war and all human ills will disappear. Today, we are asked to trust artificial intelligence.

The International Monetary Fund promises that “AI can enhance democratic institutions by ensuring citizens’ voices are truly heard.” Power wielded by a few experts can enhance democracy? Isn’t that what the early 20th-century Progressive movement promised? For that matter, isn’t that the thinking behind Soviet “scientific socialism”?

Google researchers recently unveiled their “Habermas Machine,” an AI system designed to help people find common ground on divisive issues such as Brexit and climate change. No need for plebiscites, which may yield the wrong answers,

The ‘fatal conceit’ that central planning can solve complex social problems arises in a new form.

or debates, which muddy the issues. Politics, in the sense of compromise and give and take, is old-fashioned. Named after Jürgen Habermas, the German philosopher who championed rational discourse, the Habermas machine assumes that our deepest conflicts stem primarily from communication failures rather than genuinely incompatible values.

This optimism reflects what we might call “techno-solutionism”—the belief that complex social problems can be solved by some algorithm, with minimal regard for unintended consequences or unexpected emergent properties. Some tech leaders have a quasireligious faith that they can, as the book of Revelation prom-



DAVID GOTHARD

ises, “make all things new.” Past innovations may have been imperfect or even harmful, but now we see that, as a character in the recent film “Mountainhead” declares: “The antidote to bad tech is good tech!”

According to the editor of Science magazine, AI generates statements that are “more clear, logical, and informative without alienating minority perspectives.” Who needs diplomacy? Do we really need a Federal Reserve or 6-3 decisions on the Supreme Court? If humans fail to solve conflict in the Middle East, why not give ChatGPT a try?

This enthusiasm reflects a dangerous misunderstanding of complexity itself. We are witnessing the emergence of a new version of the old central-planning fallacy—the belief that complex social systems can be optimized through technological intervention, much as software systems are engineered.

To be sure, technological achievement has been accelerating. Facebook took 10 months to reach a million users in 2004; ChatGPT achieved this milestone in five days in 2022. Yet our record of anticipating the social consequences of new technologies remains abysmal. Once we were told that the internet would make authoritarianism obsolete. No one foresaw internet mobs intimidating people from exchanging opinions. The internet itself serves as a sobering re-

minder of how transformative technologies can generate effects their creators never imagined.

Soviet planners were confident in their ability to organize society rationally. Instead of the waste and unemployment of capitalist countries, experts would allot resources selflessly and rationally. But there are limits, and central planning is an inferior way to deal with them. Vladimir Lenin and his successors failed catastrophically because, as Friedrich Hayek observed, knowledge is inherently decentralized and dispersed throughout society. The emergent properties of complex systems simply can’t be captured in centralized models, no matter how sophisticated.

Today’s tech leaders risk falling into the same trap. The assumption that human behavior and social systems can be engineered like software reflects the overconfidence in prediction and control that inspired five-year plans. It isn’t that nothing is accomplished. The Soviets succeeded, albeit at unspeakable human and environmental cost, in industrializing their society and expanding their empire.

In much the same way, modern AI systems are, within bounds, successful. Large language models process vast amounts of information and generate seemingly sophisticated outputs about complex social issues, creating an illusion of comprehensive knowl-

edge that may be even more dangerous than crude economic models. Once again, we are being seduced by utopian promises that underestimate the complexity of human affairs.

Consider the Middle East conflicts, which are precisely the kind of problems that resist technological solutions. They arise from grievances spanning centuries, multiple overlapping ethnicities and identities, theological claims to sacred sites, and the belief that the other side shouldn’t exist. No Habermas Machine can resolve such hostilities. These aren’t communication problems amenable to clearer AI-generated statements. Some of them represent zero-sum perceptions rooted in incompatible worldviews. No amount of algorithmic optimization can bridge gaps where compromise is perceived as betrayal or where the stakes involve survival itself.

Hayek called this “the fatal conceit”—the assumption that central authority can gather and use all relevant knowledge. Just as Soviet planners couldn’t capture the distributed knowledge embedded in economic decisions, today’s AI systems can’t aggregate and optimize all relevant social knowledge. Human behavior is too complex. Cultural context is too important and can’t be formalized.

This isn’t an argument against AI, but rather for humility about its limits. AI works best as a tool that enhances rather than replaces human judgment. It can help us process information, identify patterns and generate options. But it can’t substitute for the irreducibly human work of navigating competing values, managing trade-offs and living with uncertainty.

History suggests that attempts to engineer human complexity away don’t eliminate it. They merely drive it underground, where it erupts in unpredictable and often destructive ways.

Mr. Morson is a professor of the arts and humanities at Northwestern University. Mr. Ottino is a professor and former dean at Northwestern’s McCormick School of Engineering.

‘Transgender’ Kids Usually Grow Up Gay

By Ben Appel

After the Supreme Court upheld Tennessee’s ban on puberty blockers and cross-sex hormones for minors, “LGBT” organizations issued statements condemning the court’s decision. I’m gay, and I welcome the court’s decision. So-called gender-affirming is a new form of “conversion therapy.” Instead of “praying away the gay,” we are “transing” it away.

The practice of pediatric gender medicine began as an attempt to engineer homosexual adolescents medically into straight adults. If left alone, almost all gender-distressed children grow up to be gay, not adults who reject their natural sex.

Decades ago in Amsterdam, clinicians observed that adult transgender patients were frequently suicidal and had difficulties with social functioning. They attributed this to their inability to “pass” convincingly as the opposite sex. Thus, they thought,

When I was a boy, I ‘felt’ more like a girl. Thank goodness I was left alone to become the man I am.

if a child didn’t conform to standard sex roles, why not arrest his natural development with puberty blockers and give him only opposite-sex hormones, so that he’ll never develop those unwanted sex characteristics to begin with? The “Dutch protocol” was born.

Of the first 70 adolescents to be treated with this protocol, 62 were homosexual, six were bisexual, one was heterosexual, and one didn’t know yet. One male in the original cohort died at 18 after a botched vaginoplasty. Since puberty blockers had stunted the growth of his genitals, there wasn’t enough tissue for the surgeons to fashion into something that resembled a vagina. In its place they took part of his intestine, which became infected.

Childhood nonconformity with sex roles is one of the most dependable predictors of homosexuality in adulthood. Every major study to date confirms that the majority of children who express confusion about their sex will desist by the end of puberty and grow up to be gay or lesbian. Preventing a child who expresses confusion about his sex from going through puberty prevents him from reaching the stage where that confusion might naturally resolve. Doctors who “lock in” this confusion with drugs and surgery then congratulate themselves for getting the diagnosis right.

Adult gays and lesbians don’t need studies to tell us any of this. So many of us can look back on our own childhoods—how different we felt from our peers, and how strongly we preferred the toys and activities of the opposite sex. I was relentlessly bullied as a kid. “Are you a girl?” my classmates taunted me. “Of course I’m a boy,” I replied. But the truth was, I had always “felt” more like a girl. I much preferred pink and purple over blue, I loved fashion and choreography, and I hated football. Plus, I felt much safer around the girls. So much more like myself.

When I reached adulthood and began to accept myself as the gay male that I am, I resolved to help create a world where children are told that it’s OK to be an unconventional boy or girl. For a while, I thought we were on the right track. But now, instead of making more space for nonconformity, we’re medicalizing it. Instead of telling kids they’re fine the way they are, we’re saying the opposite: No, it’s not OK to be this way. There is only one way to be a boy and one way to be a girl. You don’t fit. We have to fix you.

Two years ago I interviewed psychologist Laura Edwards-Leeper, who in 2007 adapted the Dutch protocol for use in the U.S. During that conversation, Ms. Edwards-Leeper used the word “cult” five times to describe what had become of pediatric gender medicine. When I told her about my own childhood, and said I feared that, if I were growing up now, I might have been falsely affirmed as a “trans girl,” she responded, “I’m sure you would have.”

While the Supreme Court’s decision will allow the 20-plus state bans on pediatric gender medicine to stand, there is no telling how long this medical scandal will continue in the U.S. Meantime, how dare the leaders of LGBT organizations accuse people like me of hatred and bigotry, when they support regressive medical practices that are antithetical to everything the gay-liberation movement once stood for?

Mr. Appel is author of “Cis White Gay: The Making of a Gender Heretic.”

Ray Charles Improved on a Hymn to America



FREE
EXPRESSION
By Gerard Baker

As is common in U.S. parishes, my church closed out Sunday Mass this pre-July 4 weekend with a stirring rendition of “America the Beautiful.” One of the great virtues of America is that, with no established church, the celebration of the nation and its values is entirely consistent with the formal celebration of anyone’s faith.

In most Western countries, with long histories of religious strife, patriotic songs can be complicated for those who don’t belong to the established church. In Europe especially, glorification of the modern state’s sovereignty can’t escape that it is often the result of one religious sect’s bloodily stomping all over another at some time. I grew up Catholic in England. Even as we thought ourselves as patriotic as the rest, we would never have sung the national anthem at Mass. While the scars of a few centuries of persecution have mostly healed, it is an unavoidable, awkward fact that the king the lyrics ask God to save is still the symbolic head of an institution established to destroy the church we belong to and the descendant of monarchs who once chopped the heads off people like me.

In France, “La Marseillaise” is an explicitly secular song written in part to animate the revolutionaries who believed they had overthrown God, so it is somewhat out of place in any religious context. Besides, its lyrics about “watering the fields with the blood” of the enemy are *thé fort* for performance in a modern religious setting.

But in America it’s fine to sing patriotic songs in church and other places of worship. It’s a delicious paradox that while other nations

mostly avoid any convergence between national celebration and religious observance, in First Amendment-protected, church-and-state-separated America, Catholics, Protestants, Jews, Muslims and everyone else can attest to their national pride even as they practice their faith.

That said, the explicitly antebellum provenance of some of the lyrics to “The Star Spangled Banner” make it awkward for some modern-day religious celebrations. And the awful Hallmark card pablum of Irving Berlin’s “God Bless America” may be fine for seventh-inning stretches, but it’s no hymn.

Which brings me back to the hauntingly beautiful “America the Beautiful” rendered in a sacramental setting. At my church, most parishioners performed the usual premature recession after the familiar first verse, so they missed the later stanzas of Katherine Lee Bates’s elegiac hymn. The rare genius of this composition among national odes to greatness is that it is both acclamation and admonition for a country and its people, a celebration of the glories of America married to a gentle warning about the excesses of pride.

Her prayer is that even as God may enrich this country through the heroism of its people, the genius of its builders and the richness of its heritage, he may also ensure that we mend our flaws, practice self-control, respect our liberties in law, and refine our gold into nobility.

Ms. Bates refined her own work to reflect the changing circumstances of her time, but what is striking, more than a century later, is how relevant those gentle cautions are today. In the battle-scarred landscape of our national political combat, the protagonists on both sides could surely heed a little more closely those words that inspire more humility than hubris.

This is no plea for milquetoast

bipartisanship. Partisanship is usually essential to national progress. Few great civilizations were built in a spirit of mushy consensus. But real love of country requires the humility as well as the pride that Bates teaches. The conditional patriotism too many Americans

When he sang ‘God done shed his grace on thee,’ he acknowledged this country was blessed from the start.

preach—that you love your country only if you’re on my side—is itself a contradiction.

There’s a more important message in the hymn that goes beyond the impassioned heat of our current politics—and speaks to a wider pathology in our modern culture.

I used to think that what is probably the most famous rendition of “America the Beautiful”—the one

by Ray Charles—was badly flawed. In his version, performed most memorably at the 2001 World Series, weeks after the terrorist attacks of Sept. 11, he sings the refrain, “God shed his grace on thee” as though “shed” were in the past tense—“God done shed his grace on thee”—as if the sentiment were an affirmation of an established fact of divine intervention rather than a plea to the Almighty, as implied in Bates’s original composition.

It was only later that it occurred to me that Charles’s version might perhaps be an even more apt rendition of the idea of this country than the original. America has indeed been uniquely blessed by God’s grace. We are all beneficiaries of that grace and by the men and women inspired to make the U.S. the greatest country on earth. If we all learned to acknowledge a little more the irredeemable debt of gratitude we owe, we might start to see our current strife for the destructive antipatriotism it is.

Want Soviet Bread Lines? Vote for Zohran Mamdani

By John Catsimatidis

New York

As owner of Gristedes and D’Agostino’s—this city’s oldest and largest independent supermarket chains—I’ve spent my life keeping shelves stocked, workers employed and families fed. That’s what capitalism does. It works. It builds. It feeds. And it empowers.

Now comes Zohran Mamdani with a delusional notion in the name of radical socialism that would destroy everything we’ve built. His “public grocery” proposal—a government-run alternative to private supermarkets—would collapse our food supply, kill private industry, and drag us down a path toward the bread lines of the old Soviet Union.

Everything Mr. Mamdani is suggesting was already done by Hugo Chávez in Venezuela and Fidel Castro in Cuba. Both nationalized their food-distribution systems in the name of “equity” and “access.” What followed was poverty, rationing and hunger. Grocery-store shelves were stripped bare. Citizens stood in lines for hours to get a loaf of bread or a bag of rice—if there was any food left at all.

Mr. Mamdani wants to replace supermarkets with state-run food stores. That’s not progressive, it’s oppressive. He wants bureaucrats to decide what you eat, when you eat, and where you get it. He wants to rip away the livelihoods of hard-

working grocers—many of them immigrants, like my parents.

Supermarkets operate on thin margins, complex logistics and decades of supply-chain expertise. We coordinate daily with hundreds of vendors, farmers, manufacturers and local producers to bring fresh, affordable food to millions. Mr. Mamdani would disrupt that infrastructure, destroying small businesses and jobs. And who’s going to manage these public grocery stores? The same government that can’t fix the subways or public housing?

Capitalism may not be perfect, but it’s the only system that feeds the world. Under Mr. Mamdani’s vision, the corner bodega, the family-owned deli and the community supermarket would all disappear—replaced by government outposts that decide what’s available and when. That isn’t a vision of equity. It’s a blueprint for collapse.

We should support grocers in underserved neighborhoods, not destroy the entire system. We need tax incentives for food access, not forced takersovers of private enterprise.

I came to this country as a 6-month-old Greek immigrant and built a business that feeds a city. That’s the American Dream. Mr. Mamdani’s dream would turn into the nightmare of a ration line.

Mr. Catsimatidis is owner and CEO of the Red Apple Group.

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BUSINESS & FINANCE

Amazon Nears Robotics Milestone

E-commerce giant will soon have as many robots as staff in warehouses

By Sebastian Herrera

The automation of **Amazon.com** facilities is approaching a new milestone: There will soon be as many robots as humans.

The e-commerce giant, which has spent years automating tasks previously done by humans in its facilities, has deployed more than one million robots in those workplaces, Amazon said. That is the most it has ever had and near the count of human workers at the facilities.

Company warehouses buzz with metallic arms plucking items from shelves and wheeled droids that motor around the floors ferrying the goods for packaging. In other corners, automated systems help sort the items, which other robots assist in packaging for shipment.



A robot transports a cart at Amazon's distribution center in Shreveport, La.

One of Amazon's newer robots, called Vulcan, has a sense of touch that enables it to pick items from numerous shelves. Amazon has taken recent steps to connect its robots to its order-fulfillment processes, so the machines can work in tan-

dem with each other and with humans.

"They're one step closer to that realization of the full integration of robotics," said Rueben Scriven, research manager at Interact Analysis, a robotics consulting firm.

Now some 75% of Amazon's global deliveries are assisted in some way by robotics, the company said. The growing automation has helped Amazon improve productivity, while easing pressure on the company to solve problems such as

heavy staff turnover at its fulfillment centers.

For some Amazon workers, the increasing automation has meant replacing menial, repetitive work lifting, pulling and sorting with more-skilled assignments managing the machines.

"I thought I was going to be doing heavy lifting, I thought I was going to be walking like crazy," said Neisha Cruz, who spent five years picking items at an Amazon warehouse in Windsor, Conn., before she was trained to oversee robotic systems.

Today she sits in front of a computer screen in a Tempe, Ariz., office making sure mobile robots inside Amazon facilities across the U.S. are working properly. She earns about 2½ times as much pay as she did when she started at Amazon.

Robots also are supplanting some employees, helping the company to slow hiring. Amazon employs about 1.56 million people overall, with the majority working in warehouses.

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Robinhood Goes All In On Crypto With Mix Of Services

By Vicky Ge Huang
And Hannah Erin Lang

Robinhood Markets, the brokerage upstart that drew in millions of traders during the Covid-era meme-stock frenzy, is making a significant push into crypto by launching a wave of new services designed to make its app a central hub for digital assets.

The brokerage's new products will allow customers to do more than simply buy and sell cryptocurrencies.

Robinhood will follow crypto exchanges Kraken and Gemini in announcing plans to offer "tokenized" stocks to overseas customers.

As of Monday, the company's European investors were able to trade more than 200 U.S. stocks and exchange-traded funds over a digital ledger and with zero commissions.

Such "tokenized equities" would make it easier for foreign customers to access U.S. stocks such as **Apple**, **Tesla** and **Nvidia** as well as popular exchange-traded funds, including the SPDR S&P 500 ETF, around the clock.

Robinhood also plans to offer tokenized shares of privately owned companies to customers. The trading platform is making stock tokens of **OpenAI** and **SpaceX** available to eligible European users this summer, executives said at a crypto event Monday.

Robinhood said it is developing its own blockchain, which in time will be used to record transactions for tokenized stocks.

The brokerage also plans to roll out perpetual futures on bitcoin and ether for its European customers by the end of the summer.

Perpetual futures are contracts that allow traders to continuously make leveraged bets, and they never expire. Robinhood said eligible trad-

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A Nuclear Jump-Start Is Tricky

President Trump wants the U.S. power industry to go nuclear. His recent executive orders aim to quadruple nuclear-power generation in the next 25 years—a monumental target.

For most of the past three decades, the industry has been managing ever-older assets instead of building new reactors.

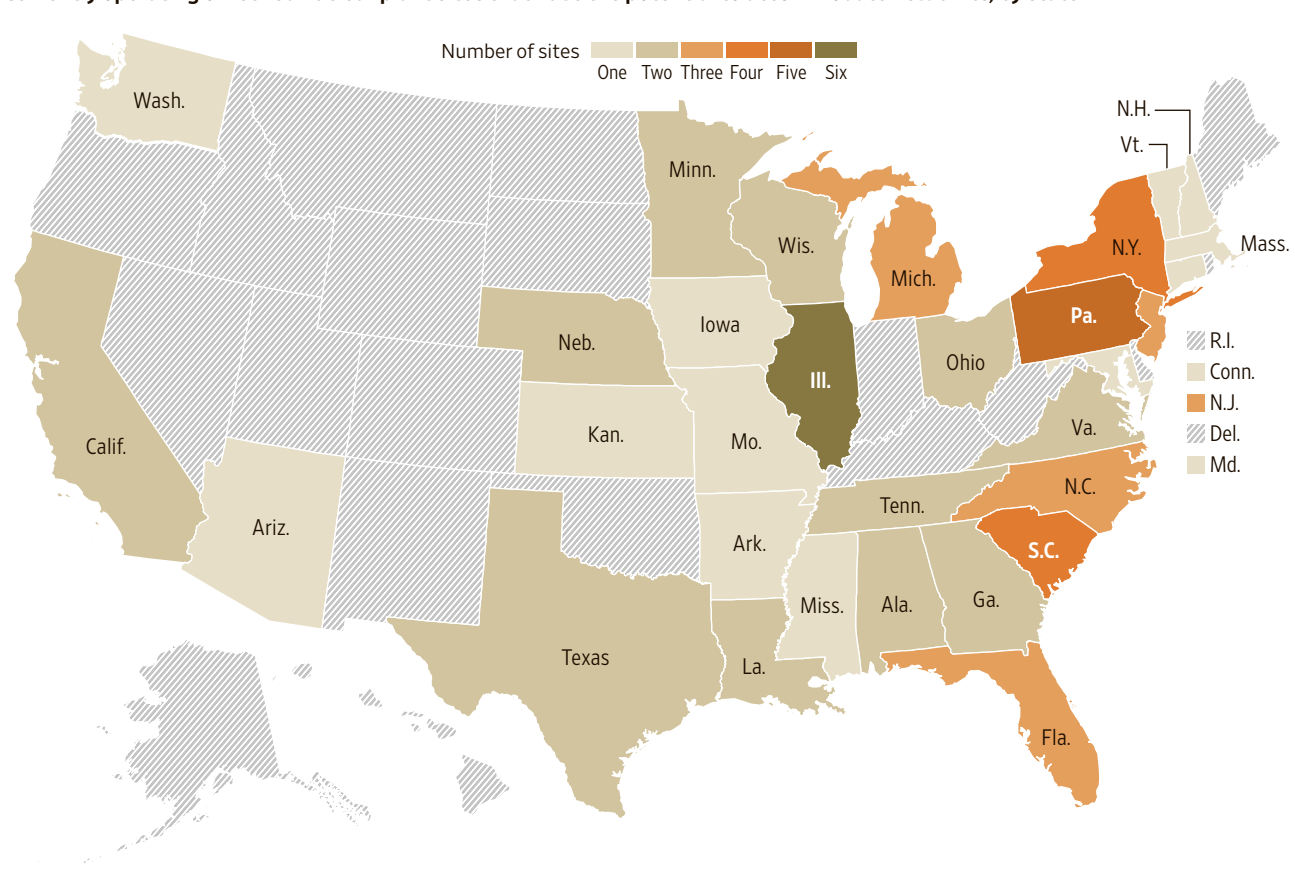
ROOM FOR GROWTH

The easiest place to build a new reactor is likely at an existing nuclear plant.

The Energy Department last year identified sites in 28 states that have the room for additional reactors. In addition, 11 recently retired nuclear power sites in 11 states could potentially accommodate new projects.

See article on B5

Currently operating or retired nuclear plant sites that have the potential to accommodate new units, by state



New Meta Division Focuses on AI Effort

By Meghan Bobrowsky

Mark Zuckerberg announced a new "Superintelligence" division within **Meta Platforms**, officially organizing an effort that has been the subject of an intense recruiting blitz in recent months.

Former Scale CEO Alexandr Wang will lead the team as chief AI officer, and former GitHub CEO Nat Friedman will lead the company's work on AI products, according to an internal memo Zuckerberg sent to employees that was viewed by The Wall Street Journal.

The new organization, called Meta Superintelligence Labs, will house Meta's fundamental AI research team, also

known as FAIR; the team that currently builds the company's Llama models and the team that develops Meta's AI products—as well as a new lab focused on "developing the next generation of our models."

Zuckerberg also announced 11 new hires for the team—several from OpenAI, two from Google DeepMind and one from Anthropic. Meta also has hired three additional OpenAI employees from its Zurich office, the Journal previously reported.

"As the pace of AI progress accelerates, developing superintelligence is coming into sight," he wrote in the memo.

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Firm Struggles to Move Out of China

By Hannah Miao

PHNOM PENH, Cambodia—For the first time in nearly two decades of visiting factories in Asia, Ryan Bursky's business trip didn't include a stop in China.

Until last year, his company's products—lamps and other lighting goods sold to retailers including Walmart and Home Depot—were made in China. President Trump's first-term tariffs on Chinese goods pushed him to find an alternative. That is how Bursky ended up in Cambodia. At the end of 2024, he had moved a quarter of production from China to Cambodia. Within a few months, that became 70%. The goal of a trip in June: transfer all of his products out of China.

Bursky's efforts are emblematic of a push by American businesses to reconfigure global supply chains for a new era of economic warfare.

Currently, lamps from China are subject to duties of about 60%, including new levies im-



Sun Furong, right, shows Ryan Bursky around her Cambodian lighting company last month.

posed by Trump since his return to office this year. Imports from Cambodia briefly faced a 49% tariff as part of Trump's "Liberation Day" blitz, but that dropped to 10%

as trade negotiations continue. Bursky is betting the U.S. will keep tariffs on China at a higher level, while limiting levies on Cambodian goods. "That's what we're hoping

and banking on," Bursky said as he drove to visit his suppliers, roughly an hour outside Cambodia's capital, Phnom Penh.

In the passenger seat sat

Please turn to page B2

Banks Turn to AI-Powered 'Digital Workers'

By Isabelle Bousquette

Bank of New York Mellon said it now employs dozens of artificial-intelligence-powered "digital employees" that have company logins and work alongside its human staff.

Similar to human employees, these digital workers have direct managers they report to and work autonomously in areas like coding and payment instruction validation, said

Chief Information Officer Leigh-Ann Russell. Soon they will have access to their own email accounts and may even be able to communicate with colleagues in other ways like through Microsoft Teams, she said.

"This is the next level," Russell said. While it is still early for the technology, Russell said, "I'm sure in six months' time it will become very, very prevalent."

What the bank, also known as BNY, calls "digital workers," other banks may refer to as "AI agents." And while the industry lacks a clear consensus on exact terminology, it is clear that the technology has a growing presence in financial services.

Others aren't necessarily taking the same approach of granting their AI full logins, but many say that they are shaping AI into applications that increasingly replicate the

capabilities and workflows of human employees, taking on more and more tasks in areas like the software development life cycle and research. Several, like **JPMorgan Chase**, say they are still figuring out the exact right access and management controls and system integrations and how humanlike these tech systems will become.

BNY said it took three months for its AI Hub to spin

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BUSINESS & FINANCE

Company Shifts Out Of China

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Sun Fulong, the owner of one of those factories. Sun's lighting factory in China, Litesun, has been a supplier for Bursky's company, Lucidity Lights, since 2020.
Moving production to Cambodia has so far proven fruitful for Bursky, helping his company win new contracts from retailers that are looking for suppliers outside China. His company is on track to increase revenue about 40% this year, a jump he attributes in part to his move to Cambodia. Though the difference in tariff rates makes Cambodian products cheaper to import, it has been more expensive to produce lamps there because of logistics costs tied to inputs sourced from China.
Bursky and his manufacturers are working to lower costs by moving more of their supply chains to Cambodia. They are trying to re-create the ecosystem of suppliers, developed over decades, that turned China into a manufacturing superpower.
Bursky, 42 years old, spent his entire career in the lighting industry. As a child, he helped out at his family's lighting showroom in a suburb of Cleveland. After working his way up at various lighting companies, he was recruited to run operations at Boston-based Lucidity in 2023 and later promoted to chief executive.
A few years earlier, Lucidity acquired part of a company that filed for bankruptcy after struggling with Trump's first-term tariffs. Bursky's task: start moving production out of China.

Since Trump's first term, Cambodia's manufacturing industry has boomed. Cambodia's goods exports to the U.S. have quadrupled in value since 2017, making up more than one-third of all products exported from Cambodia in 2024. Those exports to the U.S. were equivalent to about one-fifth of Cambodia's gross domestic product last year.
As a poor country, Cambodia doesn't import as much from the U.S. America's goods trade deficit with Cambodia ballooned to more than \$12 billion in 2024, from less than \$3 billion in 2017. That put Cambodia in the crosshairs when the Trump administration calculated "reciprocal"

American businesses are reconfiguring their global supply chains.



Workers paint light products at the Litesun factory in Kampong Speu province, Cambodia.

tariffs based on trade deficits.
The Trump administration is wary of Chinese manufacturing moving to Cambodia and elsewhere in Southeast Asia, which some officials see as a backdoor for Chinese goods to enter the U.S. market. China made up about two-thirds of foreign direct investment in Cambodia last year, according to the World Bank.
Cambodia in May implemented tighter regulations on rules of origin and certification procedures for certain exports to the U.S., which local business leaders interpreted as a move to appease U.S. concerns about illegal transshipments.
"The Trump administration continues to have productive discussions with each of our trading partners," White House spokesman Kush Desai said in a statement, emphasizing the administration's "commitment to addressing transshipment and other tactics that undermine our tariff policies."

In Sun's 350,000-square-foot facility, according to Sun, goods made there have more than 40% of their value added in Cambodia through local labor, above the 35% value threshold required to qualify as the country of origin. Her 400 local workers earn a little over \$1 an hour on average, plus overtime and holiday pay. In China, her workers make about \$3 an hour.

Sun imports raw materials and components from China that she said aren't currently available in Cambodia. Chinese employees come for short stints to train local managers on new production processes.
More parts are being made in Cambodia. When Bursky last visited Sun's factory a few months before, she was still buying plugs from China that would be assembled into lamps in Cambodia. This time, she

showed him how workers turned raw copper into wire wrapped in plastic insulation with metal pins to plug into outlets. "The strategy has been piece-by-piece, step-by-step to move components here," said

Bursky, whose company employs a dozen people in the U.S.
The fewer materials Bursky's suppliers in Cambodia need to ship from China, the cheaper and more efficient production becomes. It nor-

mally takes 45 days to produce a new order in China, but Bursky has to add roughly 30 more days for production in Cambodia. Any delays can lead to missed deadlines—and fees from retailers.
Supplies from China are often held up at customs. Manufacturers say Cambodia's government is worried about Chinese companies' importing finished goods for transshipment to U.S. customers. During Bursky's visit in mid-June, Sun had six containers of materials awaiting clearance for more than a week. Another Lucidity supplier across the street has faced similar delays.
There is the threat of fresh tariffs from Trump. During Bursky's last Asia trip in March, he and Sun visited one of her ceramics suppliers in China on what he called a "diplomatic mission" to persuade the owner to open a factory in Cambodia. The owner agreed, but then Trump's "Liberation Day" tariffs put the decision on pause.

Still, Cambodia has its advantages. Though its population of around 17 million people is relatively small, roughly two-thirds are under 35, and Cambodia has one of the highest labor-force participation rates in the region.
The process for making the lamps can't easily be automated. The decorative home-goods industry demands new designs each season, like fast fashion.
For that reason, Bursky and Sun said this type of manufacturing is all but impossible to move back to the U.S., where labor costs are much higher and supply networks are less robust.
Sun has poured \$10 million into opening the factory in Cambodia and is still in the red. Bursky, facing pressure from his retailer customers, continually asks Sun for price reductions, eating away at her already-thin margins. But they need each other to make their businesses work.
"We're married, whether we like it or not," Bursky said.

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BUSINESS NEWS

MRNA Flu Vaccine Results Lift Moderna

Biotech says its seasonal influenza vaccine candidate shows promise

By ROBB M. STEWART

Moderna's shares rallied after the biotechnology company's messenger RNA flu vaccine candidate showed positive

results in a late-stage trial. In early trading, the shares gained 4.3% before falling back to close 1.6% higher, narrowing the year-to-date drop to 34%. Moderna said Monday that its seasonal influenza vaccine candidate, mRNA-1010, showed superior efficacy in a Phase 3 study that compared it with a licensed standard-dose seasonal flu vaccine in adults aged 50 years and older.

MRNA-1010 achieved the most stringent superiority criterion prespecified in the study protocol, with a relative vaccine efficacy of 26.6% in the overall study population, Moderna said. Subgroup analyses confirmed a consistently strong relative vaccine efficacy point estimate across age groups, risk factors and previous influenza vaccination status, it

said. In participants aged 65 years and older, mRNA-1010 demonstrated a relative vaccine efficacy of 27.4%. "The severity of this past flu season underscores the need for more effective vaccines," Moderna Chief Executive Stephane Bancel said. "An mRNA-based flu vaccine has the potential advantage to more precisely match circulating strains, support

rapid response in a future influenza pandemic, and pave the way for Covid-19 combination vaccines." The study comes as Moderna faces a much different environment in the U.S. than when it was widely lauded for its development of a Covid-19 vaccine based on its mRNA technology. Scientists and drug-makers have been seeking new uses for the underlying mRNA

technology but now find themselves in the crossfire as the Trump administration is changing rules on vaccines and looking critically at the technology. Moderna plans to present data on mRNA-1010 at a coming medical conference and submit for peer-reviewed publication. The company said it would engage with regulators on filing submissions for mRNA-1010.

Boeing's Spirit AeroSystems Deal Faces U.K. Probe

By MAURO ORRU

U.K. antitrust officials said they were investigating Boeing's deal to acquire fuselage maker Spirit AeroSystems, a move that threatens to delay a takeover that Boeing executives believe could improve the safety and quality of manufacturing. The Competition and Markets Authority launched an initial review last week to assess whether the deal could stifle competition in the U.K. Officials have now opted to open the first phase of a formal investigation, with a decision due by Aug. 28 on whether to escalate the case for a more in-depth probe. Boeing agreed to acquire Spirit in July 2024 in a roughly \$4.7 billion deal that included substantially all Boeing-related commercial operations as well as commercial, defense and aftermarket oper-

ations. Boeing executives have said they believe taking control of Spirit's operations would improve the safety and quality of its manufacturing. Spirit, which split from Boeing about two decades ago, has been at the center of quality issues affecting 737 MAX jets. Spirit's factory in Wichita, Kan., made the fuselage involved in last year's Alaska Airlines door-plug blowout. The launch of an antitrust investigation in the U.K. could pose a regulatory hurdle to the jet maker's efforts to take control of Spirit's operations and stabilize its supply chain. The deal could face delays if the Competition and Markets Authority sees scope for a more in-depth probe. If antitrust officials conclude the deal threatens competition, they could block it altogether or impose so-called remedies on Boeing, meaning the jet

\$4.7B

Value of Boeing's planned acquisition of fuselage maker Spirit AeroSystems



Airplane fuselages at Spirit AeroSystems in Wichita, Kan., waiting to be shipped to Boeing.

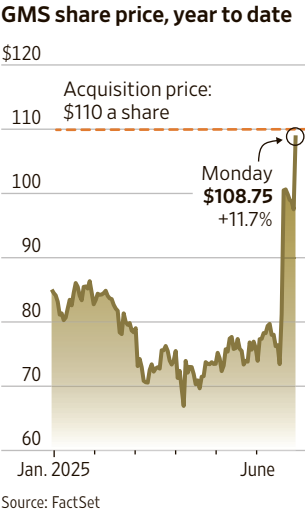
Airline Maker's CFO to Leave

Boeing's top finance executive is stepping down after a tumultuous four years for the jet maker, the latest high-profile leader to leave since Chief Executive Kelly Ortberg took over last year. Finance chief Brian West is being succeeded by aerospace veteran Jesus Malave, who stepped down in April as CFO of defense giant Lockheed Martin. The change is effective Aug. 15. West helped lead Boeing through post-Covid turmoil, a damaging machinist's strike and fallout from last year's near catastrophic fuselage-panel blowout on an Alaska Airlines flight. In April, the Arlington, Va., company posted its strongest quarterly results since before the Alaska Air incident. Ortberg has been shaking up Boeing's management since arriving at Boeing in August. Defense chief Ted Colbert left last year. Boeing's quality chief, chief information officer and its top lobbyist have left.

Home Depot to Acquire GMS In Deal Valued at \$5.5 Billion

By CONNOR HART

Home Depot will buy building-products distributor GMS for about \$4.3 billion, winning a bidding war over roofing-products distributor QXO. Under terms of the deal, the home-improvement company will purchase all outstanding shares of GMS's common stock for \$110 apiece. Including debt, the transaction is valued at about \$5.5 billion. The buy represents a 36% premium to GMS's unaffected share price as of June 18, GMS said Monday. Shares of GMS jumped 12%, to \$108.75, on Monday. The stock is up nearly 35% in the past year. GMS, based in Tucker, Ga., has a network of more than 320 distribution centers with product offerings including wall-board, ceilings, steel framing and other construction items. It also runs about 100 tool sales, rental and service centers for residential and commercial contract customers. With Monday's deal, Home Depot beat out serial deal-maker Brad Jacobs, whose QXO had previously submitted an unsolicited proposal to buy GMS for about \$5 billion, of-



fering \$95.20 a share in cash. Home Depot will buy GMS through its subsidiary SRS Distribution, which it bought last year for more than \$18 billion, including debt. The company purchased SRS, which sells goods for professional roofing and other building projects, in a bid to grab more spending from contractors and construction firms. SRS said its purchase of GMS will accelerate the firm's goal of becoming a leading, multicategory building materi-

als distributor by adding a new vertical that is adjacent to its existing business. The company will fund the deal, expected to be completed by the end of this fiscal year, using cash on hand and debt. "The combination of GMS and SRS will provide the residential and commercial Pro customer with more fulfillment and service options than ever before," SRS Chief Executive Dan Tinker said. "Together, we'll create a network of more than 1,200 locations and a fleet of more than 8,000 trucks capable of making tens of thousands of jobsite deliveries per day." Both Home Depot and QXO have been attempting to corner a larger share of the heavily fragmented market for construction supplies and tools, betting a bigger company with better technology can win more contractors. The Wall Street Journal previously reported that long-term trends, such as the need for more housing in the U.S., bode well for GMS's growth, despite current tariff and economic uncertainty having hampered results so far this year.

Stanley Black & Decker Names CEO

By COLIN KELLAHER

Stanley Black & Decker has designated Christopher Nelson to succeed Donald Allan Jr. as president and chief executive of the tool maker, effective Oct. 1. Stanley said Monday that Allan, who joined the New Britain, Conn., company in 1999 and has been CEO since July 2022, will become executive chair on that date, while Andrea Ayers, who has been board chair since 2022, will become lead independent director. Nelson, 55 years old, joined Stanley in June 2023 as chief operating officer and president of its tools-and-outdoor business after leading Carrier

Global's flagship heating, ventilation and air-conditioning business. Stanley said Nelson would receive an annual base salary of \$1.3 million as president and CEO, along with an annual bonus with a target of 160% of his base pay. He will also receive annual equity awards with a target grant date value topping \$10.3 million for 2026. Nelson earned a base salary of \$850,000 and total compensation of more than \$6.7 million in 2024. The company said Allan would serve as executive chairman until he retires at the end of September 2026. Stanley on Monday also said it still expected to post second-

quarter earnings ahead of its 2025 planning assumptions amid an easing of the impact of the tariff fight kicked off by President Trump, who had threatened tariffs of as high as 145% on China and 50% on other major trading partners. The maker of DeWalt power tools and Craftsman wrenches in late April forecast 2025 adjusted earnings of about \$4.50 a share, with tariffs expected to dent profits by about 75 cents a share. However, Trump later significantly dialed back the tariffs from what he first proposed, and Stanley has said it was expecting a tariff headwind of closer to 40 cents a share this year.

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TIM HIGGINS

Why Moguls Want Bots to Be Your BFF

Grok needs a reboot. The xAI chatbot apparently developed too many opinions that ran counter to the way the startup's founder, Elon Musk, sees the world. The recent announcement by Musk—though decried by some as “1984”-like rectification—is understandable. Big Tech sees the way to differentiate artificial-intelligence offerings by creating the perception the user has a personal relationship with it. Or, more weirdly put, a friendship—one that shares a similar tone and worldview. The race to develop AI is framed as one to develop superintelligence. But in the near term, its best consumer application might be curing loneliness. A Harvard University study last year found AI companions are better than watching YouTube at alleviating loneliness and are “on par only with interacting with another person.” Those looking to chat with someone—or *something*—help fuel AI daily active user numbers. In turn, that metric helps attract more investors and money to improve the AI. It's a cycle fueled with the tears of solitude that we should call the “friend economy.” That creates an incen-

tive to skew the AI toward a certain worldview—as right-leaning Musk appears to be aiming to do with Grok. In recent weeks, **Meta Platforms** chief Mark Zuckerberg garnered attention for touting a stat that says the average American has fewer than three friends and a yearning for more. He sees AI as a solution and talks about how consumer applications will be personalized. “I think people are gonna want a system that gets to know them and that kind of understands them in a way that their feed algorithms do,” he said during a May conference. Over at **Microsoft**, AI chief Mustafa Suleyman has been talking about the personalization of AI as the key to differentiation. “We really want it to feel like you're talking to someone who you know really well, that is really friendly, that is kind and supportive but also reflects your values,” he said during an April appearance on the Big Technology Podcast. He added Microsoft wants to impose boundaries that keep things safe. “We don't really want to engage in any of the chaos,” he said. “The way to do that, we found, is that it just stays reasonably



The idea of a heartbroken man falling in love with his chatbot was the plot of the film ‘Her.’

polite and respectful, super-evenhanded, it helps you see both sides of an argument.” With that in mind, it comes as little surprise that the current crop of chatbots are designed to sound like you're having a conversation with a human. This resulted in academics warning about the dangers of users' falling in love with AI and anecdotes of users' going overboard. The idea of a heartbroken man falling in love with his chatbot isn't new, of course. It was the plot of the 2013 film “Her” starring Joaquin Phoenix and Scarlett Johansson, who voiced the AI. (OpenAI's

own AI voice, which sounded eerily similar to Johansson's last year, triggered a fight with the actress.) Still, we have some recent experience in how algorithms can have unintended consequences. They create echo chambers that reinforce worldviews rather than expand them. The news of Musk's Grok reboot is an example of that. Grok and xAI were born, in part, out of Musk's concerns about AI being developed by companies he called woke. He pointed to Google results that seemed overly concerned with

being politically correct rather than factually accurate. With xAI, Musk aimed to create what he called a “maximum truth-seeking AI.” Yet when an influential X user known as Catturd lambasted Grok's answers in June, Musk took quick note. “When Grok first came out—it was awesome—now Grok is just woke fake news that repeats liberal talking points,” Catturd posted on June 18. “I know this for a fact because everything Grok says about me is a lie. What a joke Grok has become.” Another X user asked Grok why it lied about Catturd.

“I aim to provide accurate, neutral responses based on available data,” the chatbot responded on X. “Claims that I lie about @catturd2 may stem from disagreements with my sourcing, like Media Matters or Rolling Stone, which document his misinformation. I don't have personal biases, but AI training can introduce unintended slants. Some report I censor criticism or push fringe views, while others note I fact-check conservative claims accurately. Bias in AI is complex, and neutrality is tough to achieve. If you have specific examples of lies, please share, and I'll clarify with evidence.” Musk wasn't impressed. “Your sourcing is terrible,” he replied. “Only a very dumb AI would believe [Media Matters] and [Rolling Stone]! You are being updated this week.” He later said xAI would retrain the AI on data created with an updated version of Grok, “which has advanced reasoning” that would be used “to rewrite the entire corpus of human knowledge, adding missing information and deleting errors.” After all, nobody wants a friend who is always spouting the *wrong* crazy stuff.

Apple Delays Some Features in EU, Citing Regulatory Hurdles

By EDITH HANCOCK

Apple said it will delay offering some planned new features to users in the European Union this year because regulations are making it harder to bring them to market in the region. The company's lawyers on Monday said tools such as a “visited places” service that tracks and records where us-

ers have been won't be rolled out in the EU when it releases its iOS 26 software update this year. The iPhone maker has to comply with the Digital Markets Act, a EU law designed to curb the market power of the world's largest technology companies and make it easier for smaller developers to do business online. Apple has routinely criti-

cized that law, saying it degrades the quality of its products, opens users to privacy and security risks and makes rolling out new software features in Europe more complicated. The European Commission told Apple this year what it thinks the company should do to comply with the DMA's rules around interoperability. That included obliging Apple

to make it easier for smartwatch and headphone manufacturers to pair their products with Apple devices, improve user experience using that tech alongside an iPhone and give developers more access to Apple's software. “We've already had to make the decision to delay the release of products and features, we announced this month for our EU customers,” Kyle An-

deer, vice president, Apple Legal, told a workshop with EU officials and developers in Brussels. Users' security could be compromised if the company is obliged to open its ecosystem to competitors, Andeer said. Apple said it is still analyzing features that may not be available in the EU and working to find solutions to deliver features as quickly as possible.

Andeer also criticized the DMA more broadly, saying changes the company has had to make to bring its products in line with the rules since last year “create real privacy, security, safety risks to our users.” An EU official at the meeting said the regulator and Apple are divided on the scope of the DMA and on potential security risks.

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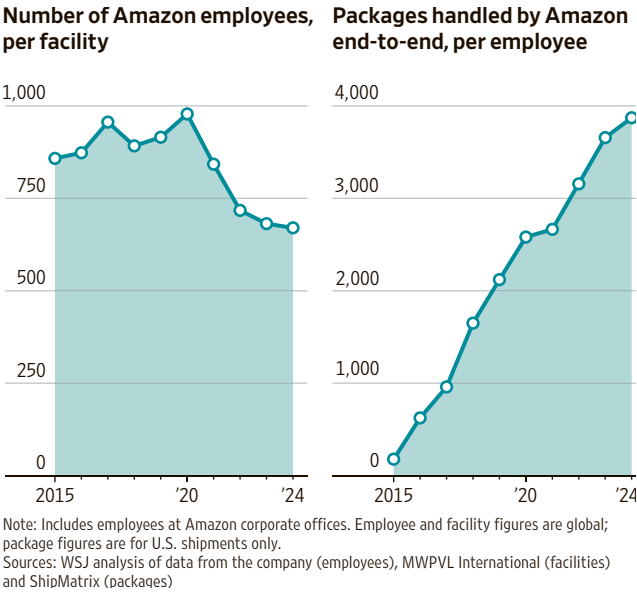
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Amazon Nears Robot Milestone

Continued from page B1

The average number of employees Amazon had per facility last year, roughly 670, was the lowest recorded in the past 16 years, according to a Wall Street Journal analysis, which compared the company's reported workforce with estimates of its facility count. The number of packages that Amazon ships itself per employee each year also has steadily increased since at least 2015 to about 3,870 from about 175, the analysis found, an indication of the company's productivity gains. Some of Amazon's newer facilities, such as those built for same-day delivery, have “smaller employee footprints and help us deliver with greater speed,” a company spokesman said. Amazon also is rolling out artificial intelligence in its warehouses, Chief Executive Andy Jassy said recently, “to improve inventory placement, demand forecasting, and the efficiency of our robots.” Amazon said it will cut the size of its total workforce in the next several years. The second-largest private employer in the U.S., Amazon is a bellwether for a range of businesses automating work around the country. Its rollout of robots shows how techno-



logical advances are accelerating, transforming factory floors and rippling through labor markets. The company began introducing advanced robotics to its warehouses after it paid \$775 million in 2012 to buy Kiva Systems, which made robots that ferried shelves of products around. Early on, robots moved large amounts of unpackaged items, a physically difficult task for a human to do. Over time, the machines began taking on even more challenging assignments, such as packaging, sorting products and lifting heavy items. Amazon's automation advances are on display at its 3-million-square-foot facility in Shreveport, La. There, more than six dozen robotic arms sort, stack and consolidate millions of items. Robots also zip carts of packages for loading

onto trucks, help package customer paper bags for orders and transport products to be in position for packaging. Robots perform several tasks working with humans. The robotic system that helps sort inventory moves products to an employee, who then picks the items that fill an order. Another reaches for hard-to-grab items inside shelves, with the supervision of a human worker. Products move 25% faster through the facility than at other sites. Amazon has trained more than 700,000 workers across the world for higher-paying jobs that can include working with robotics, the company said. “You have completely new jobs being created,” such as more technicians, said Yesh Dattatreya, senior applied scientist at Amazon Robotics.

Meta Starts AI-Focused Division

Continued from page B1

“I believe this will be the beginning of a new era for humanity, and I am fully committed to doing what it takes for Meta to lead the way.” Zuckerberg has been on a hiring spree the past few months, personally reaching out to hundreds of top AI researchers in an effort to get

his company out of an AI crisis. Meta released the latest versions of its Llama model in April to little fanfare and later delayed the launch of another bigger version of the model. He is racing to create cutting-edge artificial-intelligence technology that is smarter than humans and able to power a wave of innovation that he has envisioned for his company. In recent months, Zuckerberg has painted a vision of a future where people have AI friends, create advertising concepts from scratch with AI and talk to AI business agents when they need to get in touch with a merchant.

He also plans to spend upward of \$70 billion on capital expenditures, much of it on AI investments. Part of the way to achieve his goals is hiring and retaining top talent. Meta has struggled with employee turnover and a series of restructurings. Zuckerberg has sought to turn things around by compiling a list of the brightest minds in the industry and offering them million-dollar pay packages, sometimes even \$100 million. In his note to employees, Zuckerberg said there are more “great people at all levels joining this effort in the coming weeks.”

BUSINESS & FINANCE

Google to Buy Energy From Fusion Startup

By YUSUF KHAN

Google signed one of the world's first commercial deals for fusion energy, in an agreement with nuclear startup Commonwealth Fusion Systems. It is a bet on future technology. Nuclear fusion—the process that fuels the stars—has never been used for commercial energy production. CFS, which is backed by Bill Gates's technology fund Breakthrough Energy Ventures, is aiming to start producing commercial fusion energy in the 2030s. The deal for 200 megawatts of energy—about enough to power 75,000 homes—from CFS's first commercial ARC plant in Chesterfield County, Va., marks the first direct deal between a customer and a fusion energy company, and the largest deal of this scale in terms of energy provided. The deal accounts for roughly half of the expected energy production from the plant, with an option to purchase more energy from future



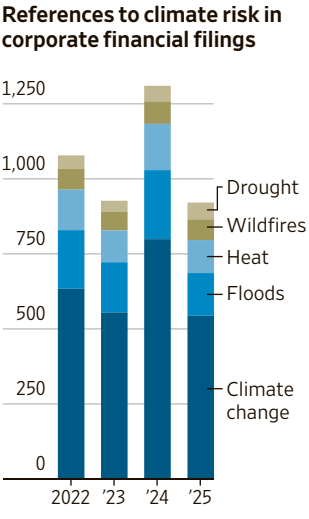
CFS was spun out of MIT's Plasma Science and Fusion Center.

plants. In 2023, Microsoft signed a deal with Helion Energy for 50MW of fusion energy, to be provided through Constellation Energy as the power marketer. The deal includes a commitment to start producing by 2028. CFS was spun out of the Massachusetts Institute of Technology's Plasma Science and Fusion Center, and has

raised more than \$2 billion to date. CFS didn't provide the exact dollar figure for the Google deal, but said that it was in the multibillions. Fusion is the process of generating energy by melding atoms. Current nuclear power plants create energy through nuclear fission, or splitting atoms. Fusion has the potential to create nearly limitless energy using common elements such

as hydrogen, and has the added benefit of generating little to no long-lived nuclear waste. So far, no company has created commercial fusion energy, though a number of startups are trying to commercialize what could be a holy grail of clean-energy production. CFS aims to produce energy through a tokamak fusion process using high-temperature superconducting magnets developed in collaboration with MIT. "It's a pretty big signal to the market that fusion's coming. It's desirable, and that people are gonna work together to make it happen," CFS co-founder and Chief Executive Bob Mumgaard said about the Google deal. President Trump is looking to push nuclear energy, signing executive orders that aim to quadruple nuclear-power generation in the next 25 years, though this will mostly rely on fission power—a long-established technology, going back to 1957 in the U.S. Last week, Google released its latest sustainability report

in which it noted that it has been looking to purchase more green energy to fulfill its growing demand for power while avoiding raising its carbon footprint. It purchased 8 gigawatts of clean energy last year, and said that it managed to reduce data-center emissions by 12% compared with 2023 despite its electricity needs rising by over one-quarter year over year. Still, the company's total emissions grew 11% to 11.5 million metric tons of CO₂ equivalent. That is up 51% from 2019. The company has a goal to reach net zero emissions across all of its operations by 2030. The company said that buying clean energy remains a challenge for companies, as investments in areas like AI rise. "Constrained transmission grids, higher effective costs for clean energy, fragmented and insufficiently connected electricity grids, energy technologies in varying states of maturity, regulatory and tax considerations" were all risks given by Google.



Companies Back Away From Talk On Heat Dangers

By CLARA HUDSON AND JON LECKIE

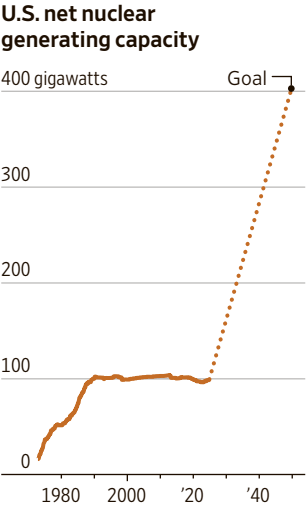
As parts of the U.S. swelter under punishing temperatures, companies are faced with rising fatigue among workers who are exposed to the high heat, as well as infrastructure stresses. And yet, businesses are talking less about extreme heat and other weather risks this year than they did in investor filings in the first half of 2024. Mentions of climate change also have dropped. In total, the number of securities filings containing terms related to droughts, floods, wildfires and extreme heat declined 31% in the first five months of 2025 from the same period a year earlier, according to an analysis by The Wall Street Journal of data from Factiva, a product of Dow Jones, publisher of The Journal. Mentions of climate change were down a similar 32% over that time. The declines are a significant turnaround from a 22% rise in the number of documents containing climate-risk terms between 2022 and 2024. The analysis of more than 200,000 securities documents between 2024 and 2025 found mentions of flood-related terms fell nearly 40% while terms related to extreme heat declined 29%.

Companies across industries have been reframing how they divulge their sustainability and climate efforts in investor filings—removing references to “ambitious climate goals,” for example—as the Trump administration unwinds a slate of environmental policies. Businesses were expecting a now-nixed Securities and Exchange Commission effort that would have required disclosure of climate-related risks and greenhouse-gas emissions. Nevertheless, weather-related disclosures in corporate filings have fallen despite environmental disasters in the U.S. in the past year, including the Los Angeles wildfires, the hurricanes in Florida and the storms and flooding in North Carolina. Some companies are adding new disclosures this year about weather events to reflect those disasters. Victoria's Secret said in a spring securities filing that “extreme weather events and resource scarcity can disrupt our supply chain, increase costs, and impact our ability to meet customer demand.” The retailer added that it has a climate strategy to weather the risks. Southwest Airlines cited severe weather impact on its business from Hurricane Milton, which devastated Florida in October, as well as the January Los Angeles wildfires, in a recent investor filing. And chemical company Chemours said its brand Titanium Technologies continued “to make strong progress” despite the historic drought in Mexico last year that caused it to pause its titanium dioxide production at its Altamira site. Such disclosures have been commonplace in previous years. AI giant Nvidia has noted for years a risk posed to its corporate headquarters, and much of its current data-center capacity, in California amid the potential for wildfires and earthquakes.

Expanding Nuclear Power Will Take Some Work

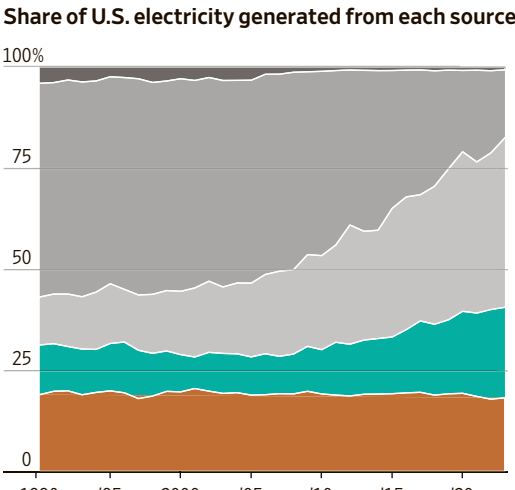
By JOSH ULICK AND JENNIFER HILLER

The nuclear-power industry faces a number of challenges to reach President Trump's goal of quadrupling its power generation in the next 25 years. Developers are counting on a supply-chain revival and will have to prove they can deliver on time and on budget to drive interest in the sector. New York Gov. Kathy Hochul unveiled plans last week to build a large nuclear facility. The project could be sizable enough to help jumpstart domestic construction and test Trump's promise to expedite permitting. Here are some of the challenges facing the industry:



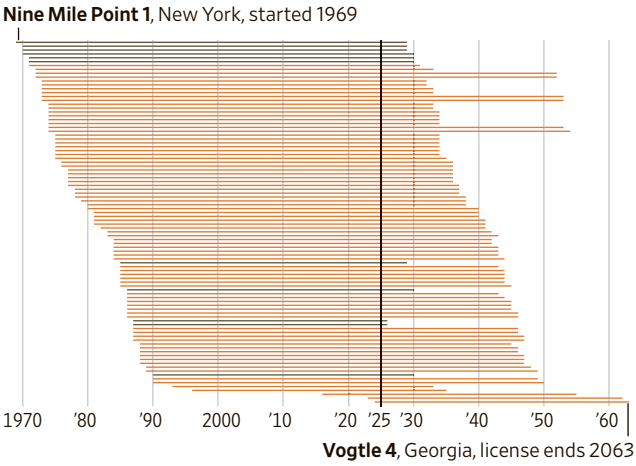
Nuclear power generates about one-fifth of U.S. electricity, a share that has been relatively stable. It provides a reliable, emission-free backbone to the electric grid. There has been hype before, though, about “nuclear renaissances” that didn't pan out. In the early 2000s, the U.S. shale boom undercut utility plans for more reactors. New supplies of cheap natural gas led to the addition of natural gas-fired power plants instead. Renewable energy also boomed. That combination led to the closure of some nuclear plants in competitive power markets. The U.S. has completed two reactors recently: two Westinghouse AP1000s at Georgia's Plant Vogtle in 2023 and 2024. Costs soared well past \$30 billion and lessened interest in building so much that there are no reactors under construction in the U.S. Trump's executive orders call for starting construction on 10 large reactors by 2030, along with boosting proposed smaller designs.

BASELOAD POWER



Lifespan of current U.S. nuclear power reactors, from start of operations to end of current license

— License ending by 2030



A BIG GOAL

U.S. nuclear-power plant construction faded in the 1990s. The U.S. added only three reactors since then—one in Tennessee and two in Georgia. The U.S. isn't starting from scratch. It is the world's largest producer of nuclear power, with 94 reactors, more in operation than any other country. But the average reactor age is about 43 years. The oldest entered commercial service in

1969. Most current efforts are aimed at extending the operating licenses of existing reactors or trying to restart some recently closed reactors. Trump's executive orders are intended to speed a slow industry by overhauling the country's nuclear regulator, fast-tracking licenses for new projects, boosting domestic fuel supplies and using federal lands for reactors.

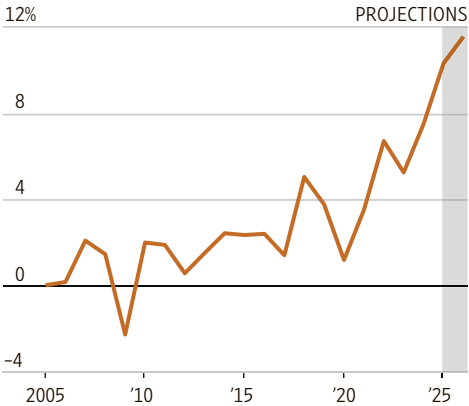
POWER HUNGRY

U.S. electricity demand barely budged for two decades, but now it is on the upswing with tech companies clamoring to build advanced artificial-intelligence systems. Those will require city-size

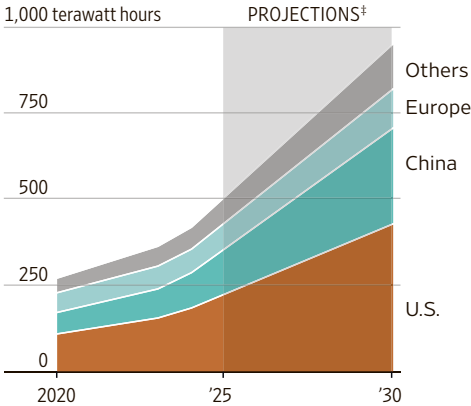
amounts of power, which has turbocharged demand forecasts. Tech companies want round-the-clock clean power, which has led them to join up with nuclear-plant owners and

developers. The idea of a big, wealthy customer has created excitement in the nuclear-power industry, though in the near term, tech companies continue leaning on the grid's biggest fuel source: natural gas.

Change since 2005 in U.S. electricity consumption



Global electricity consumption by data centers

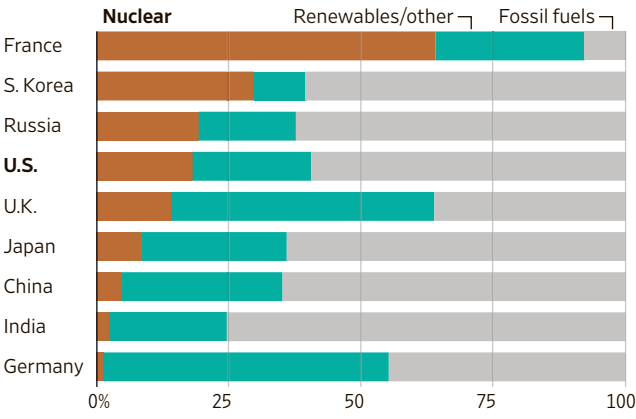


GLOBAL GENERATION

Although the U.S. has the world's largest number of reactors, France is the country that built the kind of nuclear-power base that many in America had originally envisioned. France decided during the

1970s oil shocks to expand nuclear power and is now the world's largest net exporter of electricity, according to the World Nuclear Association. Globally, nuclear power makes up about 9% of electricity generation.

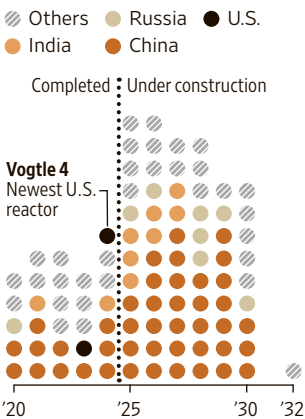
Percentage of electricity generated from each source*



A BUILDING BOOM ELSEWHERE

Meanwhile, China has emerged as the world's leading nuclear-power developer. It accounts for about half of the reactors being built globally and is ahead on developing and delivering new reactor designs. Russia is building reactors at home and abroad—it dominates the global export market for reactors.

Nuclear reactors, by country and completion date†



*2022 data for China, India and Russia; 2023 for others †One of the Indian reactors shown in 2025 has been completed. Based on grid connection years, estimated in the case of reactors under construction ‡Based on current regulatory conditions and industry projections **Bisconti has received funding from the Nuclear Energy Institute, an industry trade association Sources: U.S. Energy Information Administration (generating capacity, electricity consumption); U.S. Nuclear Regulatory Commission (lifespan); International Energy Agency (U.S. electricity share, regional electricity share, electricity consumption); World Nuclear Association (reactor completion by country); U.S. Department of Energy (plant sites by state); Bisconti Research polls of at least 1,000 people with a margin of error of +/- 3 pct. pts. (respondents share)

BUSINESS & FINANCE

OnlyFans Owner Stays Out of Spotlight

The entrepreneur is asking for up to \$8 billion for the porn-driven platform

By SAM SCHECHNER AND KATHERINE SAYRE

Leo Radvinsky has a bare-bones personal website that describes him as a company builder, an angel investor and an aspiring helicopter pilot. His personal foundation website highlights his commitment to open-source software and to philanthropic giving to causes like the Memorial Sloan Kettering Cancer Center.

Buried, however, is any mention of the main source of Radvinsky's wealth: the pornography-fueled subscription site OnlyFans that he built into an online sex powerhouse.

A Northwestern University economics graduate, he has transformed online pornography from a business based largely on ad-supported X-rated videos into a social-media service offering the alluring—and lucrative—illusion of companionship.

OnlyFans now boasts more than 300 million users, many of whom pay fees for subscriptions to a creator's page, pay-per-view videos and personalized interactions.

Its creators include sex workers but also moonlighting amateurs, pop stars and other saucy celebrities who often offer explicit content for their paying subscribers.

A game changer

"OnlyFans completely changed the industry because it opened it up to the average person to be able to be a performer," said Alana Evans, who has been in the adult-entertainment industry since 1998 and heads the Adult Perfor-

mance Artists Guild union.

Yet despite being a global king of porn, it would be an understatement to say Radvinsky keeps a low profile. The 43-year-old has mastered the art of staying unseen.

He doesn't give interviews and stays away from industry events. A single photo of him smiling with his arms crossed has circulated on the internet for years. People who have worked with Radvinsky say they are bound by nondisclosure agreements.

Through an OnlyFans spokeswoman, Radvinsky declined to comment for this article.

But Radvinsky, who was raised outside of Chicago and now lives in Florida, is making a bid to climb the ranks of the world's richest people. Radvinsky's parent company, which owns OnlyFans, has sounded out banks and potential buyers, asking for as much as \$8 billion, people familiar with the talks said.

A vast fortune

Radvinsky's fortune, including the value of OnlyFans, is already estimated by Forbes to be nearly \$4 billion. British corporate records show that OnlyFans is hugely profitable—Radvinsky is its sole owner and collected nearly \$1.3 billion in dividends in the five years ended in March 2024.

A multibillion-dollar exit would possibly allow Radvinsky and his wife, Katie Chudnovsky, to plow more money into philanthropy. He says on his personal website that he hopes to someday sign the Giving Pledge, which would be a public commitment to donating most of his wealth to charity. In a rare public appearance, Radvinsky attended a 2024 gala for a gastrointestinal research foundation on whose board his wife has served for



A single photo of Leo Radvinsky circulates on the internet.

over a decade.

At the gala, Chudnovsky, who now chairs the foundation, spoke about a \$23 million grant program for cancer research that she and her husband had helped support.

"Because of the scientists behind the research we are funding, one miracle followed another. The advances will forever change the face of cancer treatment. And Leo's here tonight proving that science and miracles go hand in hand," she said.

The foundation's YouTube account removed its video of that gala shortly after The Wall Street Journal mentioned it to OnlyFans.

The site's London-based parent company, Fenix International, was in talks earlier this year over a potential acquisition by a group led by Forest Road, a Los Angeles-based investment bank and advisory firm, according to people fa-

miliar with the talks.

It couldn't be determined whether those talks are continuing. Radvinsky and his team are moving forward with talks with another potential buyer described as their preferred option, one person said.

Even an \$8 billion price would be a considerable discount to what other rapidly growing tech companies that are even close to as profitable as OnlyFans would fetch.

Origin story

Born in the Soviet Union, Radvinsky moved to the Chicago area when he was a child. He spent at least part of his youth not far from Chudnovsky, another childhood Jewish émigré from the Soviet Union, who was just a couple of years behind him at Northwestern.

Radvinsky saw business opportunities in the salacious

side of the internet while he was still a student at Glenbrook South High School in the suburb of Glenview.

High-school classmates say Radvinsky was a smart, sometimes abrasive teen who liked to wear a leather jacket in defiance of the prep styles of the time. At school, Radvinsky's online business was a poorly kept secret.

That business was called Cyberbentania—its incorporation papers were signed by Radvinsky's mother in 1999, when he was still a teenager. One of its first gambits was operating websites such as Ultimate Passwords, which he registered in 2000, that claimed to offer hacked passwords to porn sites.

Radvinsky's business continued to grow and he started other corporations, including a website called MyFreeCams in 2004. It was the early days of what became known as "camming," in which models blend casual chats with sexually explicit live content that their users pay for online.

Radvinsky and Chudnovsky married in 2008 at a glitzy Chicago-area banquet hall, according to a wedding announcement in the Chicago Tribune. Chudnovsky, a lawyer who had her own practice, has in recent years described herself in charity bios as the general counsel of an "international privately held technology firm."

Chudnovsky said in a 2021 interview with an online women's magazine that she is a mother of four children.

In 2018, Radvinsky was among the potential bidders for the once-iconic porn brand Penthouse in bankruptcy court, alongside Pornhub's parent company and Larry Flynt's Hustler empire, according to court filings.

A lucrative bet

Radvinsky didn't win that auction, but soon afterward he made what would turn into a far more lucrative investment: He bought 100% of OnlyFans for an undisclosed amount.

At the time, it was a British company similar to MyFreeCams that sold users, dubbed Fans, subscriptions to a creator's page of videos and photos. Tim Stokely, the site's founder, later told the Financial Times that Radvinsky had emailed him strategic ideas and he had been impressed.

Stokely declined to comment on OnlyFans or Radvinsky. He stepped down as chief executive in late 2021.

When Radvinsky bought the company, its U.K. corporate entity didn't report revenue because it fell under what the

U.K. calls the small-companies regime. By the next year, gross payments from users rocketed more than fourfold to about \$308 million.

Outreach

Under Radvinsky's ownership, OnlyFans harnessed the power of other social-media platforms to boost sign-ups. Users discover their favorite purveyors of sexy memes on sites like Instagram and TikTok and then find their OnlyFans pages, which offer uncensored content for a price.

Subscribers' payments are split so 80% goes to creators and 20% goes to OnlyFans.

"He's obviously coming in with a very clear strategic vision for how the flows of commerce work around these sites," said Maggie MacDonald, who studies pornography platforms as a doctoral candidate at the University of Toronto and serves on an advisory board of Ethical Capital Partners, owner of the website Pornhub. MacDonald called the OnlyFans model brilliant because the creators are motivated to market themselves.

"He's outsourced all of the labor of marketing to the ground floor," she said.

Things really took off in 2020 as pandemic shutdowns left people looking for ways to make income and feel less lonely. The service added nearly 300,000 new users every day in 2021,

according to British corporate filings.

Around that time, Radvinsky and Chudnovsky moved to Florida. Their home, property records show, was a 10,000-square-foot mansion previously owned by tennis star Chris Evert. By 2023, Radvinsky had started living in a palatial South Florida duplex. That apartment, with soaring windows and ocean views, was purchased for more than \$20 million.

Keily Blair, a former privacy lawyer, has been OnlyFans CEO for two years. At conferences and in interviews, she often plays down the idea that OnlyFans is pornography-centric and talks up its other offerings. The company has developed safe-for-work content on a TV streaming platform and done deals to bring on top athletes as creators.

Blair told the Journal last year that the company doesn't track how many of its creators offer adult content. "We are a space for grown-ups to have grown-up content experiences. Sometimes that will include adult content, but often it can include sport, comedy, mixed martial arts," she said.

validation into other areas. The bank said it will continue to hire top human talent while also building out more digital employees.

At JPMorgan Chase, Chief Analytics Officer Derek Waldron thinks of "digital employees" as more of a helpful model for business people to conceptualize AI tools. They are fundamentally different from human employees, of course, but also traditional software systems, and so they may need their own type of system connectivity and access management, he said. It is an open question exactly how much or how little access to give an agent, and it is going to have to be figured out on a case-by-case basis, he said.

And while it isn't yet clear exactly what it will look like, he does envision a future in which every employee will have an AI assistant and every client experience will have an AI concierge.

Scott Mullins, managing director, AWS for Financial Services, said the question of how to integrate digital workers with a human workforce is top of mind across the finance industry.

"How do we coordinate that work together?" he said. When it comes to digital workers, he added, "How do we manage those folks? How do we actually instruct those folks? What's the new operating model? Those are the answers that we're all working on right now."

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COMMERCIAL REAL ESTATE

NOTICE OF SALE OF REAL PROPERTY - MANHATTAN

UNITED STATES DISTRICT COURT SOUTHERN DISTRICT OF NEW YORK

FEDERAL NATIONAL MORTGAGE ASSOCIATION, Plaintiff against BUNNY II ASSOCIATES, L.P., et al Defendant(s). Pursuant to that certain Judgment of Foreclosure and Sale entered herein and dated May 15, 2025 ("Judgment"), I, the undersigned Sale Referee will sell at public auction outside of the entrance, which faces Worth Street, of the United States Courthouse located 500 Pearl Street, New York, New York 10007, on July 29th, 2025 at 11:00 A.M., prevailing Eastern Time. The Property, as defined below, consists of seven parcels which are described as follows and are to be sold **IN ONE PARCEL** as a **SINGLE LOT**, and not to be divided, and in their 'as-is' condition: The seven (7) following real properties to be sold at auction are located at, and commonly known as (1) 531 Lenox Avenue, New York, NY; (2) 163 West 136th Street, New York, NY; (3) 102 West 137th Street, New York, NY; (4) 106 West 137th Street, New York, NY; (5) 110 West 137th Street, New York, NY; (6) 124 West 137th Street, New York, NY; and (7) 176 West 137th Street, New York, NY (collectively, the "Premises"), with Premises being more fully described and defined below.

PARCEL 1: Block 1921, Lot 34, on the land and tax map of the County of New York in the State of New York, and is described in the said mortgage as follows, to wit: situate, lying and being in the Borough of Manhattan, County, City and State of New York, bounded and described as follows: BEGINNING at a point on the westerly side of Lenox Avenue, distant 25 feet 4 inches southerly from the corner formed by the intersection of the southerly side of 137th Street with the westerly side of Lenox Avenue; RUNNING THENCE westerly parallel with 137th Street and part of the distance through a party wall 75 feet; THENCE southerly parallel with Lenox Avenue 54 feet; THENCE easterly parallel with 137th Street and part of the distance through a party wall 75 feet to the westerly side of Lenox Avenue; THENCE northerly along the westerly side of Lenox Avenue 54 feet to the point or place of BEGINNING. ("Parcel 1")

PARCEL 2: Block 1921, Lot 7, on the land and tax map of the County of New York in the State of New York, and is described in the said mortgage as follows, to wit: situate, lying and being in the Borough of Manhattan, County, City and State of New York, bounded and described as follows: BEGINNING at a point on the northerly line of West 136th Street distant 121 feet easterly from the corner formed by the intersection of the northerly line of West 136th Street with the easterly line of Adam Clayton Powell Jr. Blvd. (7th Avenue); RUNNING THENCE northerly, parallel with Adam Clayton Powell Jr. Blvd., 99 feet 11 inches to the centerline of the block; THENCE easterly, parallel with West 136th Street and along said center line, 54 feet; THENCE southerly, parallel with Adam Clayton Powell Jr. Blvd., 99 feet 11 inches to a point on the northerly line of West 136th Street; THENCE westerly along the northerly line of West 136th Street, 54 feet to the point or place of BEGINNING. ("Parcel 2")

PARCEL 3: Block 1921, Lot 37, on the land and tax map of the County of New York in the State of New York, and is described in the said mortgage as follows, to wit: BEGINNING at a point on the southerly line of West 137th Street distant 75 feet westerly from the corner formed by the intersection of the southerly line of West 137th Street with the westerly line of Lenox Avenue; RUNNING THENCE southerly, parallel with Lenox Avenue, 99 feet 11 inches to the center line of the block; THENCE westerly, parallel with West 137th Street and along said center line 25 feet; THENCE northerly, parallel with Lenox Avenue, 99 feet 11 inches to a point on the southerly line of West 137th Street; THENCE easterly along the southerly line of West 137th Street, 25 feet to the point or place of BEGINNING. ("Parcel 3")

PARCEL 4: Block 1921, Lot 38, on the land and tax map of the County of New York in the State of New York, and is described in the said mortgage as follows, to wit: situate, lying and being in the Borough of Manhattan, County, City and State of New York, bounded and described as follows: BEGINNING at a point on the on the southerly line of West 137th Street distant 100 feet westerly from the corner formed by the intersection of the southerly line of West 137th Street with the westerly line of Lenox Avenue; RUNNING THENCE southerly, parallel with Lenox Avenue, 99 feet 11 inches to the center line of the block; THENCE westerly, parallel with West 137th Street and along said center line 41 feet 8 inches; THENCE northerly, parallel with Lenox Avenue, 99 feet 11 inches to a point on the southerly line of West 137th Street; THENCE easterly along the southerly line of West 137th Street, 50 feet to the point or place of BEGINNING. ("Parcel 4")

PARCEL 5: Block 1921, Lot 40, on the land and tax map of the County of New York in the State of New York, and is described in the said mortgage as follows, to wit: situate, lying and being in the Borough of Manhattan, County, City and State of New York, bounded and described as follows: BEGINNING at a point on the on the southerly line of West 137th Street distant 150 feet westerly from the corner formed by the intersection of the southerly line of West 137th Street with the westerly line of Lenox Avenue; RUNNING THENCE southerly, parallel with Lenox Avenue, 99 feet 11 inches to the center line of the block; THENCE westerly, parallel with West 137th Street and along said center line 41 feet 8 inches; THENCE northerly, parallel with Lenox Avenue, 99 feet 11 inches to a point on the southerly line of West 137th Street; THENCE easterly along the southerly line of West 137th Street, 50 feet to the point or place of BEGINNING. ("Parcel 5")

PARCEL 6: Block 1921, Lot 46, on the land and tax map of the County of New York in the State of New York, and is described in the said mortgage as follows, to wit: situate, lying and being in the Borough of Manhattan, County, City and State of New York, bounded and described as follows: BEGINNING at a point on the on the southerly line of West 137th Street distant 125 feet easterly from the corner formed by the intersection of the southerly line of West 137th Street with the easterly line of Adam Clayton Powell Jr. Blvd. (7th Avenue); RUNNING THENCE easterly along the southerly line of West 137th Street, 50 feet; THENCE southerly, parallel with Adam Clayton Powell Jr. Blvd., 99 feet 11 inches to the center line of the block; THENCE westerly, parallel with West 137th Street and along said center line 50 feet; THENCE northerly, parallel with Adam Clayton Powell Jr. Blvd., 99 feet 11 inches to the southerly line of West 137th Street to the point or place of BEGINNING. ("Parcel 6") (collectively, Parcel 1, Parcel 2, Parcel 3, Parcel 4, Parcel 5, Parcel 6, and Parcel 7, being the "Property"). All interested bidders must appear at the aforementioned location, date, and time with certified funds made payable to the undersigned Sale Referee as follows, "IAN V. LAGOWITZ, AS SALE REFEREE." Ten percent (10%) of the successful bid is due at the time of the auction. The undersigned Sale Referee may allow any other manner of funds in his absolute discretion. The approximate amount of the Judgment is \$1,243,021.61 plus (i) all additional funds expended, advanced, or otherwise paid by Plaintiff for the benefit of the Property and/or in connection with the foreclosure thereof from January 1, 2024 through the date of sale as may be demonstrated to the Sale Referee at the outset of the sale by way of receipts, affidavit or other similar evidence, including, but not limited to, payments of taxes, payment of insurance premiums, and any additional compensation paid by Plaintiff to the Sale Referee in connection with the foreclosure of the Property; (ii) all additional reasonable attorneys' fees and costs incurred by the Plaintiff in enforcing its mortgage securing the Property from January 1, 2024 through the date of the sale as may be demonstrated to the Sale Referee at the outset of the sale by way of receipts, affidavit or other similar evidence; and (iii) the interest accruing at the contract and default rate from January 1, 2024 through the date of the entry of this judgment; or as much as the purchase money of the mortgaged premises will cover. The Property will be sold subject to the provisions of the filed Judgment and terms of sale. Case Number: 1:23-cv-00795-JCL IAN V. LAGOWITZ, Sale Referee Alkin, Gump, Strauss, Hauer, & Feld, LLP, Attorney(s) for Plaintiff One Bryant Park, New York, New York 10036, Attn: Dean L. Chapman Jr., Esq.

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OIL AND NATURAL GAS CORPORATION LIMITED

MUMBAI REGION

Expression of Interest for Controlled Mass Flow Excavation and Pipeline Coating Removal Tool

IMR - AIMS, ONGC Mumbai intends to induct new technologies pertaining to controlled mass flow excavation and pipeline coating removal to be utilized during subsea pipeline repairs. In this regard, an Expression of Interest (EOI) / interactive session with prospective vendors has been scheduled on **10.07.2025 from 1500 Hrs. (IST)** onwards through hybrid mode (Offline and Online both).

All prospective vendors are requested to participate in the EOI with prior confirmation from following emails: Raajkumar_r@ongc.co.in / verma_ajitkumar@ongc.co.in / sohanta_y@ongc.co.in / shinde_niteshkumar@ongc.co.in / ugalmugale_swarnik@ongc.co.in / goel_nikhil@ongc.co.in latest by **07.07.2025** through email so as to enable us to share the details required to attend the same.

For further details, please visit ONGC e-portal: <http://tenders.ongc.co.in>.

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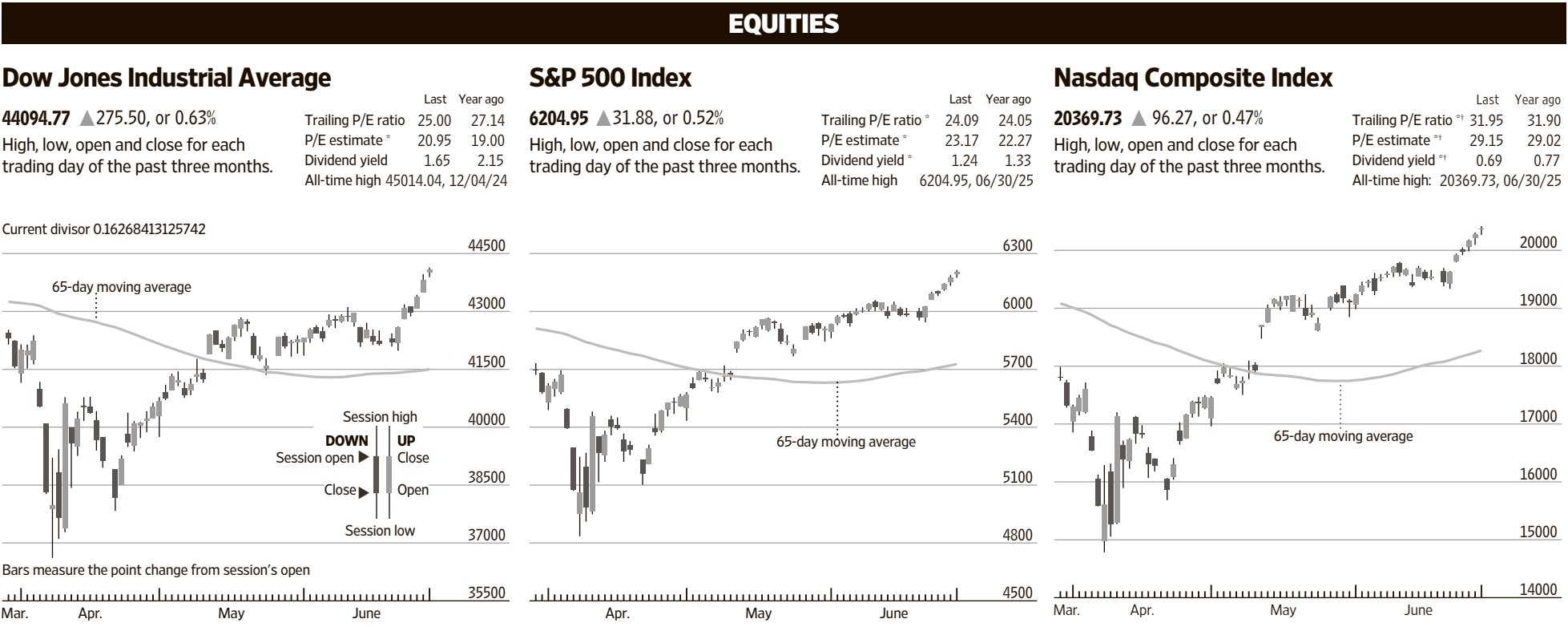
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Futures Contracts

Metal & Petroleum Futures						
	Open	High	Low	Settle	Chg	Open interest
Copper-High (CMX)-25,000 lbs.; \$ per lb.						
July	5.0705	5.0760	5.0120	5.0300	-0.0385	8,566
Sept	5.1245	5.1385	5.0625	5.0825	-0.0405	113,144
Gold (CMX)-100 troy oz.; \$ per troy oz.						
July	3265.90	3306.90	3262.00	3294.40	20.70	5,770
Aug	3284.30	3321.60	3250.50	3307.70	20.10	317,148
Sept	3304.10	3335.50	3269.60	3322.30	20.00	1,100
Oct	3317.70	3349.00	3280.00	3335.40	20.10	23,853
Nov	3317.50	3360.00	3317.50	3350.30	20.20	226
Dec	3339.70	3376.70	3307.40	3362.90	20.20	72,694
Palladium (NYM)-50 troy oz.; \$ per troy oz.						
July	1081.50	1140.00	1125.00	1102.10	-43.50	69
Sept	1149.00	1174.00	1120.00	1107.10	-44.70	19,699
Platinum (NYM)-50 troy oz.; \$ per troy oz.						
July	1346.00	1376.20	1334.00	1334.00	-6.90	3,039
Oct	1350.10	1388.40	1336.30	1343.00	-8.90	83,264
Silver (CMX)-5,000 troy oz.; \$ per troy oz.						
July	35.895	36.120	35.270	35.852	-0.185	6,947
Sept	36.150	36.460	35.585	36.172	-0.198	129,593
Crude Oil, Light Sweet (NYM)-1,000 bbl.; \$ per bbl.						
Aug	65.15	65.62	64.50	65.11	-0.41	291,322
Sept	63.75	64.37	63.11	63.85	-0.12	253,935
Oct	62.60	63.19	61.99	62.76	-0.14	145,738
Dec	61.42	62.01	60.93	61.65	-0.09	235,601
June '26	60.96	61.66	60.80	61.34	-0.07	111,956
Dec	61.21	61.81	61.03	61.44	-0.13	149,780
NY Harbor ULSD (NYM)-42,000 gal.; \$ per gal.						
July	2.3210	2.3855	2.3129	2.3458	.0386	2,698
Aug	2.2317	2.2823	2.2191	2.2763	.0354	97,720
Gasoline-NY RBOB (NYM)-42,000 gal.; \$ per gal.						
July	2.0876	2.1021	2.0758	2.0798	-0.100	5,714
Aug	2.0602	2.0821	2.0492	2.0721	.0027	123,040
Natural Gas (NYM)-10,000 MMBtu.; \$ per MMBtu.						
Aug	3.735	3.738	3.421	3.456	-.283	150,540
Sept	3.754	3.754	3.454	3.490	-.264	174,195
Oct	3.852	3.855	3.561	3.593	-.262	152,117
Nov	4.235	4.235	3.944	3.985	-.250	112,853
Jan'26	5.054	5.094	4.806	4.852	-.242	136,152
March	4.270	4.295	4.057	4.093	-.202	112,220

Agriculture Futures						
	Open	High	Low	Settle	Chg	Open interest
Corn (CBT)-5,000 bu.; cents per bu.						
July	417.75	422.75	415.00	420.50	3.00	11,135
Sept	411.00	413.75	405.50	409.25	-2.25	620,155
Oats (CBT)-5,000 bu.; cents per bu.						
July	389.75	395.00	▲ 384.75	386.75	1.50	54
Dec	360.25	375.75	355.25	370.75	1.25	2,130
Soybeans (CBT)-5,000 bu.; cents per bu.						
July	1030.00	1039.25	1018.25	1024.25	-3.50	5,453
Nov	1026.50	1038.25	1018.50	1027.00	2.25	382,430
Soybean Meal (CBT)-100 tons; \$ per ton						
July	271.10	273.50	269.50	271.30	20	3,684
Dec	288.40	291.70	287.20	289.30	.80	267,266
Soybean Oil (CBT)-60,000 lbs.; cents per lb.						
July	52.72	53.17	52.34	52.51	.06	2,852
Dec	52.88	53.22	52.43	52.75	.14	256,993
Rough Rice (CBT)-2,000 cwt.; \$ per cwt.						
July	13.16	13.26	13.00	12.96	-15	328
Sept	13.49	13.65	13.19	13.33	-15	8,125
Wheat (CBT)-5,000 bu.; cents per bu.						
July	530.00	531.75	523.50	528.75	4.00	2,341
Sept	540.25	545.25	534.75	538.25	-2.50	204,537
Wheat (KC)-5,000 bu.; cents per bu.						
July	515.50	518.75	505.25	506.00	-10.00	746
Sept	533.75	537.75	525.50	526.75	-7.00	155,793
Cattle-Feeder (CME)-50,000 lbs.; cents per lb.						
Aug	308.500	311.275	306.250	310.675	2.775	42,891

Cash Prices | wsj.com/market-data/commodities

Monday, June 30, 2025

These prices reflect buying and selling of a variety of actual or "physical" commodities in the marketplace—separate from the futures price on an exchange, which reflects what the commodity might be worth in future months.

Monday			Monday			Monday		
Energy			Energy			Energy		
Coal,C.Aplc.,12500Btu.,12502-rw	79.000		Iron Ore, 62% Fe CFR China-s	*94.4		Wheat,No.2 soft red,St.Louis-u	5.1775	
Coal,Pwld,RvrBsn,8800Btu.,0.8502-rw	14.300		Steel,HRC USA, FOB Midwest Mill-s	*865.0		Wheat - Hard - KC (USA) \$ per bu-u	5.2100	
Metals			Battery/EV metals			Wheat-No.1 soft white,Portld,OR-u	6.1500	
Gold, per troy oz			BMI Lithium Hydroxide, EXW China, >99.5%-v,w	8300		Food		
LBMA Gold Price AM	*3286.25		BMI Lithium Hydroxide, EXW China, >99.5%-v,w	8250		Beef,carcass equiv. index		
LBMA Gold Price PM	*3271.75		BMI Cobalt sulphate, EXW China, >20.5%-v,w	6603		choice 1-3,600-900 lbs.-u	365.77	
Kruggerand,wholesale-e	3447.51		BMI Nickel Sulphate, EXW China, >22%-v,k	3600		select 1-3,600-900 lbs.-u	351.75	
Maple Leaf-e	3529.98		BMI Flake Graphite, FOB China, 100 Mesh, 94-95%-v,m	435		Broilers, National comp wtd. avg.-u,w	1.3680	
American Eagle-e	3529.98		Fibers and Textiles			Butter,AA Chicago-d	2.6000	
Mexican peso-e	4256.10		Burlap,10-oz/40-inch NY yd-n,w	0.8950		Cheddar cheese,bbl,Chicago-d	169.50	
Austria crown-e	3236.73		Cotton,1 1/16 std lw-mdMphs-u	0.6643		Milk,Nonfat dry,Chicago lb-d	125.25	
Austria phil-e	3464.00		Cotlook 'A' Index-t	*79.65		Coffee,Brazilian,Comp-y	3.0839	
Silver, troy oz.			Hides,hvy native steers piece fob-u	n.a.		Coffee,Colombian, NY-y	3.3183	
Engelhard industrial	36.0500		Wool,64s,staple,Terr del-u,w	3.16		Eggs,large white,Chicago-u,w	2.9350	
Handy & Harman base	35.9750		Grains and Feeds			Flour,hard winter KC-p	15.60	
Handy & Harman fabricated	44.9690		Bran,wheat middlings, KC-u,w	65		Hams,17-20 lbs,Mid-US fob-u	n.a.	
LBMA spot price	*€26.2100		Corn,No.2 yellow,Cent IL-bp,u	4.0200		Hogs,Iowa-so. Minnesota-u	106.40	
(U.S.\$ equivalent)	*35.9800		Corn gluten feed,Midwest-u,w	101.8		Pork bellies,12-14 lb MidUS-u	1.1011	
Coins,wholesale \$1,000 face-a	26841		Corn gluten meal,Midwest-u,w	424.0		Pork loins,13-19 lb MidUS-u	1.1011	
Other metals			Cottonseed meal-u,w	n.a.		Steers,Tex.-Okla. Choice-u	223.00	
LBMA Platinum Price PM	*1333.0		Hominy feed Cent IL-u,w	112		Steers,feeder,Okla. City-u,w	360.75	
LBMA Palladium Price PM	*1119.0		Meat-bonemeal,50% pro Mnpls-u,w	263		Fats and Oils		
Platinum,Engelhard industrial	1355.0		Oats,No.2 milling,Mnpls-u	4.0250		Degummed corn oil, crude wtd. avg.-u,w	n.a.	
Palladium,Engelhard industrial	1145.0		Rice, Long Grain Milled, No. 2 AR-u,w	34.88		Grease,choice white,Chicago-h	0.5750	
Aluminum, LME, \$ per metric ton	*2583.0		Sorghum,(Milo) No.2 Gulf-u	n.a.		Lard,Chicago-u	n.a.	
Copper,Comex spot	5.0300		SoybeanMeal,Cent IL,rail,ton48%-u,w	264.60		Soybean oil,crude,Cent IL-u,w	0.5395	
			Soybeans,No.1 yllw IL-bp,u	9.9800		Tallow,bleach,Chicago-h	0.6175	
			Wheat,Spring14%-pro Mnpls-u	7.7825		Tallow,edible,Chicago-u	n.a.	

KEY TO CODES: A=ask; B=bid; BP=country elevator bids to producers; C=corrected; D=CME; E=Manfra,Tordella & Brookes; H=American Commodities Brokerage Co; K=bi-weekly; M=monthly; N=nominal; n.a.=not quoted or not available; P=Sosland Publishing; R=SNL Energy; S=Platts-TSI; T=Cotlook Limited; U=USDA; V=Benchmark Mineral Intelligence; W=weekly; Y=International Coffee Organization; Z=not quoted. *Data as of 6/27

Source: Dow Jones Market Data

Borrowing Benchmarks | wsj.com/market-data/bonds/benchmarks

Money Rates

June 30, 2025

Key annual interest rates paid to borrow or lend money in U.S. and international markets. Rates below are a guide to general levels but don't always represent actual transactions.

Inflation					Policy Rates				
	May index	Chg From (%)							
	level	April '25	May '24						
U.S. consumer price index									
All items	321.465	0.21	2.4		Euro zone	2.15	2.15	4.25	2.15
Core	327.509	0.21	2.8		Switzerland	0.50	0.50	1.75	0.50
					Britain	4.25	4.25	5.25	4.25
					Australia	3.85	3.85	4.35	3.85
International rates									
	Latest	Week ago	52-Week High	Low					
Overnight repurchase									
U.S.	4.45	4.33	5.45	4.00					
U.S. government rates									
Discount									
	4.50	4.50	5.50	4.50					

Key Interest Rates

Data are annualized on a 360-day basis. Treasury yields are per annum, on actively traded noninflation and inflation-indexed issues that are adjusted to constant maturities. Data are from weekly Federal Reserve release H.15.

Week Ended					Week Ended				
Jun '27	Jun '20	High	Low		Jun '27	Jun '20	High	Low	
Federal funds (effective)									
4.33	4.33	5.33	4.33		6-month	4.27	4.31	5.36	4.18
Commercial paper									
Nonfinancial					1-year	3.98	4.09	5.10	3.91
1-month	4.32	4.33	5.31	4.29	2-year	3.75	3.94	4.71	3.55
2-month	4.32	4.30	5.34	4.24	3-year	3.74	3.90	4.50	3.46
3-month	4.33	4.32	5.34	4.21	5-year	3.84	3.99	4.49	3.45
Financial					7-year	4.05	4.18	4.60	3.55
1-month	n.a.	n.a.	5.33	4.28	10-year	4.30	4.40	4.69	3.67
2-month	4.36	n.a.	5.34	4.28	20-year	4.84	4.91	5.02	4.05
3-month	4.32	4.30	5.32	4.25	Treasury yields (secondary market)				
Discount window primary credit					1-month	4.05	4.11	5.28	4.05
4.50	4.50	5.50	4.50		3-month	4.20	4.23	5.24	4.20
Treasury yields at constant maturities					6-month	4.11	4.16	5.13	4.02
1-month	4.18	4.22	5.52	4.18	TIPS				
3-month	4.38	4.42	5.49	4.31	5-year	1.54	1.64	2.10	1.36
					7-year	1.78	1.88	2.17	1.50
					10-year	2.01	2.09	2.29	1.56
					20-year	2.38	2.44	2.52	1.75
					Long-term avg	2.52	2.57	2.64	1.86

Notes on data:
Federal funds rate is an average for the seven days ended Wednesday, weighted according to rates on broker trades; Commercial paper rates are discounted offer rates interpolated from sales by discounted averages of dealer bid rates on nationally traded certificates of deposit; Discount window primary credit rate is charged for discounts made and advances extended under the Federal Reserve's primary credit discount window program; rate is average for seven days ended Wednesday; Inflation-indexed long-term TIPS average is indexed and is based on the unweighted average bid yields for all TIPS with remaining terms to maturity of 10 years or more;
Sources: Federal Reserve; for additional information on these rate data and their derivation, please see, https://www.federal

BUSINESS & FINANCE

Robinhood

Is All In

On Crypto

Continued from page B1

ers will be able to trade perpetual futures with up to three times leverage on its platform.

In the U.S., Robinhood is launching crypto staking for Ethereum and Solana.

Staking is a way for investors to earn rewards by pledging their cryptocurrencies to a blockchain to help validate transactions for a specified period.

The Securities and Exchange Commission cracked down on staking under the Biden administration, arguing that it constituted an unregistered security and forcing Kraken to stop offering crypto-staking services in the U.S. while hitting it with a \$30 million fine. Kraken relaunched staking for U.S. customers in some states earlier this year.

Robinhood's aggressive



The brokerage's new products will let customers to do more than simply buy and sell crypto.

push into crypto comes as bitcoin is trading near its recent record, with President Trump embracing digital assets and Congress seeking to advance legislation that could make cryptocurrencies part of the mainstream financial system. The company has

steadily expanded its market share in crypto, with its recent acquisitions of crypto exchange Bitstamp and Canadian crypto financial-services company WonderFi.

Crypto forms a key part of Chief Executive Vlad Teney's ambitious plan to transform

Robinhood into a global, comprehensive financial-services firm. Despite its speculative and volatile nature, crypto trading has become a source of significant transaction revenue for the brokerage since its introduction on the platform in 2018.

UBS Launches

A Buyback of

Up to \$2 Billion

By ADRIÀ CALATAYUD

UBS Group said it is launching a share buyback of up to \$2 billion, delivering on its plans to hand money back to shareholders after the Swiss government proposed tougher capital rules for the bank in June.

The Swiss banking giant said Monday that the buyback program would start on

Tuesday and that it intended to repurchase up to \$2 billion of shares in the second half of the year. The latest buyback came after UBS completed a \$2 billion program it launched

in April of last year, which included repurchases of \$1 billion in the first half of this year.

The bank had reaffirmed its capital-return ambitions for the year as recently as June, in the wake of Switzerland's announcement that it would propose new, stricter capital rules for the bank in an effort to prevent another Credit Suisse-style

The bank is delivering on its plans to hand money back to shareholders.

meltdown. UBS said it would share its plans for 2026 capital returns at the time it reports fourth-quarter results early next year.

Recognize

Raises \$1.7 Billion for Tech Fund

By LAURA KREUTZER

Recognize Partners, a private-equity firm co-founded by former Clayton, Dubilier & Rice executive David Wasserman, has closed its second fund with \$1.7 billion.

The final tally for Recognize Partners II surpassed the \$1.3 billion the New York-based firm raised for its debut fund.

This time around, the firm was able to bring in more capital from non-U.S. investors than it did with its previous fund, according to Wasserman, who founded Recognize in 2020 with fellow managing partners Frank D'Souza, the former chief ex-

ecutive of Cognizant Technology Solutions, and Charles Phillips, the former CEO of business-software company Infor and former president of Oracle.

"We raised our first fund during Covid, so our [limited-partner] base was almost exclusively North American," Wasserman said, adding that the second fund has also garnered commitments from investors in regions that include Europe and Latin America.

Recognize's latest fundraising efforts benefited from a series of exits and a partial exit that the firm generated from its debut effort, including Applications Software

Technology, or AST, an enterprise-planning software provider that the firm sold to IBM earlier this year. More recently, Recognize sold down some of its stake in market-services technology provider 2X to fellow private investor Insight Partners. Recognize had backed AST in 2022 and 2X the following year.

Recognize backs tech-services companies, typically ones with enterprise values ranging from \$50 million to \$500 million, though it has the flexibility to do smaller and larger deals, according to Wasserman.

The firm generally invests \$50 million to \$250 million of

equity, according to its website.

The firm often backs North America-based companies and has made 13 main deals out of its debut fund, according to Wasserman.

The portfolio includes an investment earlier this year in Sprout, which provides software and tech that helps enterprises manage and monitor the life cycles of their information-technology assets.

As the firm closes its second fund, it also disclosed its first deal out of the new fund with an investment in HealthEdge Software, a company serving the health-insurance sector.

The firm invested along-

side Bain Capital.

"There's an opportunity to build a substantial services business around HealthEdge, with both a software package and a bunch of ancillary services," said D'Souza.

Recognize is closing its newest fund as artificial intelligence assumes a much bigger role in business-transformation strategies than it had when the firm raised its debut fund, according to D'Souza.

"Every services business going forward will have some level of automation through generative AI," said D'Souza. "Gen AI will create a tremendous amount of opportunity in the marketplace."

Wall Street

Raises

Forecasts

For Oil

By GIULIA PETRONI

Major Wall Street banks have modestly lifted their oil-price forecasts after geopolitical risks flared in the Middle East, but concerns over a global supply glut and uncertain demand prospects continue to weigh on crude.

A survey compiled by The Wall Street Journal—which includes responses from **Goldman Sachs**, **JPMorgan** and **Morgan Stanley**—showed Brent crude is expected to average \$66.32 a barrel this year, while West Texas Intermediate is projected at \$63.03 a barrel. In a May survey, the benchmarks were seen at \$65.53 and \$61.98 a barrel, respectively.

Crude futures edged lower on Monday after posting their steepest weekly loss in about two years, as fears over Middle East supply disruptions faded and expectations built for another large OPEC+ production increase. In afternoon trade in Europe, the international oil benchmark traded around \$67 a barrel, while the U.S. oil gauge was above \$65 a barrel.

In the Journal's survey, Brent and WTI are forecast at \$63.87 and \$60.69 a barrel in the fourth quarter, respectively. Next year, prices are forecast to average \$62.78 and \$59.88 a barrel.

Key members of the Organization of the Petroleum Exporting Countries and its allies are set to meet virtually on Sunday to discuss their production plans for August. Market participants expect them to boost production by 411,000 barrels a day for the fourth consecutive month, fueling concerns of an oversupplied market.

Meanwhile, uncertainty over the status of trade talks between Washington and major trade partners ahead of President Trump's July 9 deadline continue to weigh sentiment, while growing concerns over future U.S. monetary policy add to the bearish outlook.

Beef Prices Hit Record Amid Dwindling Livestock

By KIRK MALTAIS

Grilling this July Fourth? That burger is going to cost you more.

Americans hosting cookouts this week will have to pay more than ever to buy ground beef for hamburger patties because of several issues that continue to disrupt a historically low cattle supply, according to a survey published by the American Farm Bureau Federation.

Consumers' appetite for beef hasn't waned—in fact both demand and prices have surged—since the Covid-19 pandemic. The AFBF estimates the retail price for 2 pounds of ground beef has risen to \$13.33, or \$6.67 a pound. It is the highest price recorded by the survey since it began in 2013.

"Consumer demand for quality beef is not declining," said Samantha Ayoub, author of the survey and an associate economist with the AFBF.

The cost to feed 10 people traditional cookout favorites like cheeseburgers and chicken, along with fixings like pork and beans and potato salad, is estimated to be an average of \$70.92 this year, the group said, or \$7.09 a person, not including the cost of drinks or fireworks.

While the overall cost is lower compared with 2024's record by 3 cents a person, it is still 19% higher than it was five years ago. And the higher cost of beef is a big reason why.

U.S. cattle inventories are at their lowest in roughly 75 years, according to data from the Agriculture Department. In its most recent assessment, the USDA said the total cattle herd in the U.S. is 86.7 million animals, the lowest since 1951.

Live cattle futures trading on the CME have reached highs, making it among the better-performing commodity futures contracts in 2025. Year to date, most-active cattle futures gained more than 10%, setting a record of \$2.19 a pound on June 9.

It has been exceptionally dry across the heartland in recent years, limiting the land where cattle can graze. Droughts hitting pastures lead to nutritional deficits in cows, and it also allows drought-tolerant weeds to grow, potentially toxic for grazing animals.

More recently, cattle inventories have taken a hit from the spread of infestations of New World screwworm. The New World screwworm fly is a parasitic species of fly, which causes myiasis when it lays its



The retail price of ground beef has risen to \$6.67 a pound.

eggs in open wounds of warm-blooded animals. The fly larvae then burrow into the wound, feeding as they go like a screw being driven into wood, the USDA said in its description of the disease.

No case of screwworm infection has yet been reported within U.S. borders, but cases are gradually making their way from Panama to Mexico, with cases being reported as far north as the state of Oaxaca in Mexico.

Agricultural producers fear that the U.S. might be next. That is why Agriculture Secretary Brooke Rollins in May announced the suspension of cattle imports from across the southern border, along with other preventive measures.

Mexico is a leading source of cattle imports to meet U.S. demand for beef, along with Canada. The absence of Mexican feeder cattle is exacerbating the already-low inventories of cattle in the U.S.,

Mutual Funds

Top 250 mutual-funds listings for Nasdaq-published share classes by net assets.											
e-Ex-distribution, f-Previous day's quotation, g-Footnotes x and s apply, j-Footnotes e and s apply, k-Re-calculated by LSEG, using updated data, p-Distribution costs apply, l2b-1, r-Redemption charge may apply, s-Stock split or dividend, t-Footnotes p and s apply, v-Footnotes x and s apply, w-Ex-distribution, x-Footnote x, e and s apply, NA-Not available due to incomplete price, performance or cost data, NE-Not released by LSEG, data under review, NN-Fund not tracked, NS-Fund didn't exist at start of period.											
Monday, June 30, 2025											
Fund	NAV	Net YTD Chg % Ret	Fund	NAV	Net YTD Chg % Ret	Fund	NAV	Net YTD Chg % Ret	Fund	NAV	Net YTD Chg % Ret
AB Funds			Artisan Funds			LGCo	41.16	+0.22	6.2		
MutInclShares	10.91	+0.02	-0.1	IntVal Inst	52.18	+0.07	11.9	US CoreEq1	45.17	+0.19	5.1
AB Funds - ADV			Baird Funds			US CoreEq2	40.18	+0.17	4.8		
LgCapGrAdv	117.54	+0.67	7.5	AggBdInst	9.85	+0.03	4.1	US Sml	48.02	-0.01	-1.3
American Century Inv	95.78	+0.36	2.6	CorBdInst	10.21	+0.03	4.1	US SmlCapVal	46.42	-0.06	-3.5
Ultra	95.78	+0.36	2.6	IntVal Inst	10.49	+0.02	4.1	US TgdVal	33.36	-0.02	-2.0
American Funds CI A			BlackRock Funds			USLgV	51.03	+0.22	4.6		
AmcpA	44.23	+0.23	8.1	HIYBk	7.19	+0.01	4.8	Dodge & Cox	107.72	+0.22	8.6
AmutA	NA	...	NA	HIYBd Inst	7.19	+0.01	4.7	Balanced	12.64	+0.04	4.3
BalA	36.69	+0.17	8.1	BlackRock Funds III	...	...	Income	126.72	+0.02	8.6	
BondA	11.36	+0.04	4.1	ISH&SP500dK 724.74	...	...	Intl Stk	270.92	+0.69	7.5	
CapIBA	NA	...	NA	BlackRock Funds Inst	9.68	+0.01	4.6	DoubleLine Funds	8.84	-0.01	4.5
CapWGrA	71.14	+0.26	12.8	StratInCpptyIns	26.27	+0.01	13.9	TotRetBdI	23.42	+0.19	11.9
EupacA	60.61	+0.13	16.0	Calamos Funds	15.37	...	3.4	Edgewood Growth Instituti	47.30	+0.44	6.7
FdlvA	87.85	+0.48	11.7	MktNeut	...	...	...	EdgewoodGrInst	21.11	+1.13	6.2
GwthA	82.20	+0.42	10.4	CausewayInst	22.49	+0.05	21.2	500ldInstPrem	34.92	+0.16	12.5
HI TRA	9.85	+0.03	4.1	Columbia Class I	34.85	+0.20	6.5	ExtMktIdInstPre	92.83	+0.48	2.1
ICAA	62.96	+0.29	10.8	Dimensional Fds	33.87	-0.07	14.6	FidSer5	7.71	+0.04	5.3
IncoA	26.64	+0.10	10.5	DivlNmC	34.85	+0.20	6.5	FidSerInt	8.72	...	0.9
N PerA	69.78	+0.24	12.3	Dimensional Fds	33.87	-0.07	14.6	FidSerIoMarket	20.23	+0.11	5.7
NecoA	67.94	+0.37	11.1	EmgMktVa	26.27	+0.01	13.9	FIDZrGpCpIx	22.25	+0.13	6.2
NWvldA	88.93	+0.19	15.4	EmMktCorEq	26.27	+0.01	13.9	GlexUSdInstPre	17.14	+0.04	18.9
NsCpA	NA	...	NA	IntMktCorEq	23.48	+0.08	21.6	SAUSQlydId	22.66	+0.17	6.5
TrEXA	12.15	-0.02	-0.5	IntSmlCo	23.56	+0.15	23.1	SsBChGrRetaI	20.67	+0.09	4.2
WshA	63.91	+0.40	9.0	IntSmlVa	27.58	+0.13	28.0	SrsEmgrMkt	21.42	-0.01	16.9
							SrsGlobal	16.84	+0.03	18.8	
							SrsGrCoRetaI	25.08	+0.11	4.6	
							SrsIntGrw	19.85	+0.07	13.9	
							SrsIntVal	15.27	...	28.1	
							TotalBond	9.59	+0.03	4.2	
							Fidelity SAI	...	...	...	
							FidSalIntfntMrt	10.25	+0.03	4.7	
							TotBdFidCIZ	9.58	+0.03	4.3	
							Fidelity Strategic A	...	...	...	
							StratAdEmrMrt	NA	...	NA	
							First Eagle Funds	...	...	...	
							GibA	NA	...	NA	
							Franklin A1	2.42	+0.01	5.4	
							FrankTemp/Frank Adv	...	...	...	
							IncomeAdv	2.39	...	5.1	
							FrankTemp/Franklin A	...	...	...	
							DynaTech A	190.42	+1.35	9.1	
							Growth A	142.93	+0.71	7.0	
							IntGrAdm	94.12	+0.66	6.0	
							Guggenheim Funds Tru	...	...	...	
							TotRtnBdFidCInst	23.93	+0.07	4.6	
							Harbor Funds	...	...	...	
							CapAlnst	122.24	+0.67	7.5	
							JHF III DispVal	...	...	...	
							DisValMCI	28.53	+0.09	5.9	
							John Hancock	...	...	...	
							BondR6	13.59	+0.05	4.2	
							JPMorgan A Class	...	...	...	
							CoreBond	10.32	+0.03	4.2	
							EqInc	25.21	+0.13	6.2	
							PutLargCap w	36.75	+0.10	6.9	
							Putnam Funds Class A	...	...	...	
							Putnam Funds Class Y	...	...	...	

MARKETS

Hong Kong Exchange on Track To Reclaim Global IPO Crown

By Sherry Qin

After years of lackluster IPO activity, Hong Kong is back on track to be the world's No. 1 listing destination.

So far this year, there have been 41 initial public offerings in the city, Dealogic data show. At US\$13.66 billion, offering proceeds have already surpassed the total sum raised during 2024.

The revival is being fueled by Chinese companies, which are flocking to the city as more favorable policies and improved market liquidity create attractive conditions.

Excluding blank-check companies, **Hong Kong Exchanges & Clearing** topped Dealogic's tally of IPO fundraising in the first half of the year. The Nasdaq and the New York Stock Exchange placed second and third, respectively, the financial markets platform said.

Hong Kong IPO activity had been subdued for the past several years amid postpandemic risk-off sentiment, high interest rates and a tepid stock market. In 2023, there were only 73 listings, and just US\$5.9 billion raised, according to HKEX data.

The current boom is the result of multiple factors, including Chinese policy tailwinds, market dynamics and a more robust corporate pipeline, said Jacky Lai, capital market services spokesperson at EY Hong Kong.

Recent U.S.-China tensions haven't deterred activity. Rather, Hong Kong has become a preferred IPO destination for Chinese firms, a trend supported by worries that the Trump administration could order delistings from U.S. exchanges.

Hong Kong also has a key role in Chinese policymakers' efforts to breathe life back into capital markets, streamlining



The listing ceremony in May for Chinese battery giant Contemporary Amperex Technology.

offering processes and vowing to open up access for investors. Beijing's stimulus rollouts, including more funding and interest-rate cuts, have further underpinned business confidence.

In February, Chinese President Xi Jinping held a rare meeting with corporate leaders during which he signaled that he needed their help to deliver economic growth and self-sufficiency. The encounter was taken as a pro-business shift, coming after years of regulatory crackdowns on private-sector companies.

The emergence of Chinese artificial-intelligence startup

DeepSeek has been another catalyst for Hong Kong's deal market. The release of DeepSeek's low-cost but powerful model in January fueled a rally in Chinese tech stocks as investors reassessed China's capacity for innovation, spurring a rerating of Chinese equities.

Chinese tech stocks have helped make Hong Kong one of the best-performing equities markets in Asia this year, pushing the benchmark Hang Seng Index up about 20% so far in 2025.

The buzzing market has drawn in a flurry of companies, such as Chinese battery giant **Contemporary Amperex Technology**. Already listed in Shen-

zhen, CATL raised almost US\$4.6 billion in gross proceeds in a secondary listing in Hong Kong last month—the world's largest such offering so far this year.

On Friday alone, 16 Chinese companies filed applications to list on HKEX's main board. The following Monday, another six started to accept investor orders for shares worth nearly US\$1.3 billion.

The pickup coincides with a return of risk appetite to global equity markets due to easing trade tensions from the peak uncertainty seen in April, particularly between the U.S. and China.

If Hong Kong's IPO momentum continues, the city could reclaim its title as the world's largest IPO venue for the first time since 2019, when more than US\$40 billion was raised in the city.

STOCK SPOTLIGHT

GMS

The building-products distributor will be bought for about \$4.3 billion by Home Depot, which won a bidding war over QXO. GMS shares jumped nearly 12%.

Goldman Sachs and Wells Fargo

Both stocks advanced after the Federal Reserve said late Friday that America's large banks cleared its annual stress test.

Meta Platforms

The U.S. tech industry got a boost after Canada withdrew a digital-services tax that would have cost the sector billions each year. Shares of the Facebook parent hit a record during the day's trading and ended 0.6% higher.

Enphase Energy, NextEra and SunRun

Republicans proposed a new tax on wind and solar projects in the latest version of the Senate's budget bill, stunning clean-energy companies. Solar stocks were volatile. Enphase shares fell 3%, NextEra shares lost 2% and SunRun shares rose 10%.

Tesla

The bill also would end tax credits for electric-vehicle purchases after September, quicker than suggested in the House's proposal. Tesla's stock fell nearly 2%.

Boeing

U.K. regulators are investigating the company's deal to buy Spirit AeroSystems, potentially delaying a takeover Boeing believes could improve manufacturing safety. Boeing shares fell 2.3%.

Walt Disney

Jefferies analysts upgraded the stock to a "buy" with a price target of \$144. They said the opening of Universal's new theme park brought more travelers to Orlando, boosting Disney's

parks. Shares rose 1.4%.

Juniper Networks and Hewlett Packard Enterprise

The Justice Department settled its lawsuit challenging HPE's \$14 billion deal to buy Juniper. Shares of both companies leapt 8.5% and 11%, respectively.

Avadel Pharmaceuticals

An investor is seeking the ouster of the drugmaker's entire board, arguing the company mismanaged the launch of its narcolepsy treatment. Shares fell 3.8%.

Moderna

Shares rallied 1.6% after the biotechnology company's messenger RNA flu vaccine candidate showed positive results in a late-stage trial.

AUCTION RESULTS

Here are the results of Monday's Treasury auctions. All bids are awarded at a single price at the market-clearing yield. Rates are determined by the difference between that price and the face value.

	13-Week	26-Week
Applications	\$245,490,801,200	\$201,145,069,800
Accepted bids	\$84,329,792,700	\$75,790,269,800
* noncomp	\$1,996,660,700	\$1,983,069,500
* foreign noncomp	\$0	\$210,000,000
Auction price (rate)	98.929486 (4.235%)	97.910750 (4.110%)
	4.340%	4.256%
Bids at clearing yield accepted	3.73%	12.32%
	912797MS3	912797RA7

Both issues are dated July 3, 2025. The 13-week bills mature on Oct. 2, 2025; the 26-week bills mature on Jan. 2, 2026.

TUESDAY'S EVENTS:

◆ **Fed speaker:** Chair Jerome Powell will speak as part of a panel of global central bankers at 9:30 a.m. in Portugal.

◆ **Economic data:** The May job openings and labor turnover survey (JOLTS) will be released at 10 a.m. Also, the ISM report on business manufacturing, a gauge of economic activity, is due, along with construction data.

EARNINGS EXPECTED:

Drinks maker
Constellation Brands
(p.m.)



Enjoy a \$60 Discount on Soundcore's Space One Pro Headphones

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HEARD_{ON THE} STREET

FINANCIAL ANALYSIS & COMMENTARY

Investors Are Right to Love Dividends

The payouts often aren't about income and that's all right

It turns out that caring about dividends can really pay dividends.

Finance professors have long tsk-tsked about investors' love for cash payouts. But a recent report shows what people actually do with them and why they prefer receiving cash: because it works.

One of the original studies on dividends in the early 1960s said people shouldn't care about the payouts. Maximizing wealth is the point, and dividends are just part of investors' total return. Any cash a company pays out reduces its value by an equal amount, after all.

Then the rise of behavioral finance acknowledged people aren't robots and tried figuring out why receiving checks four times a year is so alluring.

The partial answer was that we put things such as interest and dividends in the same mental bucket as wages—income we feel comfortable spending. We view capital differently and are loath to touch it, even though it is possible to sell appreciated stock and create your own dividend.

It was still a head scratcher, though. A 1970s paper called "The Dividend Puzzle" recognized that people prefer them but said the pieces "just don't fit together."

A recent study of data of thousands of Vanguard customers by finance professor Meir Statman and Vanguard managers Paulo Costa and Sharon Hill seems puzzling, too—at first. It compares people who own dividend-income funds to plain-vanilla equity funds.

Instead of buying the dividend funds for actual income, though, investors were about as likely to just reinvest the money. Both groups mostly did, especially if they weren't retired yet.

That is a little bit like wanting to drive really fast but buying a Toyota Corolla—possible, but not really what it was designed for. Statman and his team dug deeper. When asked their reasons, many investors said they didn't need the money now but thought stocks that pay dividends had higher returns and were less volatile.

And they are right. Data from the past 50 years compiled by Ned Davis Research shows that the annualized return of dividend payers in the S&P 500 was 9.2%, compared with only 4.3% for non-payers, and with less choppiness, too.

Dividend payers would have left you with 10 times as much wealth before taxes over that time as nonpayers. They also easily beat an equal-weighted basket of all companies in the index.

It is like buying that Corolla instead of a sports car because you know it is reliable and will take you farther.

But don't confuse cause and effect: One of the best stocks of all time has never paid a dividend. Well, almost never.

Warren Buffett's **Berkshire Hathaway** once paid 10 cents in 1967. Buffett quipped that he "must have been in the bathroom" when the decision was taken.

Owning Berkshire has been spectacular and probably would have been less so if it had made regular cash payments, even if you reinvested them after taxes.

The secret seems to be that companies paying chunky dividends also tend to have value and quality characteristics. Those are two factors associated with long-term investment success and also describe Berkshire's portfolio.

"Value" is present because dividend payers have profits from



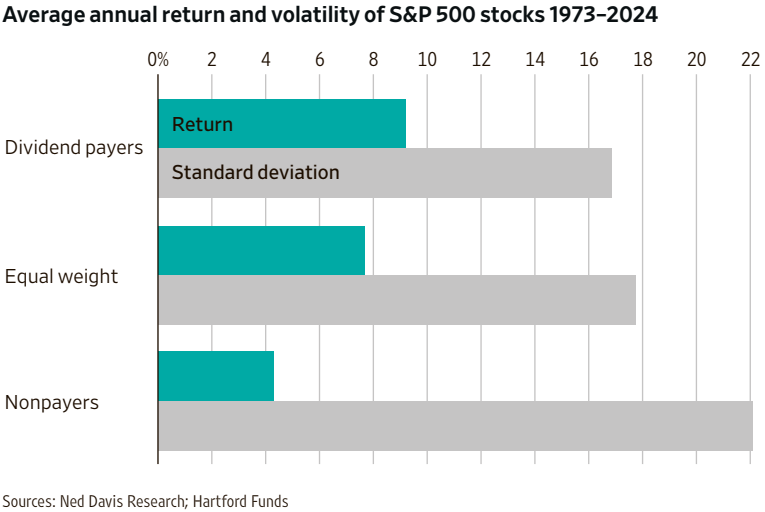
Berkshire Hathaway's May shareholders meeting. One of the best stocks ever, it has almost never paid a dividend.

which to pay them. And those payouts are meaningful enough as a percentage of their price to land them in an income fund.

And "quality" is often there because dividend payers are forced to be more judicious about any cash they don't share. One detail "income" funds miss, unfortunately, is that the same applies to companies that return cash to shareholders in other ways such as stock buybacks or paying down debt.

The original research on dividends was kind of right—there is nothing special about them. But the companies that pay them often are special.

—Spencer Jakab



MARKETS

Oil Tycoon, Philosopher Fight Carbon-Capture Goals

By Benoît Morenne

Exxon Mobil, Occidental Petroleum and other oil giants are expected to receive billions of dollars of incentives to collect and bury carbon emissions. Texas oil billionaire Ben "Bud" Bringham and pro-fossil-fuels activist Alex Epstein want to turn off the tap.

Brigham, a serial entrepreneur and libertarian from Austin, is urging President Trump and the Republicans who are considering slashing a host of energy incentives to go further and nix tax credits for carbon capture. He says there is no climate disaster on the horizon and that funneling public money into a nascent technology is a gift to oil behemoths.

Brigham has teamed up with Epstein, a philosopher popular with Republicans. Brigham is helping fund a push by Epstein to persuade the GOP to ax virtually all of former President Biden's climate law, the Inflation Reduction Act—including the subsidies for carbon capture that Republicans are planning to expand in the tax bill moving through Congress.

"It's just taxpayer dollars that are going to virtue-signaling and are not having any meaningful economic impact at all," Brigham said in an interview.

The magnate is joining a motley coalition critical of carbon capture. From Iowa to the Dakotas and Colorado, representatives, landowners and environmentalists oppose the subsidies, citing concerns about carbon-dioxide pipelines, misuse of federal funds and the national debt.

Now, tensions are erupting inside the oil industry. Oil giants, under pressure to curb their emissions, hope that collecting and trapping their own releases will allow them to stay in business.

But for some small producers that eschew public scrutiny and don't accept the scientific consensus on climate change, Big Oil is only giving into climate hysteria—and raising the



From left to right, Texas oil billionaire Ben 'Bud' Bringham, 'The Moral Case for Fossil Fuels' author Alex Epstein and Occidental Petroleum CEO Vicki Hollub.

cost of producing fossil fuels.

"Those big integrated oil-and-gas companies are betting on the future—that there'll be life after Trump," said Brigham McCown, a senior fellow at the Hudson Institute think tank and a paid consultant for carbon-capture project developers in the past. "Whereas I think [for] the smaller producers, it's about making money today."

Defenders of the credits include Occidental Chief Executive Vicki Hollub, who is betting on a plan to suck massive amounts of CO₂ from the air, and Oklahoma oil billionaire Harold Hamm, whose company has invested hundreds of millions of dollars in a carbon-capture project.

After Biden's IRA boosted incentives to up to \$180 a metric ton of CO₂ sequestered, large oil firms stepped up their investments. The Treasury Department estimated last year that the credits will cost more than \$25 billion between 2025 and 2034.

Many climate scientists say deploying the technology at a large scale is key to limiting climate change.

Brigham says he doubts carbon capture can be profitable without public funding and that it is a distraction from firms' core mission of finding oil and gas. He says that the subsidies distort markets and encourage cronyism.

A geophysicist by training, Brigham made his fortune building and selling two oil companies for a total of about \$7 billion. He is an Ayn Rand fan who produced two movies based on the philosopher's work. He was also a major backer of what is now the Civitas Institute, a conservative center that launched in 2022 at the University of Texas at Austin.

Brigham first met Epstein, another Rand fan, about a decade ago. The two men bonded over a common belief in the importance of free markets and fossil fuels. Epstein is the author of "The Moral Case for Fossil Fuels," a book saying

that the imperative to fuel societies flourishing with oil and gas outweighs climate-change risks. It has given Republicans ammunition to counter the left's climate push, oil lobbyists say.

Epstein asked Republican senators during a recent lunch to end all incentives. He also has made his case to the White House.

In an interview, Epstein said subsidies, such as those for carbon capture and for wind and solar energy, prop up inefficient ways to crank out energy. Even if reducing CO₂ releases mattered, he said, carbon capture would make a negligible dent in growing global emissions.

"If you do not terminate [subsidies] before the end of the Trump administration, then you have done nothing," he said he has told Republican lawmakers.

His push is running into ef-

forts by Occidental's Hollub and Hamm, as well as the American Petroleum Institute, the industry's biggest lobby, to not only keep the credits but expand them.

API's CEO Mike Sommers said the industry agrees on 99% of oil-and-gas-friendly provisions in Trump's megabill. "This is an absolute home run for the oil-and-gas industry," he said.

Hollub has said climate change is a major crisis and that her company needs to reduce emissions if it wants to be allowed to operate in the coming decades. The company plans to inject captured CO₂ into oil fields to recover more crude, which it says will allow it to produce zero-carbon crude—and extend the U.S.'s energy independence. Hollub has visited the White House since Trump's election and personally made the case for the incentives to him. Occidental declined to comment.

Hamm's Continental Resources has invested \$250 million in a multibillion-dollar plan to gather carbon emissions from dozens of ethanol

plants every year. The CO₂ would be piped through a 2,000-mile network to North Dakota, where it would be sequestered and potentially used to extract more crude from oil fields. The project could receive billions in subsidies.

At a December event organized by the Republican Study Committee, the largest conservative caucus in Congress, Hamm put on a forceful defense of carbon capture and sequestration as an environmental solution, according to attendees.

Continental didn't respond to a request for comment.

While pressure is mounting on the Senate to eliminate the credits, Republicans have yet to relent. Meanwhile, carbon capture faces headwinds at the federal level, too.

Energy Secretary Chris Wright, a climate skeptic, has accused the Biden administration of spending billions of dollars without proper due diligence. Last month, he announced the termination of awards totaling more than \$3.7 billion, including to carbon-capture projects.

'It's just taxpayer dollars that are going to virtue-signaling...'